

French Registered Shares (Information on Registered Investors)

Service Description Document

V.06.[32 April-June](#) 2026

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1. Executive summary

As the issuer or investor CSD for French equities, Euronext Securities and its participants need to manage specific requirements related to French registered securities. French equities can exist in different security forms:

- Bearer securities
- Registered securities:
 - Administered Registered Securities (ARS)
 - Pure Registered Securities (PRS).

The security form determines where the securities are kept (e.g., in an account at the level of the issuer's register or in a securities account with the participant only) and the corresponding requirements. Depending on the issuer's decision or in order to comply with French legislation, shares may be issued as occasionally registered (VON) or essentially registered (VEN), also referred as "fully registered".

2. Target audience

This document provides an overview of the service enabling the processing of French Registered Securities through Euronext Securities Milan. It is designed for:

- Issuers and their appointed agents, the registrar
- Participants, also referred as "custodians"
- All entities in relation to the management of French Registered Securities.

The document outlines the key features of the service, the roles of each stakeholder, and offers a detailed view of the operational, regulatory, and communication framework supporting its implementation.

3. General overview

This document provides a detailed and user-friendly guide on managing French registered Securities. It covers:

- **The overall process:** A step-by-step walkthrough of the entire process to ensure clarity and ease of understanding on the way French Registered Securities are managed, with clear description of process and flows.
- **The applicable account structure** used in line with French Registered Securities requirements to support the identification of the relevant security form.
- **The different possible cases** when Euronext Securities Milan acts as Issuer or Investor CSD, and the solutions available for Custodians, whatever is their place of safekeeping.
- The opportunities for Custodians **to harmonise** the way they manage information on registered Investors, for their clients, through a unique platform.

3.1. Actors

Actors	Description
Issuer	An Issuer of French Securities must maintain a register of Investors holding either Administered or Pure Registered Securities. This register may be managed by a third party, referred to as the Issuer agent.
Investor	An investor that holds registered securities is identified both in the register and in its custodian account (Registered Administered Shares) or in an account managed by the issuer or Issuer agent.
Registrars	The Registrar, either the Issuer or its agent, maintains a unique shareholders register per security issue (ISIN code) as required by French law. The Registrar updates the register based on Custodian information sent via IRI.
Custodian	For French shares held by the Custodian in registered form in a securities account with the CSD, the Custodian sends registration and deregistration requests to the Registrar via IRI. As the Custodian holds the shares on behalf of its clients in the securities account with the CSD, it is the Custodian's responsibility to inform the Issuer or its agent of any change concerning the shareholder (name, address change, etc), or changes in the number of securities held.
CSDs	Central Securities Depositories (CSDs) offer an account structure that allows to segregate positions and identify different forms of securities (Bearer, Administered Registered and Pure Registered form). CSDs identify settlement transactions on registered securities, and the reason for the settlement transaction (conversion, negotiation, registration, etc.) to perform the reconciliation with IRI.
IRI platform	The platform designed to manage the Information on Registered Investors (IRI) process flow efficiently. It gives Custodians a single point of contact for handling registered securities, streamlining communication with Registrars. The platform also facilitates a reconciliation process to match IRI with settlement instruction messages. Additionally, it enables the transmission of required information to other CSDs, such as Euroclear France's BRN platform.

3.1.1. Securities legal forms

There are three legal forms of securities issued on the French market, presented below. These three legal forms can coexist at the same time for an ISIN code:

Type	Form	Description
Non-Registered securities	Bearer	Bearer securities are kept in the securities account with a custodian and reflected at the CSD level. The shareholder is not registered in the shareholder register.
	Administered Registered Securities (ARS)	Administered registered securities are kept in the securities account with a Custodian and reflected at the CSD level. The beneficial owner is also registered in the Issuer's shareholder register.
	Pure Registered Securities (PRS)	Pure registered securities are registered in the Issuer's shareholder register. The aggregated number of PRS is reflected at the CSD level in an account managed by the Issuer or the Issuer agent.

3.1.2. French securities can be issued under two different forms, depending on legal reasons or based on the decision of the Issuer.

Registration	Description
Essentially Registered Securities (ERN)	Essentially Registered Securities (ERS) are securities issued solely in registered form, meaning no bearer securities are in circulation for these instruments. This can be due to legal frameworks or the decision of the Issuer. These securities are called "Valeurs Essentiellement Nominatives", or "VEN", in French.
Occasionally Registered Shares (ORS)	Occasionally Registered Securities (ORS) are securities that are issued in a bearer form, and the settlement of transactions is done under bearer form only. However, the investor may ask its Custodian to transform the investor's holding of the security to registered form (Pure or Administrated). These securities are called "Valeurs Occasionnellement Nominatives", or "VON" in French.

3.1.3. French registered securities service overview

The French registered service is based on:

- The implementation of a dedicated [platform \(IRI platform\) enabling structured workflow](#) between custodians, [r](#)Registrars and Euronext Securities Milan. [Its objective is to ensure to manage consistency regarding of investor-related the information related to the investor](#) between the [issuer](#) register and the custodians. It applies [whether when](#) Euronext Securities Milan [is acts as either](#) Issuer or Investor CSD [on for](#) French Registered Securities.
- A dedicated account structure to segregate the holding between the different legal form of securities at the CSD level.
- A reconciliation process which allows to maintain consistency between the holdings of registered securities at the CSD level, and the information registered in the register. The Reconciliation process is managed only when Euronext Securities Milan acts as is Issuer CSD.

Note on interim service

[Before the IRI platform is deployed in production, French registered securities will be serviced using existing securities accounts and the current nominee registered service model.](#)

[Under the VEN service in Milan, Euronext Securities Milan acts as legal nominee \(registered holder\) in the issuer's books on behalf of participants, while the participants remain the beneficial owners and retain client servicing responsibilities.](#)

- [To hold VEN French securities specifically, a dedicated account must be opened, with Euronext Securities Milan acting in this nominee capacity.](#)

4. Main activities for registered securities management

4.1. Accounting process

Securities reflected at the level of the CSD are identified and segregated per security form. Dedicated accounts are created to keep bearer form, administered form and pure form securities. The segregation per security form means that for certain updates of the shareholder register it is necessary to create a settlement instruction to reflect this register update at the level of the accounts in the CSD. The accounting solution is presented in chapter 5.

4.2. Information on Registered Investors (IRI)

The Information on Registered Investors (IRI) is a set of information used to manage the accurate identification of shareholders by the issuer, and to facilitate the exchange of shareholder information between Custodians and Issuers/Registrars in a set format. It plays a central role in enabling seamless communication and ensuring that shareholder data is transmitted and recorded accurately.

IRI must include all the necessary information required by the Registrar to identify the shareholder and to either create or update a Compte Courant Nominatif (CCN) in the Issuer's shareholder register. This ensures that the register remains up to date and compliant with regulatory and operational requirements.

Specificities: In certain cases (Corporate actions, etc.), the IRI can also serve as a trigger for settlement instructions at the CSD level. This additional functionality reinforces the role of IRI as a key component in the end-to-end processing of registered securities, linking registration and settlement processes more efficiently.

4.3. Reconciliation

The reconciliation process applies to French Registered Securities accordingly with the rules set forth by the Autorité des Marchés Financiers (AMF) in France (AMF Regulation). It aims, for each ISIN code, to maintain consistency between the quantity of securities held by a shareholder with its Custodian and the quantity of securities registered in the register for each shareholder.

In current market practice, reconciliation is performed in two ways:

- i. **Automatically by the IRI platform for each eligible transaction ('flow-based reconciliation')**

In order to perform a flow-based reconciliation, the settlement instruction must be matched with shareholder information transmitted through the IRI platform. To support this, a dedicated identification of settlement instructions related to registered securities is performed at the Euronext Securities Milan level.

In the case that reconciliation cannot be performed due to discrepancies between IRI and transactions, or missing information (IRI or Settlement instruction not sent), penalties may be applied.

The reconciliation process on flows can be performed in different cases:

Change of shareholder details: this applies to cases where only shareholder details (such as address, phone number, etc.) are updated, without involving any related settlement transaction:

- o For these changes, only a compliance check by the IRI platform with the deadlines for transmission of the acceptance or rejection is required. Failure to comply with these deadlines may result in reminders and penalties to the Registrar.

Changes affecting the quantity of shares held and requiring the transmission of a parallel settlement transaction (e.g. conversion from Bearer to Administered Registered Shares):

- In these cases, settlement transactions initiated by the Custodian and transmitted to the CSD are reconciled with the IRI transmission. If any discrepancy is detected and the reconciliation fails to be resolved within the required timeframe, then reminders and penalties may be applied to the Custodian or the Registrar.
- ii. **On the request of the Custodian or Issuer on stocks positions.**
 - A tool for reconciling shareholders' positions at the Custodian level and shareholders positions in the register, actionable by the Registrar or by each Custodian on demand, allows Custodians to perform a reconciliation on stocks.

4.4. Types of operations

Below is a non-exhaustive list of operations which must lead to IRI transmission by the Custodian.

Operation Type	Description
Market Purchase/Sale	A standard buy or sell transaction executed in the market (e.g., Euronext). An IRI is issued only if the securities are held in exclusively registered form.
Transfer with Change of Ownership	In the case of a change in the beneficial holder of the securities, an IRI must be sent.
Portfolio Transfer	Movement of securities between accounts or institutions (e.g., Client changes Custodian). An IRI is generated only if the transferred securities are registered.
Form Conversion	A change in the form of holding, such as from bearer to administered (or vice versa). An IRI is generated when converting from bearer to registered or the contrary.
Securities Distribution or Reorganisation	Free allocation of securities (e.g., stock dividends, bonus shares, merger). An IRI is required only if the proceeds are registered. In this case, the Custodian sends the IRI to the Registrar for registration of the shareholders on the new ISIN code. When the Registrar accepts the IRI, the corresponding settlement instruction is then automatically managed by Euronext Securities Milan.

5. Account structure

5.1. Securities account structure overview

Whether Euronext Securities Milan is acting as issuer CSD or investor CSD, its securities account structure solution for French registered securities allows participants to:

- Identify and segregate bearer securities
- Identify and segregate pure registered securities
- Identify and segregate administered registered securities
- Identify and segregate positions temporarily held by brokers
- Support the specifics of French registered securities related to the processing of corporate actions via earmarking by:
 - Temporarily blocking instructed quantities,
 - Temporarily blocking security proceeds to be received,
 - Temporarily earmarking and excluding eligible positions from entitlement calculation,
 - Temporarily earmarking and excluding eligible positions from commission payment on cash proceeds.

5.2. Data format specification

5.2.1. French registered securities accounts data specification

The data for French registered security accounts related to Euronext Securities Milan adheres to the T2S format.

5.2.2. Securities account mapping

When participants request to open an account with Euronext Securities Milan, the necessary T2S Securities Accounts automatically is opened for them, so that they can segregate their holdings of French equities per security form. Euronext Securities Milan confirms to users which account should be used for which security form.

Euronext Securities Milan account structure overview

Account Nature (AN)	Definition	Euronext Securities Milan sample of securities account	Restriction feature (Y/N)
000 ¹	Permanent holding of bearer securities	MOTIBABCITMMXXX2345600	Yes ² , via automated blocking or participant instructed earmarking
009	Permanent holding of pure registered securities	MOTIBABCITMMXXX1234507	Yes, via automated blocking

¹ Bearer account is included for reference purpose only.

² For more details on the blocking and earmarking codes, please refer to the following section 5.3.3.

Account Nature (AN)	Definition	Euronext Securities Milan sample of securities account	Restriction feature (Y/N)
112	Temporary holding of Registered securities in Issuer register reserved upon a corporate action instruction		
001	Permanent holding of Administered Registered Securities		
111	Temporary holding of Administered Registered Securities reserved upon a corporate action instruction		
016	Temporary holding - Direct payment on Administered registered securities without commission	MOTIBABCITMMXXX3456704	Yes, via automated blocking or participant earmarking
017	Temporary holding – administered registered securities excluded from direct payment		
045	Temporary holding of Administered Registered outturn securities awaiting registration by BRN/IRI		
010	Permanent holding of Broker – transit account for brokerage activity	MOTIBABCITMMXXX4567806	No ³

Note: bearer securities can also be excluded from entitlement calculations and commission payments, in reference to the account natures 014 and 015 of the Issuer CSD. Earmarking/reservation also applies in those cases.

For further details on the Euronext Securities Milan security account structure, please consult the latest version of our [Service Description Documents](#).

5.3. Blocking and earmarking solution

5.3.1. Concept of T2S restrictions

In T2S, restrictions may refer to **blocking** or **earmarking**. Euronext Securities Milan applies both mechanisms to designated securities for specific purposes, ensuring it cannot be used for anything else until the restriction is lifted.

This helps manage financial obligations and ensures that assets are available for their intended use.

Blocking and earmarking operate in both directions: they can be applied or lifted. Blocking a quantity of securities makes it unavailable for settlement. The blocked quantity is reflected in the unavailable balance and detailed under the relevant sub-balance (e.g., BLOCA).

³ Blocking and earmarking are not expected to occur on these transit accounts.

Conversely, earmarked quantities remain available for settlement but are identified by the Euronext Securities Milan corporate action solution so that they are excluded from entitlement calculations when applicable, such as for commission payments or cash payment on French regulated securities.

Applied restrictions by Euronext Securities Milan

Restriction type	Used code	Description (used for)
Blocking	RECA	French registered securities are automatically blocked once the client's instruction has been validated. Unblocking is then automatically triggered by the Euronext Securities Milan corporate action solution.
	E045	French securities distributed through a corporate action and requiring new registration are blocked until the registrar confirms the registration. The blocking is automatically triggered by the Euronext Securities Milan corporate action solution. The subsequent unblocking is triggered based on the registration confirmation received from the IRI platform.
Earmarking	ECOM	Used when a CSD participant chooses to decline commission payments linked to a cash distribution. No commission is paid on the earmarked quantity. The earmarking request and its subsequent lifting are initiated by the participant through either an intra-position movement or settlement instructions.
	EREF	Used when a CSD participant chooses to decline a cash distribution on eligible securities (bearer or registered). No cash is paid on the earmarked quantity. Earmarking and its subsequent lifting are initiated by the participant through either an intra-position movement or settlement instructions.

Usual sequence of messaging

To earmark a specific amount of securities, the user should submit either an **intra-position movement instruction** (semt.013) or a settlement instruction (sese.023) through T2S. This instruction is validated and checked for eligibility.

This functionality is not available for blocking, which can only be triggered via semt.013.

When generated with intra-position securities movement, T2S:

- Generates an **intra-position movement status advice** (semt.014), updating the sender on the progress or completion of the securities movement within the same account,
- Upon execution, sends an **intra-position movement confirmation** message (semt.015) to confirm the completed movement.

When generated with ISO 20022 settlement instruction (sese.023), T2S:

- sends a settlement status advice (sese.024), and
- sends a settlement transaction confirmation (sese.025), upon execution.

Message data table for intra-position movements

The semt.013, semt.014 and semt.015 messages are part of the ISO 20022 standards.

T2S message sub-set	ISO message name	Incoming/ out-coming	Technical Id	Used for
Settlement Restriction	IntraPositionMovement-Instruction	Incoming	semt.013	Instructing the movement of securities within an account, involving transferring them from one sub-balance to another. This process can include actions such as reallocating securities for specific purposes, for example, moving them from the available position (AWAS) to a designated earmarking/blocked balance. The process of lifting earmarking/blocking follows a similar procedure, utilising a semt.013 instruction
Settlement Restriction	IntraPositionMovement-StatusAdvice	Outcoming	semt.014	Providing the status of an intra-position movement instruction. It informs the sender about the progress or completion of the movement of securities within the same account.
Settlement Restriction	IntraPositionMovement-Confirmation	Outcoming	semt.015	Confirming the successful execution of an intra-position movement instruction. This confirmation ensures that all parties are aware of the completed movement, maintaining accurate records and facilitating smooth operations.

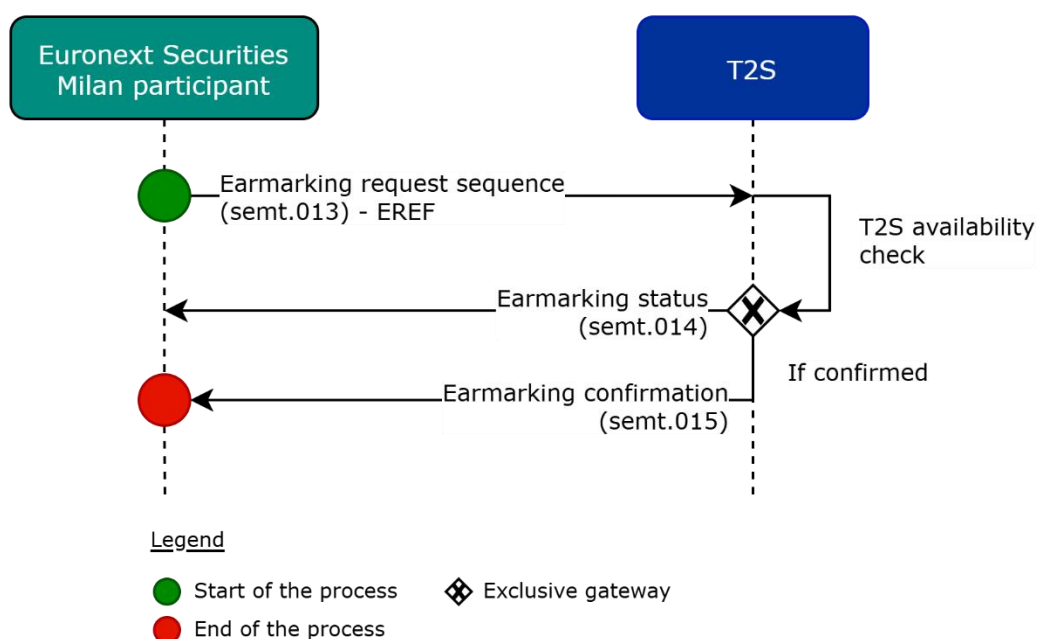
Message flow for intra-position movements

The following process flow applies when Euronext Securities Milan requests a specific earmarking/blocking.

The steps are as follows:

1. Euronext Securities Milan submits an earmarking/blocking request to T2S, specifying the earmarking/reservation code, using the semt.013 message.
2. T2S receives the request and performs availability checks.
3. T2S sends a status advice using the semt.014 message.
4. T2S confirms the earmarking/blocking with the semt.015 message.

Earmarking processing flow with EREF restriction



Note: the process flow for requesting earmarking/blocking in relation to eligible position exclusion for commission and cash payments is the same, except it is triggered by a CSD participant.

For more details on corporate action related blocking, please refer to the corporate action service description document here: [Service Description Documents](#).

5.3.2. Instruction channels for earmarking

Euronext Securities Milan participants can instruct both intra-position movements and settlement instructions to transfer securities between balances (e.g., from AWAS to EREF) via the following channels:

1. **A2A:**

- X-TRM, for ICP participants
- SWIFT, for DCP participants

2. **U2A:**

- X-TRM Online, for both ICP and DCP participants.

Please note that instructing via X-TRM online, T2S status advice and confirmation messages will be received by the application. Therefore, participants are able to view these status and confirmation on screen.

For more reference on the different channels and connectivity details on information exchange protocols, please refer to our latest connectivity [service description document](#).

5.3.3. Impacts of blocking/earmarking available securities balance

Blocking impacts the available security balance (AWAS) in several ways:

1. **Restriction on use:** when securities are blocked, they are designated for a specific purpose and cannot be used for other transactions. This reduces the available balance in AWAS, as the blocked securities are effectively withheld from general use.
2. **Settlement instructions:** blocking ensures that only non-blocked securities positions are available for settlement. This preserves the integrity of the blocked assets and ensures they are used only for their intended purpose.
3. **Impact on positions:** the security balance in T2S and Euronext Securities Milan systems reflects both the available securities (AWAS) and any blocked quantities.

On the contrary, **earmarking** does not reduce the available balance (AWAS), as the earmarked quantity remains fully eligible for settlement.

Rather, these securities are flagged for a specific purpose and identified by the Euronext Securities Milan corporate action solution, enabling their exclusion from entitlement calculations when necessary. Both T2S and Euronext Securities Milan display earmarked quantities alongside the available balance, providing full transparency without restricting settlement activity.

Example of balances with blocking using ISO15022 or 20022 formats and interpretation

ISO 15022 format (MT535 message)	ISO 20022 format (semt.002 message)
(...)	(...)
	<AvlblBal>
	<Qty>
	<Qty>
	<Unit>100000</Unit>
	</Qty>
	</Qty>
	</AvlblBal>
	<NotAvlblBal>
	<Qty>
	<Unit>50500</Unit>
	</Qty>
	</NotAvlblBal>
	<BalBrkdown>
	<SubBalTp>
	<Prtry>
	<Id>BLCK</Id>
	<Issr>T2S</Issr>
	<SchmeNm>RPT</SchmeNm>
	</Prtry>
	</SubBalTp>
(...)	<Qty>
:16R:FIN	<Qty>
:35B:ISIN IT0001234567	<Qty>
ABCD ORD. SHAR.	<Unit>50500</Unit>
:93B::AGGR//UNIT/150500,	</Qty>
:93B::AVAI//UNIT/100000,	</Qty>
:93B::NAVL//UNIT/50500,	</Qty>
:16R:SUBBAL	<AddtlBalBrkdownDtls>
:93B::AWAS//UNIT/0,	<SubBalTp>
:16S:SUBBAL	<Prtry>
:16R:SUBBAL	<Id>RECA</Id>
:93C::BLCA//UNIT/NAVL/50500,	<Issr>T2S</Issr>
:16R:BREAK	<SchmeNm>RT</SchmeNm>
:13B::LOTS//1234567890123456	</Prtry>
:93B::LOTS/MOTIRECA/BLOK/50500,	</SubBalTp>
:16S:BREAK	<Qty>
:16S:SUBBAL	<Qty>
(...)	<Qty>
	<Unit>50500</Unit>
	</Qty>
	</Qty>
	<SubBalAddtlDtls>Blocking on securities position for CA</SubBalAddtlDtls>
	<QtyBrkdown>
	<LotNb>
	<Id>1234567890123456</Id>
	</LotNb>
	<LotQty>
	<Qty>
	<Qty>
	<Qty>
	<Unit>50500</Unit>
	</Qty>
	</Qty>
	</Qty>
	</LotQty>
	</QtyBrkdown>
	</AddtlBalBrkdownDtls>
	</BalBrkdown>
	(...)

Interpretation

- **AWAS Balance:** 100000 securities are available for general use. These securities can be used for any transactions or purposes without restrictions.

- **Blocked Balance (e.g. RECA):** 50500 securities that are blocked for a specific purpose. These securities cannot be used for other transactions until the reservation is lifted.

5.3.4. Earmarking/reservation codes and associated reasons

Euronext Securities Milan uses the following earmarking/reservation codes and associated reasons.

Blocking/earmarking code table

Code	Reason
E045	Blocking of a certain quantity of security proceeds, to be distributed by Euronext Securities Milan on a registered security account, upon the acceptance of a BRN. Upon the acceptance of the related BRN, the quantity is moved to the available balance (AWAS).
RECA	Blocking of an instructed quantity of registered securities, either Pure or Administered, is based on a valid corporate action instruction. Once the instruction is validated, the specified quantity is transferred to the reserved balance by our corporate action system. The reservation process remains consistent whether Euronext Securities Milan functions as the Investor CSD or the Issuer CSD. Any cancellation of a corporate action instruction triggers the lifting of the reservation.
ECOM	Clients of CSD participants who hold French Registered Securities can choose to decline commission payments alongside a cash distribution. If a client opts for this, participants must make this specific earmarking to reflect the choice. In these instances, commission payments do not apply on the proceeds regarding the earmarked quantity, and no commission proceeds is paid on it. The earmark can be lifted after the event payment date, or maintained for a longer period, if required by the participant.
EREF	CSD participants' clients have the option to decline receiving cash distribution on French Registered Securities. If a client makes this choice, participants must instruct this specific earmarking to reflect it. In such cases, cash proceeds, despite being eligible, do not apply to the reserved quantity. There is no cash paid on that earmarked quantity. The earmark can be lifted after the event payment date, or maintained for a longer period, if required by the participant.

For French bearer securities, Euronext Securities Milan also applies the following earmarking codes for excluding eligible positions from entitlement calculation as follows:

- ECOM: excluding eligible position for commission payment
- EREF: excluding eligible position for cash distributions.

5.3.5. Process of blocking for elective corporate action processing

The process of reservation for French Registered Securities during elective corporate actions involves the following steps:

1. **Instruction submission:** participants submit their option choices via the Euronext Securities Milan U2A interface or using ISO/SWIFT formats 15022 or 20022.
2. **Instruction control:** corporate action instructions are checked against predefined rules to ensure data completeness, correctness, and compliance with market standards.
3. **Status advice generation:** based on the initial checks, a corporate action instruction status advice is generated with the relevant status code:
 - REJT: rejected, if the instruction fails the checks.
 - PEND: pending, if the initial set of checks is successful.
4. **Blocking initiation:** upon successful validation, the instructed quantity reservation is initiated and requested from T2S, using the appropriate reservation code for position blocking (e.g., RECA).
5. **Status advice generation:** once the reservation is confirmed, a new status advice is generated, indicating acceptance for further processing (PACK).
6. **Entitlement calculation:** following confirmation, entitlement calculations are performed to proceed with further processing.

5.3.6. Process of earmarking for entitlement exclusion

The process for earmarking French Registered Securities for entitlement exclusion involves the following steps:

1. **Client notification:** A CSD participant is informed by a client that a specific quantity of securities that are eligible for a corporate action should be excluded from either a commission payment or a cash distribution.
2. **Earmarking initiation:** Upon receiving the Client's request, the CSD participant instructs the earmarking of the specified quantity from T2S, using the appropriate earmarking code (e.g., EREF for registered securities).
3. **Entitlement calculation:** Based on the position loads, Euronext Securities Milan excludes the earmarked quantities from:

- ECOM: commission payments for bearer and registered securities
 - EREF: cash distribution payments for bearer and registered securities.
4. **Corporate action proceeds payment:** Corporate actions are paid based on entitlement reconciliation on the payment date. Once settled, payment confirmation is sent to participants via SWIFT/ISO 15022 or 20022 and Euronext Securities U2A.

6. Target operating model

6.1. Scope of coverage

The following section describes the way that Custodians need to be able to inform the Registrars to update the Register when Euronext Securities Milan acts as Issuer CSD and as Investor CSD. It also describes what the Issuers or their agents need to be able to ensure that the register and securities accounts are aligned.

To perform registered shares activities, two scenarios have been identified, and these will lead to different needs as shown in the table below:

Use cases	Place of issuance	Place of safekeeping	Messaging	Reconciliation
1	EURONEXT SECURITIES MILAN	EURONEXT SECURITIES MILAN	Initiated by a Custodian in the Euronext Securities Milan environment only. Custodian instructs the platform via IRI messages. If IRI's format is correct, the platform sends it to the Registrar. Settlement instructions are generated and sent by Euronext Securities Milan participants, as well as by investor CSD participants, unless they are automatically generated by the IRI platform (e.g., conversions using CTO code SB). The IRI must include either the CMIT+ reference or the matching reference generated by T2S to ensure accurate and efficient reconciliation. As a result, both intra-CSD and cross-CSD transactions (e.g., conversions or trades) are captured for reconciliation purposes.	The IRI platform performs reconciliation and applies penalties if necessary.

Use cases	Place of issuance	Place of safekeeping	Messaging	Reconciliation
2	EUROCLEAR FRANCE	EURONEXT SECURITIES MILAN	Custodians instruct the IRI platform with IRI messages, which will instruct BRN systems afterwards. The same custodian, as a participant of Euronext Securities Milan, shall generate and send the settlement instructions in the case of conversions, portfolio transfers, or trading activities (both on- and off-exchange). Acting as the investor CSD, Euronext Securities Milan receives all such instructions via MT-X in order to instruct the issuer CSD directly. Settlement instructions for conversions using transaction codes SA, SB, and SC are automatically generated by the IRI platform	The French CSD reconcile and applies measures in case of reconciliation differences.

7. Information on Registered Investors - IRI

7.1. Presentation

Each Information on Registered Investors (IRI) message, includes a set of data relating to the holder of ARS. The IRI platform allows the exchange, between the Custodian and the Registrar of any modification relating to a holder (address, email, quantity of securities held, etc.), allowing the Registrar to update share register .

You can use the IRI platform when you hold securities with Euronext Securities Milan acting as Issuer CSD or as Investor CSD.

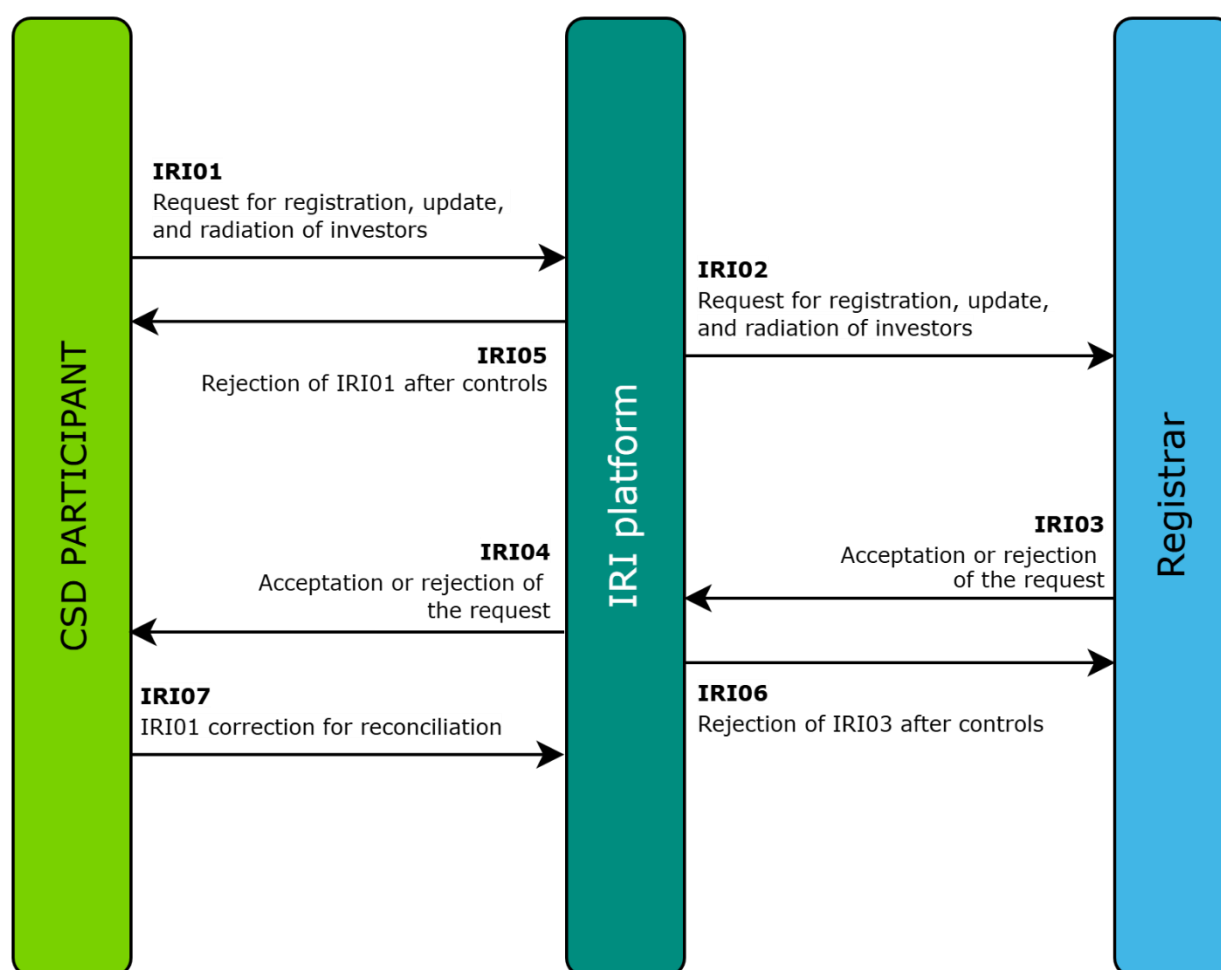
The detailed description of the IRI messages, and communication channels, are included in the IRI Platform messages dictionary published in a dedicated technical document.

For further details on the Euronext Securities Milan IRI data dictionary, please consult the latest version our [Technical Documentation](#).

7.2. IRI overall workflow

Below is the representation of the overall IRI Workflow when Euronext Securities Milan acts as Issuer CSD on French Registered Securities.

Different types of IRI are exchanged between participants, the IRI platform and the Registrar, depending on the stage of the registration process.



7.3. IRI description

7.3.1. IRI01 – Request for inscription, updating or deregistration of an investor (Custodian to IRI platform).

7.3.1.1. Presentation

The custodian sends the IRI01 to the IRI Platform to request the Registrar of a dedicated security to:

- Create a new investor in the register
- Modify data related to an already existing investor in the register
- Increase or decrease the quantity of registered securities for an investor (due to corporate actions)
- Change the legal form of the securities (from ARS to PRS or vice-versa)
- Transfer registered securities from a custodian to another custodian (portfolio transfers)
- ...

Each IRI must therefore contain a Transaction Type Code (TTC), also referred as “Code type operation” or (CTO) on the French market. This code defines the type of operation requested and allow the IRI Platform to perform consistency controls.

The list of transaction type code type is presented in the annex of this Service Description Document.

7.3.1.2. Create an investor in the register or update information on an already existing investor

The custodian must submit an IRI01 message to create or update investor-related data in the following scenarios:

- Buy trade on the Stock Exchange, or “on-exchange”, including:
 - Cash market transactions
 - Deferred Settlement Service (DSS) transactions
 - Netted transactions not cleared by a Central Counterparty (CCP)
- Buy trade Over-the-Counter (OTC), or “off-exchange”
- Portfolio transfers (reception)
- Succession events (inheritance or legacy transfers).

7.3.1.3. Removal of an investor from the register or reduce the quantity of securities

The custodian must submit an IRI01 message with the appropriate transaction type code (see Annex 1) to either remove an investor from the registrar or reduce the quantity of securities registered under their name in the following situations:

- **Sale on exchange market**, including:
 - Cash market transactions
 - Deferred Settlement Service (DSS) transactions
 - Netted transactions not cleared by a Central Counterparty (CCP)
- **Sale off exchange or “OTC”**
- **Portfolio transfers** (transfer)
- **Succession events** (inheritance-related disposals)

7.3.1.4. Form of securities conversion

An investor may wish to change the form of the securities they hold—for example, converting bearer shares into administered registered shares. In such cases, the custodian

must submit an IRI01 message with the appropriate operation type code (refer to Annex 1).

Please note that when the IRI01 message is validated by the IRI platform and the operation type code is SA, SB, or SC (see Annex), the platform will automatically trigger the generation of the corresponding settlement instruction.

7.3.1.5. Portfolio transfer to another custodian

In the event of a portfolio transfer, the transferring custodian submit either:

- One IRI01 when there is no change of ownership, or
- two IRI01 messages, when there is a change of beneficial owner, requiring to:
 - deregister the investor and
 - register the investor with the receiving custodian.

Upon receipt, the IRI platform performs technical validation checks these messages. If one of the IRI01 is non-compliant, both are rejected. The custodian must then correct and resubmit the message(s).

Following this, once the platform issues the corresponding IRI02, the registrar generates a new IRI01 for the receiving custodian. This may include a newly assigned Shareholder Identifier (CCN) in cases of transfer or direct transfer, and is then forwarded to the IRI platform.

7.3.1.6. Regularization of an IRI01 rejected

In case the IRI Platform or the registrar has rejected an IRI01, the custodian can send a new IRI01 which mention the reference of the initial IRI01.

7.3.1.7. Description

The List of data's to be transmitted via IRI01, their format and the attached control rules are described in our related Technical documentation.

7.3.2. IRI02 - Request for Inscription, Update, deregistration of Investor (IRI platform to Registrar)

7.3.2.1. Presentation

When it receives the IRI01 from the custodian, the IRI platform controls its format. If the control is positive, the IRI platform send the IRI02 to the Registrar.

7.3.2.2. Description

The List of data's to be transmitted via IRI02, their format and the attached control rules are described in the message dictionary.

7.3.3. IRI05 - Rejection of IRI01 or IRI07 after form controls

7.3.3.1. Presentation

When it receives the IRI01 or IRI07 from the custodian, the IRI platform controls its format. If the control is negative the IRI platform send the IRI05 to the sender of the related IRI01 or IRI07, with the reason of the rejection.

7.3.3.2. Description

The List of data's to be transmitted via IRI05, their format and the attached control rules are described in the message dictionary.

7.3.4. IRI03 - Acceptation or Rejection of the request (Registrar to IRI platform)

7.3.4.1. Presentation

When the Registrar receives the IRI02, it can accept or reject the request in case the information it contains are not consistent with the register. In both cases, it must send back an IRI03 to the platform, to inform it of its decision. In case of rejection, it must communicate the reason.

In case the Registrar rejects the request, the custodian must resubmit an IRI01 with the corrected information.

IRI03 issued for acceptance of an IRI01 carrying a transaction type code (TTC) relating to a corporate action (refer to appendix 1) enables the IRI platform to automatically trigger the instructions to lift the blocking on the administered registered securities account.

The IRI platform generates one instruction per custodian and per day, for all the IRI03 accepted and received with the relevant transaction type codes.

7.3.4.2. Description

The List of data's to be transmitted via IRI03, their format and the attached control rules are described in the message dictionary.

7.3.5. IRI04 - Acceptation or Rejection of the request

7.3.5.1. Presentation

When it receives the IRI03 from the Registrar the IRI platform controls its format. If the control is positive, the IRI platform send the IRI04 to the Custodian to inform it of the decision of the registrar. In case of rejection, it must communicate the reason.

7.3.5.2. Description

The List of data's to be transmitted via IRI03, their format and the attached control rules are described in the message dictionary.

7.3.6. IRI06 - Rejection of IRI03 after form control (IRI platform to Registrar)

7.3.6.1. Presentation

When it receives the IRI03 from the Registrar the IRI platform controls its format. If the control is negative, the IRI platform send the IRI06 to the Registrar with the reason of the rejection.

7.3.6.2. Description

The List of data's to be transmitted via IRI06 their format and the attached control rules are described in the message dictionary.

7.3.7. IRI07 – IRI01 Correction for reconciliation

7.3.7.1. Presentation

If a custodian identifies an error in the reference data of an already issued IRI01 that hinders the reconciliation process, they may submit an IRI07 to correct the IRI01 and enable full reconciliation processing.

7.3.7.2. Description

The List of data's to be transmitted via IRI07 their format and the attached control rules are described in the message dictionary.

7.3.8. Batch Number

The description of this field, along with the applicable controls and restrictions, is provided in section 4.46 of the French Registered Shares – Message Data Dictionary.

IRI messages must be transmitted in batches, each representing a set of IRIs contained within the same file. A batch may include between 1 and N IRIs and must be identified by a sequential number assigned by the participant submitting the file. This number is mandatory, as it ensures the unique identification of each batch and enables the detection of any duplicate submissions. The numbering sequence may only be reset once the maximum value (99999) has been reached.

For IRIs submitted by participants, the batch number must be provided as follows:

- **IRI01:** in the Header, Matriculation, and Restrictions sections. The same batch number must appear in all sections of the same IRI.
- **IRI02:** in the Header, Matriculation, and Restrictions sections. The same batch number must appear in all sections of the same IRI.
- **IRI03:** in the body of the IRI.
- **IRI04:** in the body of the IRI.

For IRIs submitted by registrars, in the context of a portfolio transfer involving a change of ownership:

- **IRI01**: in the Header, Matriculation, and Restrictions sections, with the same batch number consistently applied across all sections of the IRI.
- **IRI02**: in the Header, Matriculation, and Restrictions sections, with the same batch number consistently applied across all sections of the IRI.

7.3.9. Transaction reference

The description of the field, along with the applicable controls and restrictions, is provided in section 4.50 of the French Registered Shares – Message Data Dictionary document.

This field corresponds to the reference used for IRIs related to Mutations, Direct Transfers, and Changes of Designation.

When provided, this reference enables Participants to match IRIs that share the same identifier. It allows the grouping of IRIs belonging to the same case file, which is particularly important for the processing of Mutations, Direct Transfers, or Changes of Designation.

This reference is mandatory for these operations. To ensure consistent processing, it is recommended that all IRIs linked to the same operation (i.e., sharing the same reference) be submitted within a single batch, in accordance with the process described in the previous chapter.

7.3.10. IRI platform code

The IRI platform code is a unique identifier used to distinguish platform participants within IRI messages. This identifier is included in the Custodian Delivery Code or Custodian Receiver Code whenever one or both participants are located within Euronext Securities Milan.

The code is assigned during the onboarding of each new client and is published on the European Offering webpage, ensuring that all participants have access to the complete list of identifiers.

The structure of the code is as follows: **620** followed by a **five-digit sequence** assigned during the onboarding process.

7.4. IRI processing timeline

This section describes the processing windows planned for the IRI platform to receive, process, and send messages.

The timeline outlines the opening and closing times and details the various steps involved in processing IRI and BRN messages, depending on whether Euronext Securities Milan acts as the issuer CSD or the investor CSD.

7.4.1. Issuer CSD timeline

The table below shows the list of the different batches or major actions between the stakeholders, along with their specific timings **when Euronext Securities Milan acts as issuer CSD**.

Some processes begin at a specific time but continue to run throughout the day.

For example:

- The submission of IRI01 messages, described in step 1, opens at 6:30 a.m. and remains available until 9:00 p.m.
- Similarly, the processing of IRI01 messages submitted by clients (format checks), as outlined in step 2, starts at 6:45 a.m. and is performed every 45 minutes throughout the day.

Step	Timing	From	To	Actions
1	6:30_a.m.	Participant	IRI platform	Participants send IRI01 messages in real time.
		IRI platform		Messages are queued until platform opening.
2	6:45_a.m.	IRI platform		The IRI platform begins processing messages—this occurs every 15 minutes—and performs the following operations: • Technical controls and batch validation • Technical feedback for each processed file • Functional controls (when acknowledgements are received) followed by IRI integration.
3	7:00_a.m.	IRI platform	Registrar	Batch processing, the IRI platform transfers IRI02 to the registrar.
		Registrar	IRI platform	Registrar performs the following actions: • Sends IRI03 messages (acceptance or rejection) corresponding to IRI01 instructions submitted by participants through the IRI platform. • Sends IRI01 messages to the IRI platform for portfolio transfers or for pure-to-administered conversion operations.
		IRI platform	Registrar	Registrar performs the following actions: • Receives IRI06 notifications corresponding to technical rejections of IRI03 messages by the IRI platform. • Receives IRI02 messages generated by the IRI platform in response to the Registrar's previously submitted IRI01 instructions.
4	8:00_a.m.	Registrars	IRI platform	Reception of IRI01, IRI03 from registrars.

Step	Timing	From	To	Actions
5	8:15_a.m.	IRI platform	Participant	Participants receive IRI02, IRI04 and IRI05 from the IRI platform.
6	12:00_a.m.	IRI platform	Registrar	Batch processing, the IRI platform transfers the IRI02 to the registrar.
		Registrar	IRI platform	Registrar performs the following actions: • Sends IRI03 messages (acceptance or rejection) corresponding to IRI01 instructions submitted by participants through the IRI platform. • Sends IRI01 messages to the IRI platform for portfolio transfers or for pure-to-administered conversion operations.
		IRI platform	Registrar	Registrar performs the following actions: • Receives IRI06 notifications corresponding to technical rejections of IRI03 messages by the IRI platform. • Receives IRI02 messages generated by the IRI platform in response to the Registrar's previously submitted IRI01 instructions.
7	1:00_p.m.	Registrar	IRI platform	Reception of IRI01, IRI03 from registrars.
		IRI platform	IRI platform	The IRI platform performs the reconciliation.
8	1:15_p.m.	IRI platform	Participant	Batch processing, transmission of IRI02, IRI04 and IRI05 to participants.
		IRI platform	Registrar	Batch processing, transmission of IRI02 to registrars.
		IRI platform	Participant	Participants receive IRI02, IRI04 and IRI05 from the IRI platform.
9	4:00 p.m.	IRI platform	Participant	Batch processing, transmission of IRI02, IRI04 and IRI05 to participants.
		IRI platform	Registrar	Batch processing, transmission of IRI02 to registrars.
		IRI platform	Participant	Participants receive IRI02, IRI04 and IRI05 from the IRI platform.
		Registrar	IRI platform	Registrar performs the following actions: • Sends IRI03 messages (acceptance or rejection) corresponding to IRI01 instructions submitted by participants through the IRI platform. • Sends IRI01 messages to the IRI platform for portfolio transfers or for pure-to-administered conversion operations.
		IRI platform	Registrar	Registrar performs the following actions: • Receives IRI06 notifications corresponding to technical rejections of IRI03 messages by the IRI platform. • Receives IRI02 messages generated by the IRI platform in response to the Registrar's previously submitted IRI01 instructions.
10	6:00 p.m.	IRI platform	Participant	Transmission of IRI02, IRI04 and IRI05 to participants.
		IRI platform	Registrar	Transmission of IRI02 to registrars.
		IRI platform	Participant	Participants receive IRI02, IRI04 and IRI05 from the IRI platform.
		Registrars	Participant	Reception of IRI01, IRI03 from registrars.

Step	Timing	From	To	Actions
		Registrar	IRI platform	Registrar performs the following actions: • Sends IRI03 messages (acceptance or rejection) corresponding to IRI01 instructions submitted by participants through the IRI platform. • Sends IRI01 messages to the IRI platform for portfolio transfers or for pure-to-administered conversion operations.
		IRI platform	Registrar	Registrar performs the following actions: • Receives IRI06 notifications corresponding to technical rejections of IRI03 messages by the IRI platform. • Receives IRI02 messages generated by the IRI platform in response to the Registrar's previously submitted IRI01 instructions.
11	7:00 p.m.	IRI platform	Participant	Transmission of IRI02, IRI04 and IRI05 to participants.
		IRI platform	Registrar	Transmission of IRI02 to registrars.
		IRI platform	Participant	Participants receive IRI02, IRI04 and IRI05 from the IRI platform.
		Registrar	IRI platform	Reception of IRI01, IRI03 from registrars.
		Registrar	IRI platform	Registrar performs the following actions: • Sends IRI03 messages (acceptance or rejection) corresponding to IRI01 instructions submitted by participants through the IRI platform. • Sends IRI01 messages to the IRI platform for portfolio transfers or for pure-to-administered conversion operations.
		IRI platform	Registrar	Registrar performs the following actions: • Receives IRI06 notifications corresponding to technical rejections of IRI03 messages by the IRI platform. • Receives IRI02 messages generated by the IRI platform in response to the Registrar's previously submitted IRI01 instructions.
12	9:00 p.m.	IRI platform	Participant	Transmission of IRI02, IRI04 and IRI05 to participants.
		IRI platform	Registrar	Transmission of IRI02 to registrars.
		IRI platform	Participant	Participants receive IRI02, IRI04 and IRI05 from the IRI platform.
		Registrar	IRI platform	Registrar performs the following actions: • Sends IRI03 messages (acceptance or rejection) corresponding to IRI01 instructions submitted by participants through the IRI platform. • Sends IRI01 messages to the IRI platform for portfolio transfers or for pure-to-administered conversion operations.
		IRI platform	Registrar	Registrar performs the following actions: • Receives IRI06 notifications corresponding to technical rejections of IRI03 messages by the IRI platform. • Receives IRI02 messages generated by the IRI platform in response to the Registrar's previously submitted IRI01 instructions.
13	9:00 p.m.	IRI platform	IRI platform	The IRI platform performs the reconciliation.

7.4.2. Investor CSD timeline

The table below shows the list of the different batches or major actions between the stakeholders, along with their specific timings **when Euronext Securities Milan acts as investor CSD**.

Some processes begin at a specific time but continue to run throughout the day as for the issuer CSD model.

Step	Timing	From	To	Actions
1	6:30_a.m.	Participant	IRI platform	Participants may start sending IRI01 messages from 06:30, with real-time submission allowed until end of day.
		IRI platform	IRI platform	Messages are queued until the IRI platform opens.
2	6:45_a.m.	IRI platform	IRI platform	Once the platform opens, the IRI system processes messages every 15 minutes, performing: - Technical controls and batch validation - Technical feedback for each processed file - Functional controls (if acknowledged) and IRI integration
3	7:00_a.m.	IRI platform	Euroclear France	Batch transmission of BRN01 (generated from validated IRI01 messages) to Euroclear France.
4	8:00_a.m.	Euroclear France	IRI platform	Reception of BRN02, BRN04, BRN05 from Euroclear France.
5	8:15_a.m.	IRI platform	Participant	Batch processing, transmission to participants of IRI02, IRI04 and IRI05, after reception of BRNs from Euroclear France.
		IRI platform	Participant	Participants receive IRI02, IRI04, IRI05.
6	12:50_a.m.	IRI platform	Euroclear France	Batch transmission of BRN01 (from newly received IRI01 messages).
7	1:00_p.m.	Euroclear France	IRI platform	Reception of BRN02, BRN04, BRN05.
		IRI platform	IRI platform	Mirror reconciliation performed.
8	1:15 p.m.	IRI platform	Participant	Batch transmission of IRI02, IRI04, IRI05.
		IRI platform	Participant	Participants receive IRI02, IRI04, IRI05.
9	4:00_p.m.	IRI platform	Participant	Batch transmission of BRN01 (from IRI01 received during the afternoon).
		IRI platform	Participant	Participants receive IRI02, IRI04, IRI05.
10	6:00_p.m.	IRI platform	Participant	Batch transmission of BRN01 (from late-day IRI01 messages).
		IRI platform	Participant	Participants receive IRI02, IRI04, IRI05.
11	9:00_p.m.	Euroclear France	IRI platform	Reception of BRN02, BRN04, BRN05.

Step	Timing	From	To	Actions
		IRI platform	Participant	Batch transmission of IRI02, IRI04, IRI05.
		IRI platform	Participant	Participants receive IRI02, IRI04, IRI05.
12	9:00_p.m.	IRI platform	IRI platform	Mirror reconciliation.

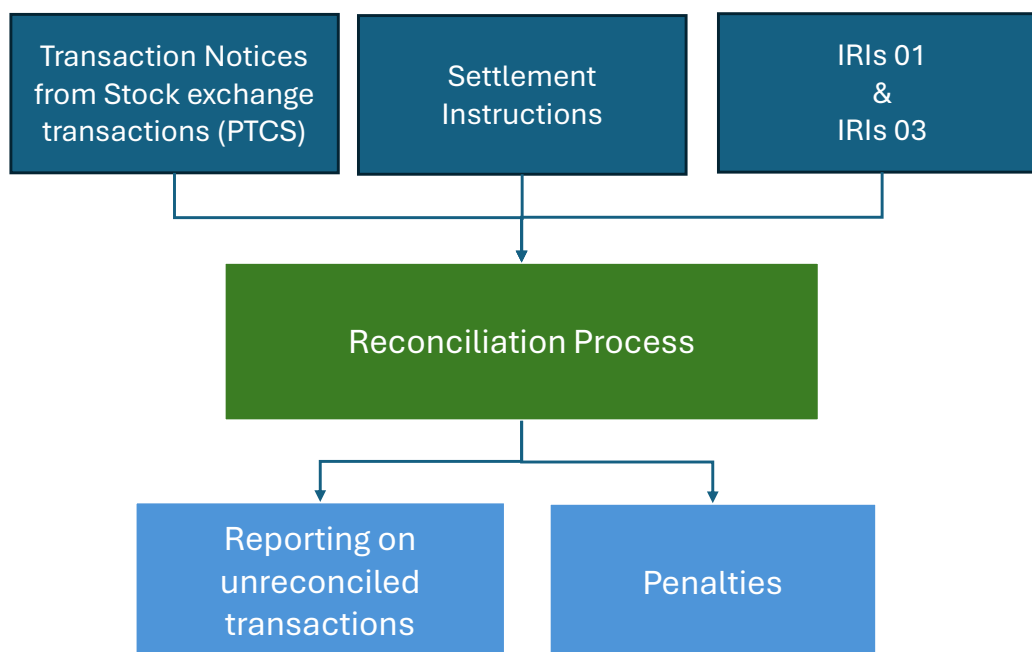
8. Reconciliation of transactions

8.1. Presentation

Since the transmission of settlement transactions on registered securities and the related IRI flows are not integrated into a single process, it is essential to ensure that each flow is accurately transmitted and processed. This safeguards consistency between the quantity of securities recorded in the Register and the corresponding transaction bookings at the CSD level.

To do so, a process is implemented to:

- Identify and select IRI and settlement transaction eligible to the reconciliation process
- Reconcile IRI and related settlement transaction on references basis
- Identify the unreconciled or partially reconciled flows (case of multiple IRI for a settlement transaction)
- Inform participants on the status of the reconciliation process for control and/or regularisation purposes.
- Apply if necessary, penalties in case of pending reconciliation



8.2. Transactions eligible to the reconciliation process

The reconciliation process covers the following transactions:

1. Transaction notices on exclusively Registered Shares issued from PTCS, following transactions executed on-exchange
2. On-exchange transactions confirmed outside of PTCS
3. Settlement instructions related to:
 - Exclusively and occasionally registered securities:
 - Conversion of ARS to bearer shares and vice versa
 - Conversions of ARS to PRS and vice versa
 - Portfolio transfers with or without a change in ownership
 - Exclusively registered securities only:
 - OTC transactions
 - Securities lending and borrowing.

8.3. Reconciliation process

8.3.1. Principle

The reconciliation process consists in matching:

- Transaction notices issued from PTCS on exclusively registered shares
- Eligible settlement transactions

with

- IRI01 issued by Custodians and Registrars.

Reconciliation may also apply when handling **IRI01 regularisation scenarios**, such as:

- **Rejected IRI01 messages** or those **without a matching counterpart**
- These should be matched with **regularisation IRI01 messages** that include a **dedicated Transaction type code** (refer to *Annex* for details).

8.3.2. Reconciliation criteria

The reconciliation criteria differ depending on the transaction type, as detailed below.

8.3.2.1. Transaction Notices issued from on exchange trading (PTCS)

Transaction notice	IRI
Custodian BIC code	Custodian BIC code
ISIN Code	ISIN Code
Transaction notice Reference	T2S Reference of the transaction linked to the IRI or Transaction notice reference
Settlement date	Registration date in the register
Status = non reconciled or partially reconciled	Status = non reconciled or partially reconciled

8.3.2.2. Settled transactions

The reconciliation is performed when the criteria in the T2S Instructions and the IRI, mentioned, match:

T2S Instruction	IRI
Custodian BIC code	Custodian BIC code
ISIN Code	ISIN Code
T2S Reference	T2S Reference of the transaction linked to the IRI or Transaction notice reference
Settlement date	Registration date in the register

T2S Instruction	IRI
Status = non reconciled or partially reconciled	Status = non reconciled or partially reconciled

8.3.2.3. IRI message reconciliation coverage

The reconciliation process monitors:

- unresolved settlement transactions, and
- all IRI messages, including:
 - IRI without change of custodian account holder
 - IRI related to corporate events, or
 - IRI rejected by the registrar.

8.3.2.4. Reconciliation criteria for IRI messages without change of custodian

For IRI01 messages submitted to regularise a previously transmitted IRI01 without change of custodian, the following reconciliation criteria apply.

IRI01	IRI01 for regularisation (OC which ends by "R")
Custodian BIC Code	Custodian BIC Code
ISIN Code	ISIN Code
T2S reference	Reference of the transaction linked to the IRI or Transaction notice reference
Settlement date	Registration date, in the register
Status = Non reconciled	Status = Non reconciled

8.3.2.5. Reconciliation criteria for IRI messages rejected by the registrar

For IRI01 messages submitted to regularise a previously rejected IRI01 by the registrar, the following reconciliation criteria apply.

IRI01	IRI01 for regularisation (OC which ends by "J")
Custodian BIC Code	Custodian BIC Code
ISIN Code	ISIN Code
IRI reference	Previous IRI reference
Transaction type code	Transaction type code Type

IRI01	IRI01 for regularisation (OC which ends by "J")
Registration date	Registration date
Status = Non reconciled	Status = Non reconciled

8.3.3. Frequency of the reconciliation process

To ensure Custodians and Registrars can make timely decisions and apply necessary corrections, the reconciliation process — including participant reporting — is executed **twice daily**:

- **Mid-day**
- **End of day.**

This schedule supports prompt issue resolution and maintains operational accuracy throughout the settlement cycle.

8.3.4. Regularisation notifications and penalties

The application of regularisation notifications and penalties is performed in accordance with French market practices.

8.3.4.1. Principle

Regularisation notifications consist in the transmission to the custodian or registrar having transmitted a settlement flow or an IRI that is unregularised in the required deadlines, of a notification to regularise it.

Failure to regularise an IRI following the first notification leads to the application of a penalty.

8.3.4.2. Terms of application of regularisation notifications and penalties to IRI issued by Custodians

Regularisation notifications are applied to IRI that are not reconciled or partially reconciled under the following conditions:

- If an IRI is not reconciled on the third T2S business day morning following the trade date, then a first regularisation notification is sent to the participant.
- If the IRI is still not reconciled on the morning of the fourth business day following the trade date then a penalty applied on a one-off basis (no other penalty is applied thereafter).
- If the IRI is not reconciled, then a regularisation notification applied every 4 days.

8.3.4.3. Terms of application of regularisation notification and penalties to IRI issued by the registrar in the context of transfer of securities between custodians

The registrar must transmit an IRI01 after reception of an IRI03, regarding transaction type codes TT, TM, PT, CT, AT, CC, TO, in the following deadlines:

- If the IRI01 is not issued by the registrar on the third business day morning following reception by the IRI platform of the IRI03, then a first regularisation notification is sent to the registrar.
- If the IRI01, is not issued by the registrar on the fourth business day morning following reception by the IRI platform of the IRI03, then a penalty applies.
- If the IRI01 is not issued by the registrar, a regularisation notification is sent to the registrar every 4 days.

8.3.4.4. Terms of application of regularisation notification to the custodians, after the rejection of an IRI01 by the registrar

The Custodian must have regularised the IRI01 rejected by the registrar before the 7th business day following its rejection date, if not, a regularisation notification is sent to the custodian.

Regularisation notification applies every 7 business days until the registration of the IRI01 rejected by the registrar is regularised.

8.3.5. Reporting on reconciliation process

Custodians and Registrars can consult the result of the reconciliation process on the user interfaces. Additional references will be available in the French Registered Shares GUI User Guide.

9. Stock reconciliation

9.1. Principles

Reconciliation on stocks allows custodians to check that the assets held in their custody for their clients in the administered registered form correspond to the assets recorded in the register of the securities for their shareholder clients.

9.2. Presentation of the service

In order to make a reconciliation with their own stocks, Custodians may request for a dedicated ISIN code, the list of the shareholders recorded in the register of administered registered shares and for which they identified as Custodian administrator.

The request is managed through the GUI (cf. GUI User guide).

10. French registered shares model when Euronext Securities Milan serves as the place of issuance and safekeeping

10.1. Overall presentation

This section describes the activities performed by Euronext Securities Milan on registered securities when **Euronext Securities Milan acts as both a place of issuance and a place of safekeeping.**

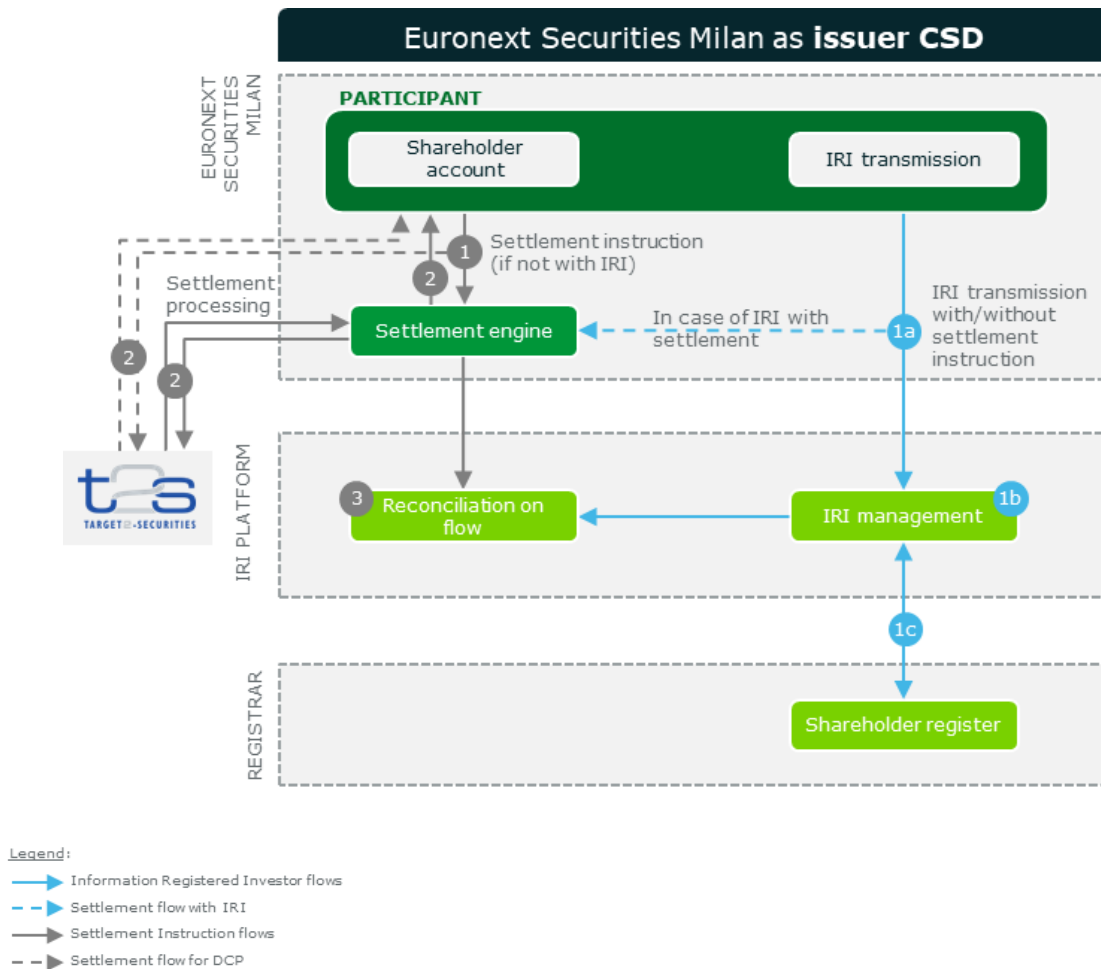
Euronext Securities Milan participants generate instructions to settle trades, conversions, or portfolio transfers involving French registered securities. Participants may act as either direct connected participants (DCP) or indirectly connected participants (ICP), and must use the appropriate channel according to their subscribed connectivity.

For French registered securities where Euronext Securities Milan is the issuer central securities depository (CSD), the process remains unchanged:

- DCPs can instruct T2S directly to settle conversions or portfolio transfers.
- ICPs continue to instruct Euronext Securities Milan using their preferred and subscribed channel for settling transactions, conversions, and transfers, both on and off-exchange.

The only exception is when the issuer reconciliation interface (IRI) platform generates the settlement instruction itself for conversions.

The high-level diagram below illustrates the conversion process, such as from bearer to administered registered form.



Steps in the process flow above

Steps	Name	Description
1	Settlement instruction and processing	Based on client requests, Euronext Securities Milan participants, whether direct connected participants (DCP) or indirectly connected participants (ICP), instruct the settlement of the required conversion. Participants may choose to generate an IRI message with automated settlement, or to generate the settlement instruction and the IRI message separately. In the latter case, the participant initiates the securities movement via a free of payment (FoP) settlement instruction. Settlement must be instructed first, enabling the participant to capture the relevant and mandatory settlement reference (such as the counterparty market infrastructure reference also referred as MITICMIT) and enter it into the IRI message. This process results in the delivery of the converted quantity to the designated securities account, for example, an administered registered account.

Steps	Name	Description
1a	IRI transmission, with or without settlement	In parallel, the participant sends an IRI message via its preferred channel to request the new registration, in accordance with the relevant transaction type code (TTC) or "CTO" as recognised on the French market. Participants can also generate/send an IRI with automated settlement instruction generation with transaction type codes SA, SB and SC.
1c	IRI Management	The IRI platform controls the message format and accepts or rejects the IRIs. It transfers a second IRI to the registrar. BRN inbound messages are received and processed by the IRI platform, with outcomes IRI messages communicated back to the identified participant.
1c	Shareholder register management	The registrar receives the IRI for registration. They accept or reject the request, and update the shareholder register accordingly. The response is then returned to the IRI platform, which subsequently sends the outcome back to submitting participant (for acceptance or rejection).
2	T2S settlement	T2S processes settlement between participant accounts based on settlement instructions submitted by either indirectly for ICP or directly for DCP. Investor CSDs may allow their participants to instruct conversions using cross-CSD settlement instructions.
3	Reconciliation	Based on the recorded IRI messages and captured settlement flows, the IRI platform performs reconciliation and communicates any applicable time limits to participants and registrars.

10.2. Principle of processing

When Euronext Securities Milan acts as the issuer CSD for a French security, whether essentially nominative (VEN) or occasionally nominative (VON), the IRI platform serves as the central hub, connecting investors through their participants and issuers through their registrars.

All registration, de-registration, or updates to registration maintained by registrars are processed via the IRI platform.

The IRI platform manages dedicated inbound and outbound message flows: it receives IRI messages from participants, processes them, and generates outgoing IRI messages to the registrar, and vice versa.

In line with current Italian market practice for portfolio transfers, conversions to or from pure registered accounts and portfolio transfers follow a bilateral settlement model. The delivering party submits its FoP settlement instruction, while the receiving party is alleged for notification and subsequently instructs the receiving leg. Matching is performed in T2S,

ensuring a controlled and harmonised settlement process for intra and cross-CSD conversions and transfers.

Note: The IRI platform's reconciliation process enables the automatic capture of realignment instructions on any investor CSD omnibus account, allowing participants to instruct cross-CSD conversions or portfolio transfers.

10.2.1. Overall workflow

When Euronext Securities Milan is issuer CSD for a French security, the IRI platform allows IRI message exchanges between participants and registrar.

Specifically, in line with the settlement flow overview shortly presented in the previous sections, IRI01, with the right and relevant transaction type code (e.g., SA) can automatically trigger settlement instructions.

List of message sequence

Step	Initiator	Recipient	Message type	Purpose
1	Participant	IRI platform	IRI01	Registration, de-registration or update request
2	IRI platform	Participant	IRI05	Inform the participant of any errors or exceptions encountered during processing
3	IRI platform	Registrar	IRI02	Forwarding participant's request to the registrar
4	Registrar	IRI platform	IRI03	Confirmation of acceptance or rejection of the request
5	IRI platform	Registrar	IRI06	Rejection of IRI03 after form control
6	IRI platform	Participant	IRI04	Notification of registrar's response
7	Participant	IRI platform	IRI07	Correction of IRI01 to resolve reconciliation errors

Conversion and portfolio transfers are settled by Euronext Securities Milan ICP or DCP participants with the following type of instructions and references:

Type of operation	Direction	Type of instruction
Conversion	Bearer to administered registered	FoP already matched for DCP, or FoP delivery (DELI) and receipt (RECE) legs to be matched for ICP participants
	Administered registered to bearer	
	Bearer to pure registered	FoP to be matched, both for DCP or ICP participants
	Pure registered to bearer	
	Administered registered to pure registered	

Type of operation	Direction	Type of instruction
	Pure registered to administered registered	
Portfolio transfer	With change of ownership but no change of participant	No
	With change of ownership and change of participant	FoP to be matched, both for DCP or ICP participants
	Without change of ownership and change of participant	

Euronext Securities Milan participants, either ICP or DCP rely on the connectivity defined in the latest [service description documents](#).

For the settlement of French registered securities, ICP participants shall use the X-TRM settlement engine via application-t-application (A2A) mode or access the user interface (U2A) X-TRM Online.

10.2.2. IRI processing

IRI messages may be generated by participants, registrars or the IRI platform, and are sent either to the registrar or the participant as appropriate.

Inbound IRI messages (such as IRI01 and IRI03) are validated by the IRI platform. If rejected, an IRI05 or IRI06 message is generated to notify the relevant party.

IRI are processed along the day with two cycles of reconciliations.

In accordance with French market practice, Euronext Securities Milan participants and registrars may use the IRI platform with or without automated settlement. Where automated settlement is not used, participants must ensure that the correct T2S reference and applicable transaction type code (e.g., CA) are included.

In case of IRI with settlement (e.g., IRI01 with transaction type code SA), Euronext Securities Milan automatically generates and process the settlement instruction with T2S.

This approach supports accurate and efficient processing of IRI messages and reconciliation of IRI messages.

10.2.3. Accepted types of settlement instructions

Across the available settlement channels, Euronext Securities Milan participants can submit instructions formatted in either ISO 15022 or ISO 20022.

Especially for conversions of forms (e.g., from bearer to administered registered) and portfolio transfers (e.g., direct transfer or file transfer) the accepted settlement instructions are as follows:

ISO format	Settlement instructions	Fields description
ISO 15022	MT542 Deliver Free MT540 Receive Free	Key fields, but not limited to: • OWNE or OWNI depending on the operation • receiving party narrative including the bank reference of the beneficiary in Euronext Securities Milan • settlement processing narrative with the cost of the line information • settlement processing narrative with the cost basis information, if required • addressee description, if applicable. The registration indicator is not required to process the IRI reconciliation.
ISO 20022	sese.023	Key fields, but not limited to: • payment: FREE (FoP) • movement type: DELI or RECE • matching status: already matched or to be matched • securities transaction type: OWNE • receiving party narrative including the bank reference of the beneficiary securities account number in Euronext Securities Milan, if applicable⁴ • settlement processing details with the cost of the line and cost basis information • addressee description, if applicable. The registration indicator is not required to process the IRI reconciliation.

These instructions can be generated for an intra-CSD transaction (e.g., conversion from bearer to administered registered) or a cross-CSD transaction. In this later situation, the investor CSD participant must populate the T2S matching reference onto the IRI01.

This is required for the reconciliation to operate properly with the payment confirmation received based on the investor CSD omnibus account.

Note: According to current market practice in Euronext Securities Milan, ICP participants wishing to instruct an already matched settlement instruction must submit instructions for both the delivering and receiving legs (e.g., MT540 and MT542 or two sese.023).

For further information on Euronext Securities Milan connectivity channels, please review the latest [Connectivity Service Description Document](#).

For details on ISO message formats, please visit the Euronext Securities Milan MyStandards pages.

⁴ When the settlement is intra-CSD, the movement is processed between two accounts within Euronext Securities Milan. If the instruction involves an investor CSD (i.e., a cross-CSD settlement), the receiving party's account details must be transmitted accordingly.

10.2.3.1. Underlying settlement references to be used within the IRI processing

In its role as issuer CSD, Euronext Securities Milan supports the trading, conversion, and transfer of French registered securities for both direct participants and participants of investor CSDs linked to Euronext Securities Milan.

As a result, Euronext Securities Milan supports both intra-CSD transactions between its direct participants and cross-CSD transactions involving participants of investor CSDs.

Ensuring the proper and most accurate reconciliation between the registration and de-registration request and the securities movements, we request IRI01 submitters to [mandatorily](#) include one settlement reference under the form of:

- the **T2S market Counterparty MITI infrastructure** reference ([CMIT](#)) or
- ~~the T2S matching reference (RelatTxId), and~~
- ~~the PTCS transaction notice reference.~~

The IRI platform accommodates the reconciliation for these two references in line with the following rules:

Type of transactions	Underlying transactions		
	Trade	Conversion	Portfolio transfer
Intra-CSD	MITI-CMIT reference, or PTCS transaction notice reference ⁵	MITI-CMIT reference, or Matching reference	MITI-CMIT reference, or Matching reference
Cross-CSD	Matching-CMIT reference, or PTCS transaction notice reference	Matching-CMIT reference	Matching-CMIT reference

~~As Issuer CSD, Euronext Securities Milan allows participants to use either the MITI or the matching reference, depending on the transaction type (intra-CSD vs cross-CSD, and whether it concerns a trade, a conversion, or a portfolio transfer).~~

⁵ PTCS enables brokers and participants to settle cash trades, benefit from a trade-matching feature, and also process deferred-settlement transactions.

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10.3. Detailed processing flow when Euronext Securities Milan acts as the issuer CSD

10.3.1. Processing flows for trades on French registered securities

Trades on French registered securities may be executed in three ways:

1. On-exchange
2. Via Euronext Securities Milan PTCS for cash or deferred-settlement trades
3. Off-exchange.

The following sections apply to French securities issued as essentially registered (VEN). Securities issued as occasionally registered (VON) and held in registered form (pure or administered) must be converted prior to trading. If no conversion is performed, settlement restrictions apply and the related settlement instructions are rejected.

10.3.1.1. IRI workflows for trades on essentially registered securities

The IRI process flow begins when the Euronext Securities Milan participant sends an IRI01 message to the IRI platform, including:

1. The settlement instruction reference if off-exchange trades (transaction type code MO or BO), or
2. The transaction notice reference if the trade has been performed on PTCS (operation code FO or CO).

Upon receipt of the IRI01, the IRI platform performs the standard syntax, format, and business-rule validations. If the message fails these validations, an IRI05 is immediately returned to the Euronext Securities Milan participant with the relevant error code.

If the IRI01 is accepted, the IRI platform generates an IRI02 and transmits it to the registrar. The registrar then accepts or rejects the request and issues an IRI03 response. The IRI platform forwards this outcome to the Euronext Securities Milan participant through an IRI04 message.

If the registrar rejects the request, the participant may resubmit an IRI01 using a transaction type code ending in "J" or regularisation. The workflow then proceeds as described above.

Step	Action	Performed by	Message
1	Receive the IRI01 and perform syntax, format, and business-rule validations	IRI platform	IRI01
2	If the message fails validation, return a technical rejection with the relevant error code	IRI platform	IRI05

Step	Action	Performed by	Message
3	If the message passes validation, forward the request to the registrar	IRI platform	IRI02
4	Accept or reject the request	Registrar	IRI03
5	Forward the registrar's response to the participant	IRI platform	IRI04
6	In case of rejection, allow resubmission with a CTO code ending in "J" for regularisation	Deliverer participant	IRI01 (regularisation)

10.3.1.2. On-exchange trade processing flow

Trades executed on-exchange are settled through the intervention of the designated clearing house acting as central counterparty. In this capacity, the clearing house and its clearing members are responsible for delivering and receiving the securities resulting from the trade.

In line with French market practice, these deliveries and receipts may be processed through the broker's dedicated trading activity account (type 06), in relation to the registered securities accounts of the seller and the buyer.

This settlement channel applies both to:

- Transactions confirmed via PTCS for cash trades, and
- Trades confirmed bilaterally between the broker and the counterparties.

The trades are settled between the following account types:

Standard settlement via the broker trading activity account (type 06)

Transactions	Participants	Account types	
		Debit	Credit
Buy trade	Market member	06	-
	Buyer		04
Sell trade	Market member	-	06
	Seller	04	-

Depending on the standing settlement instructions (SSI) agreed between market members and the central counterparty, deliveries and receipts may also be processed directly from an administered registered securities account (type 04), as shown below:

Alternative settlement via administered registered securities account

Transactions	Participants	Account types	
		Debit	Credit
Buy trade	Market member	04	-
	Buyer		04
Sell trade	Market member	-	04
	Seller	04	-

Flows involving account type 04 are subject to the IRI process, unlike flows settled exclusively through account type 06.

Note: no transaction type codes are required in the settlement instructions. Standard settlement instruction types apply, namely delivery versus payment (DvP) or free of payment (FoP).

10.3.1.3. Off-exchange trade processing flow

Off-exchange trades are executed and settled bilaterally. The trades are settled between the following account types:

Standard settlement via the broker trading activity account (type 04)

Transactions	Participants	Account types	
		Debit	Credit
Buy/Sell trade	Seller	04	-
	Buyer		04

10.3.1.4. Deferred settlement trade processing flow

Deferred settlement trades are processed within PTCS platform. According to the standard operating process, buy and sell trades are liquidated at the end of the month (if not prorogued).

Despite the deferred settlement element, the securities movement are instructed from the same type of accounts.

Standard settlement via the broker trading activity account (type 06)

Transactions	Participants	Account types	
		Debit	Credit
Buy trade	Market member	06	-
	Buyer		04
Sell trade	Market member	-	06
	Seller	04	-

10.3.2. Processing flows for conversion of French registered securities forms

As issuer CSD, Euronext Securities Milan processes conversions instructed by its own participants as well as by investor-CSD participants, including cross-CSD conversions.

These conversions cover all forms between bearer, administered registered, and pure registered securities.

Processing relies on:

- one IRI message with the transaction type code SA or CA, including the securities movement reference CMIT

• Settlement instruction reference:

○ Market Infrastructure Transaction Identification (MITI) reference, or

○ T2S matching reference <RltdTxId>.

- FoP settlement instructions.

As issuer CSD, Euronext Securities Milan allows participants to use either the MITI reference or the T2S matching reference. The choice depends on the transaction type (intra CSD vs cross CSD) and whether it concerns a trade, a conversion, or a portfolio transfer.

The CMIT reference is designed to support participants instructing conversion or portfolio-transfer operations within Euronext Securities Milan accounts when these are processed as intra-CSD and cross-CSD transactions.

Conversely, the T2S matching reference is used for cross-CSD transactions, enabling CSDs connected to Euronext Securities Milan to manage conversions and portfolio transfers of French registered securities.

10.3.2.1. Process flow for conversion from bearer form to administered registered form

The conversion of French registered shares from bearer to administered registered form may be initiated through different processing channels, depending on whether the participant instructs as:

- ICP
- DCP, or via
- the IRI platform.

The conversion occurs between the following account types:

Role	Account types	
	Debit	Credit
Participant	00	-
Same participant	-	04

Processing options

Options	Parties
	Euronext Securities Milan participant
1	- ICP participants submit settlement instruction(s) as follows: Two settlement instructions, corresponding to each leg of the transaction: - one free of payment (FoP) delivery (DELI) instruction - one FoP receipt (RECE) instruction - both with transaction indicator OWN1 - without transaction type code - to be matched - forward date or for same day-settlement. - Send an IRI with the applicable transaction type code CA.
2	- DCP participants submit settlement instruction(s) via T2S as follows: One settlement instruction including both legs details: - free of payment (FoP) - with transaction indicator OWN1 - without transaction type code - already matched - forward date or for same day-settlement. - Send an IRI with the applicable transaction type code CA.
3	Send an IRI (IRI01) with the applicable transaction type code SA.

IRI process flow

The IRI process flow begins when the Euronext Securities Milan participant sends an IRI01 message to the IRI platform, including the reference of the related settlement instruction.

Upon receipt, the IRI platform performs the technical validation of the IRI01. If the message fails these checks, an IRI05 rejection message is immediately returned to the participant, specifying the relevant error code.

If the IRI01 passes validation, the IRI platform generates an IRI02 message and transmits it to the registrar. The registrar may then accept or reject the request, issuing an IRI03 response message accordingly. The IRI platform forwards this response to the participant via an IRI04 message, indicating the outcome.

If the registrar rejects the conversion request, the participant may submit a new IRI01 message using a transaction type code ending in "J" for regularisation. The process then follows the same sequence as described above.

Settlement flow

Euronext Securities Milan participants may instruct conversion settlement using the relevant ISO 15022 or ISO 20022 settlement instruction, or by directly generating an IRI01 message (TTC is SA).

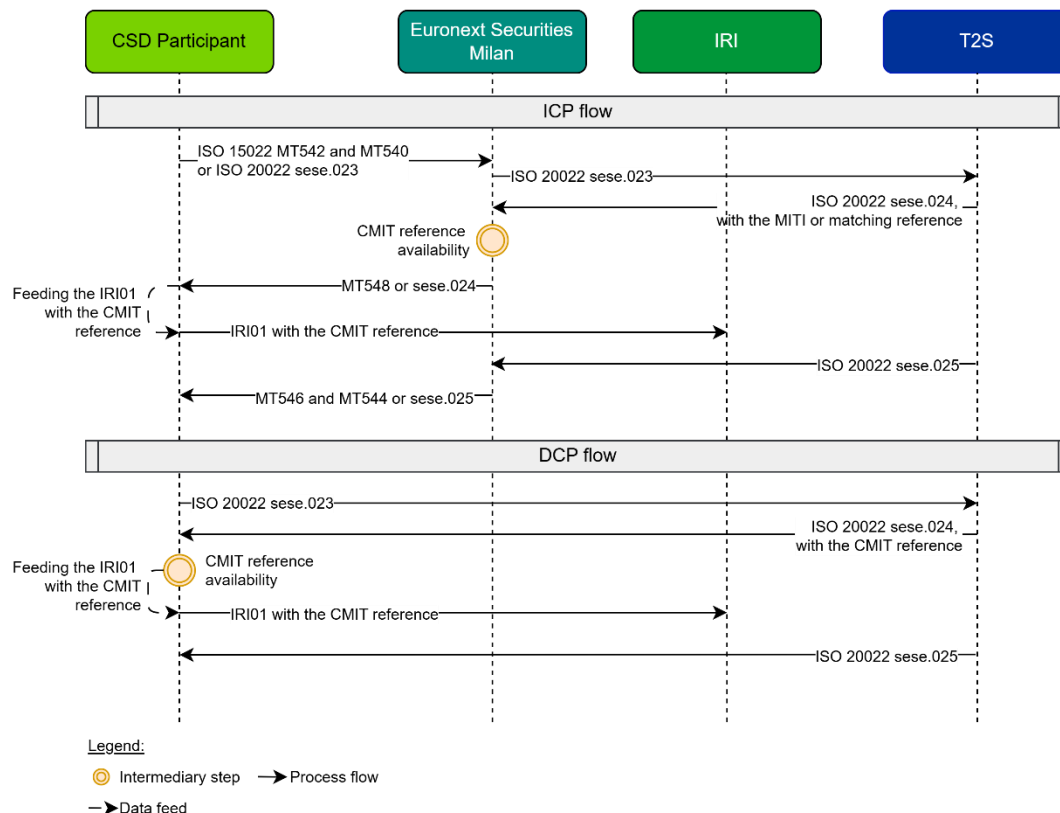
As the conversion involves a single participant, the instruction is generated in an already-matched or to be matched status, depending on if the participant is a DCP or an ICP.

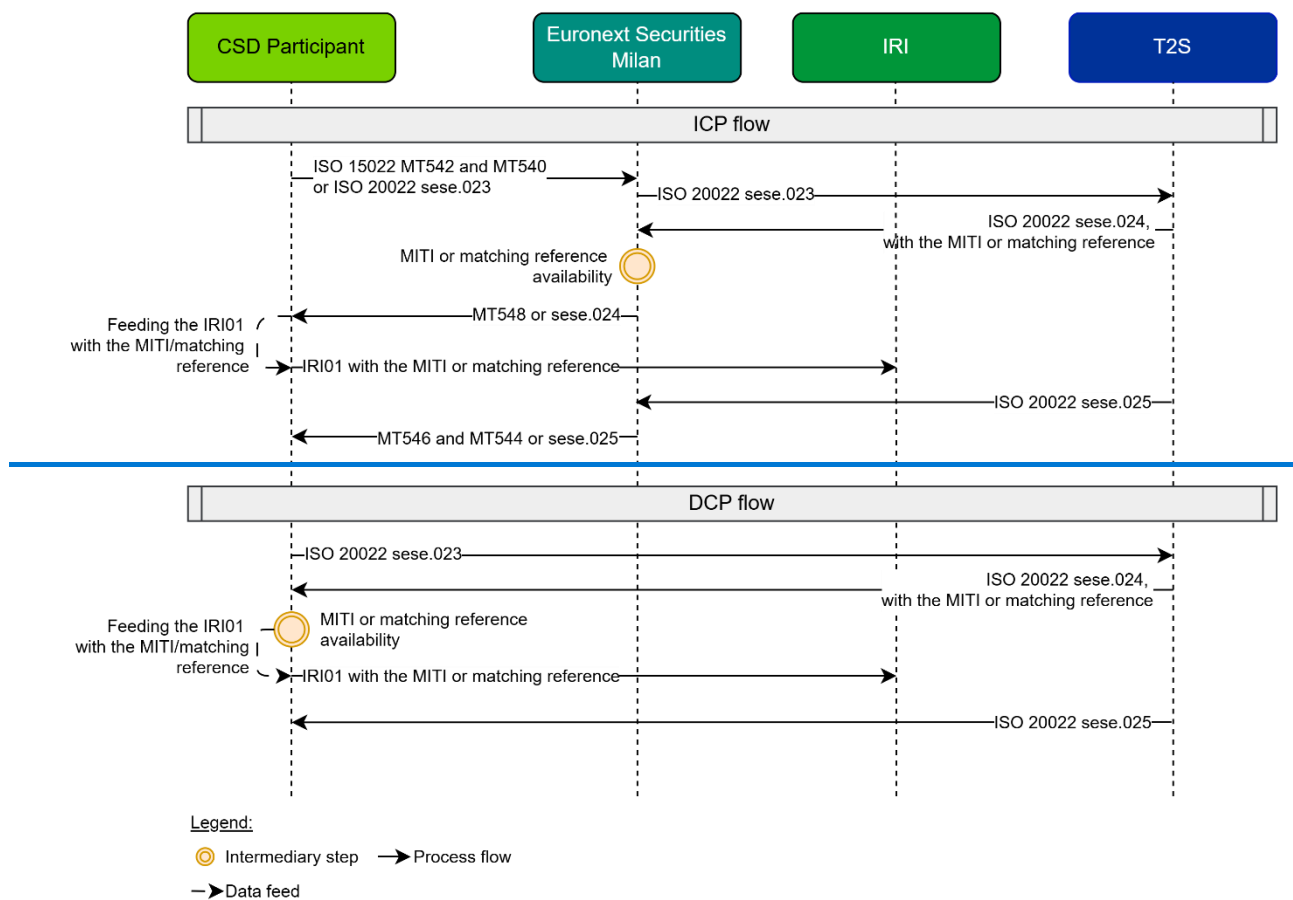
When sending settlement instructions separately, participants shall capture ~~either the Counterparty Market Infrastructure Transaction Identification (MITI) reference or the T2S matching reference~~ from the received status advice (sese.024 or MT548) and include it in the IRI01.

When the settlement instruction is embedded within the IRI01 (with SA transaction type code), the T2S reference is generated during IRI01 processing and automatically associated with the conversion request.

Following processing, ICPs receive MT544/MT546 confirmations, while DCPs receive the corresponding sese.025 confirmation message.

The diagram below illustrates the message flows for indirect (ICP) and direct CSD participants (DCP), highlighting how the ~~CMIT reference or matching reference~~ is incorporated into the IRI01.





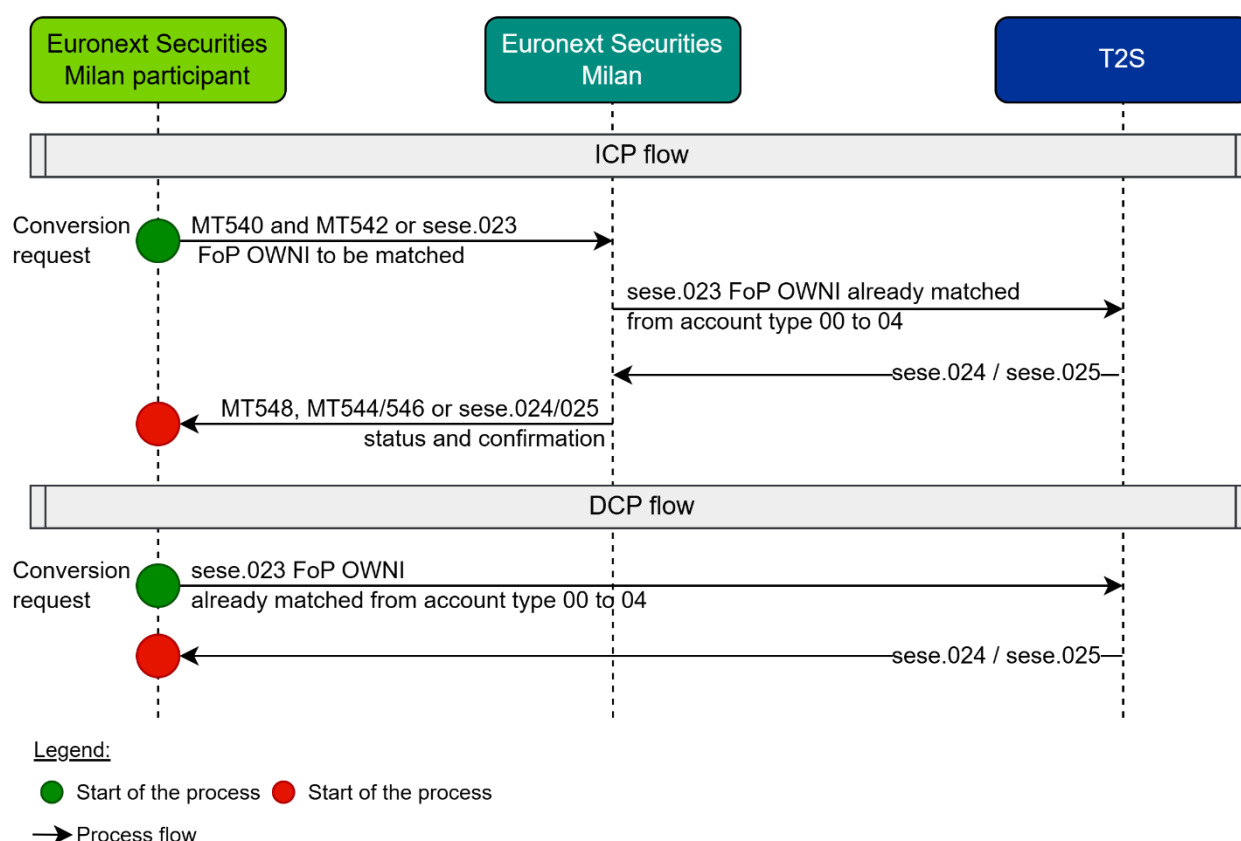
Settlement flow overview

Step	Action	Responsible party	Message format
1	Instruct conversion settlement from the bearer to the administered registered securities account	Participant, ICP or DCP	To be matched FoP instructions in ISO 15022 (MT540 and MT542), or ISO 20022 (sese.023) for ICP, or already matched FoP ISO 20022 (sese.023) for DCP, or IRI01 only
2	Receive and process ICP instructions to T2S, if applicable	Euronext Securities Milan	ISO 20022 (sese.023) already matched
3	Process settlement instructions	T2S	ISO 20022 (sese.024 and sese.025)
4	Receive and process settlement status and confirmation from T2S	Euronext Securities Milan for ICP, or DCP for their own instructions.	ISO 15022 (MT548, MT544 and MT546), or ISO 20022 (sese.024 and sese.025)

Settlement flow diagram

Below process flow applies on a conversion from bearer to administered registered form. The conversion will be instructed either by an ICP or a DCP participant.

The diagram illustrates the flow when the settlement instruction is sent separately.



Note: Cross-CSD conversions from bearer to administered registered form are also managed by Euronext Securities Milan. In these cases, the IRI message must still include the T2S matching-CMIT reference. This derives from the settlement instruction generated by the participant of the investor CSD linked to Euronext Securities Milan. As a result, the reconciliation is performed based on the realignment instruction processed on the investor CSD omnibus account.

10.3.2.2. Process flow for conversion from administered registered form to bearer form

The conversion of French registered shares from administered registered to bearer form may be initiated through different processing channels, depending on whether the participant instructs as:

- ICP
- DCP, or via
- the IRI platform.

The conversion occurs between the following account types:

Role	Account types	
	Debit	Credit
Participant	04	-
Same participant	-	00

Processing options

Options	Parties
	Euronext Securities Milan participant
1	- ICP participants submit settlement instruction(s) as follows: Two settlement instructions, corresponding to each leg of the transaction: - one free of payment (FoP) delivery (DELI) instruction - one FoP receipt (RECE) instruction - both with transaction indicator OWNI - without transaction type code - to be matched - forward date or for same day-settlement. - Send an IRI with the applicable transaction type code CA.
2	- DCP participants submit settlement instruction(s) via T2S as follows: One settlement instruction including both legs details: - free of payment (FoP) - with transaction indicator OWNI - without transaction type code - already matched - forward date or for same day-settlement. - Send an IRI with the applicable transaction type code CA.
3	Send an IRI (IRI01) with the applicable transaction type code SA.

IRI process flow

The IRI process flow begins when the Euronext Securities Milan participant sends an IRI01 message to the IRI platform, including the reference of the related settlement instruction.

Upon receipt, the IRI platform performs the technical validation of the IRI01. If the message fails these checks, an IRI05 rejection message is immediately returned to the participant, specifying the relevant error code.

If the IRI01 passes validation, the IRI platform generates an IRI02 message and transmits it to the registrar. The registrar may then accept or reject the request, issuing an IRI03 response message accordingly. The IRI platform forwards this response to the participant via an IRI04 message, indicating the outcome.

If the registrar rejects the conversion request, the participant may submit a new IRI01 message using a CTO code ending in "J" for regularisation. The process then follows the same sequence as described above.

Settlement flow

Euronext Securities Milan participants may instruct conversion settlement using the relevant ISO 15022 or ISO 20022 settlement instruction, or by directly generating an IRI01 message (TTC is SA).

As the conversion involves a single participant, the instruction is generated in an already-matched or to be matched status, depending on if the participant is a DCP or an ICP.

When sending settlement instructions separately, participants shall capture ~~either the Counterparty~~ market infrastructure transaction identification (~~CMIT~~) reference ~~or the T2S matching reference (RelaTxId)~~ from the received status advice (sese.024 or MT548) and include it in the IRI01.

When the settlement instruction is embedded within the IRI01 (with SA transaction type code), the ~~MITI reference is received from T2S and is~~ automatically added to the IRI01 information and further processed toward the registrar. This reference is included in the IRI02 and other messages in line with the defined IRI data dictionary.

Following processing, ICPs receive MT544/MT546 confirmations, while DCPs receive the corresponding sese.025 confirmation message.

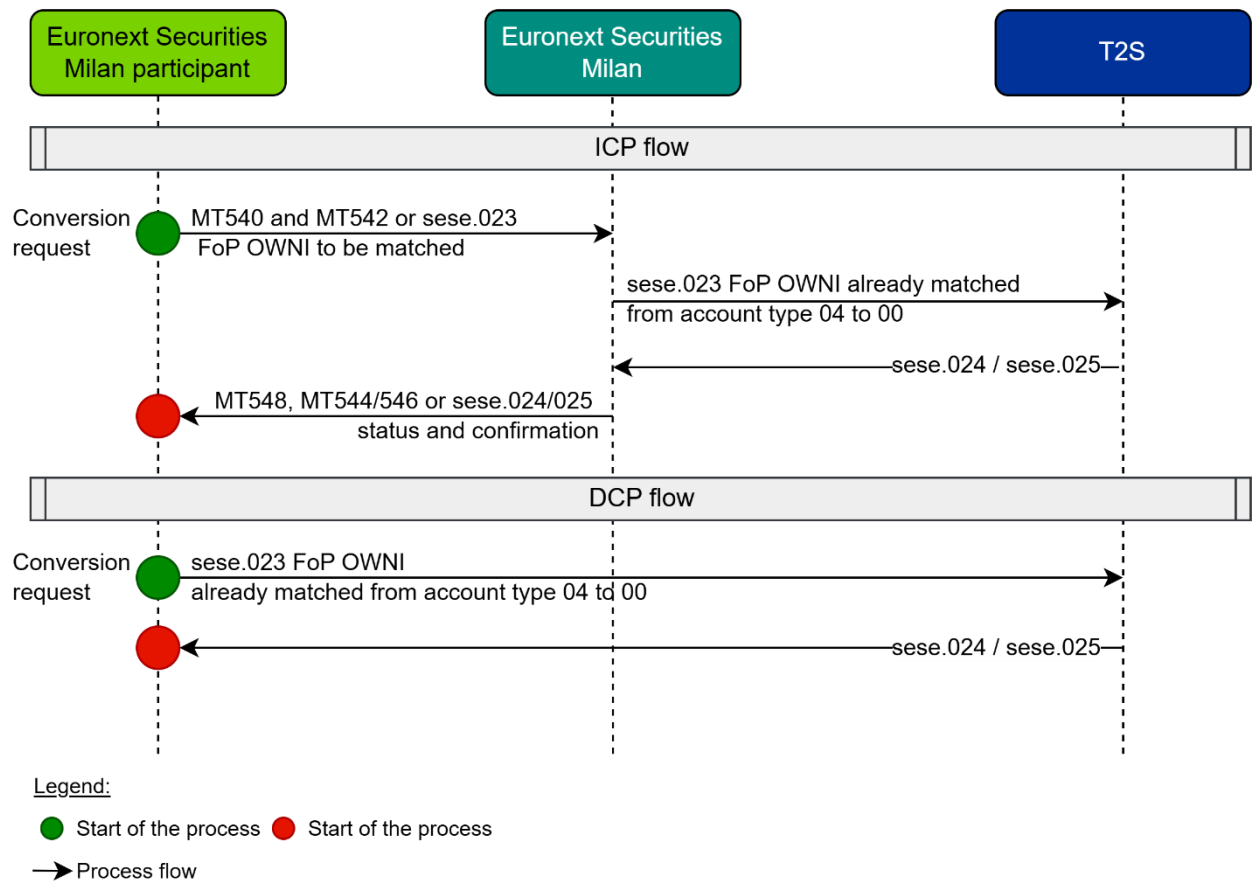
Settlement flow overview

Step	Action	Responsible party	Message format
1	Instruct conversion settlement from the administered registered to the bearer securities account	Participant, ICP or DCP	To be matched FoP instructions in ISO 15022 (MT540 and MT542), or ISO 20022 (sese.023) for ICP, or already matched FoP ISO 20022 (sese.023) for DCP, or IRI01 only
2	Receive and process ICP instructions to T2S, if applicable	Euronext Securities Milan	ISO 20022 (sese.023) already matched
3	Process settlement instructions	T2S	ISO 20022 (sese.024) and (sese.025)
4	Receive and process settlement status and confirmation from T2S	Euronext Securities Milan for ICP, or DCP for their own instructions.	ISO 15022 (MT548, MT544 and MT546), or ISO 20022 (sese.024 and sese.025)

Settlement flow diagram

Below process flow applies on a conversion from bearer to administered registered form. The conversion will be instructed either by an ICP or a DCP participant.

The diagram illustrates the flow when the settlement instruction is sent separately.



Note: Cross-CSD conversions from bearer to administered registered form are also managed by Euronext Securities Milan. In these cases, the IRI message must [still](#) include the T2S [matching-CMIT](#) reference. This derives from the settlement instruction generated by the participant of the investor CSD linked to Euronext Securities Milan. As a result, reconciliation is performed based on the realignment instruction processed on the investor CSD omnibus account.

10.3.2.3. Process flow for conversion from bearer form to pure registered form

The conversion of French registered shares from bearer to pure registered form may be initiated through different processing channels, depending on whether the participant instructs as:

- ICP
- DCP, or via
- the IRI platform.

The conversion occurs between the following account types:

Role	Account types	
	Debit	Credit
Participant	00	-
Registrar	-	07

Processing options

Options	Parties	
	Euronext Securities Milan participant	Registrar
1	- ICP participants submit their settlement instruction via X-TRM as follows: One settlement instruction to deliver the securities - free of payment (FoP) delivery (DELI) instruction - with transaction indicator OWNE - without transaction type code - to be matched - forward date or for same day-settlement. - Send an IRI with the applicable transaction type code CB.	- Receives the allegation notification from T2S or Euronext Securities Milan - Submits the receiving leg settlement instruction: - free of payment (FoP) receive (RECE) instruction - with transaction indicator OWNE - without transaction type code - to be matched, - same date as the participant instruction.
2	- DCP participants submit their settlement instruction via T2S as follows: One settlement instruction to deliver the securities: - free of payment (FoP) - with transaction indicator OWNE - without transaction type code - to be matched - forward date or for same day-settlement. - Send an IRI with the applicable transaction type code CB.	Processes the IRI02 accordingly.
3	Send an IRI (IRI01) with the applicable transaction type code SB.	

IRI process flow

The IRI process flow begins when the Euronext Securities Milan participant sends an IRI01 message to the IRI platform, including the applicable T2S instruction reference.

Upon receipt, the IRI platform performs the technical validation of the IRI01 message. If the message fails these checks, an IRI05 rejection message is immediately returned to the participant, including the relevant error code.

If the IRI01 is accepted, the IRI platform processes the conversion request and generates an IRI02 message, which is forwarded to the registrar. The registrar may then accept or reject the request, issuing an IRI03 response message accordingly. The IRI platform forwards this response to the participant via an IRI04 message, indicating the outcome.

If the registrar rejects the conversion request, the participant may submit a new IRI01 message using a CTO code ending in "J" for regularisation. The process then follows the same sequence as described above.

Settlement flow

Euronext Securities Milan participants may instruct conversion settlement using the relevant ISO 15022 or ISO 20022 settlement instruction, or by directly generating an IRI01 message (TTC is SB).

As the deliverer's settlement instruction requires matching, the registrar:

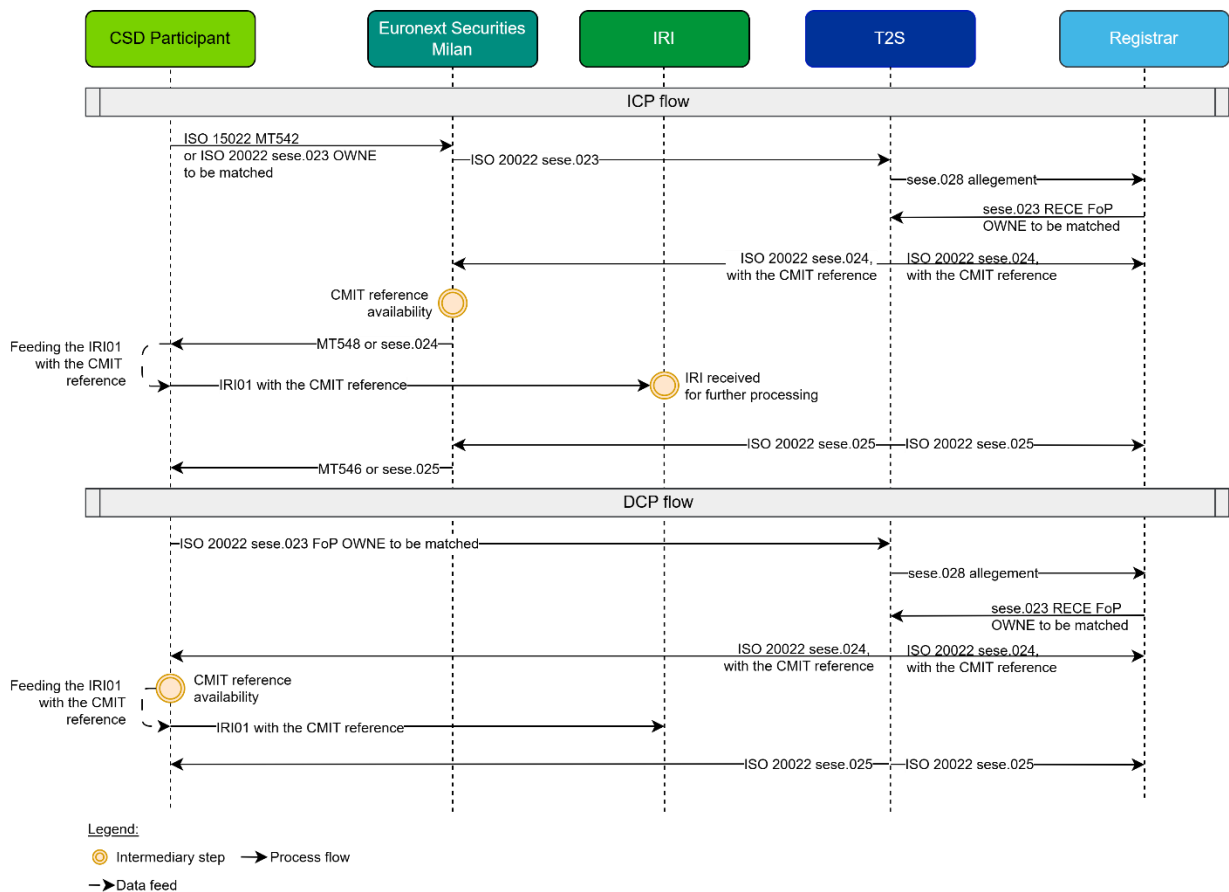
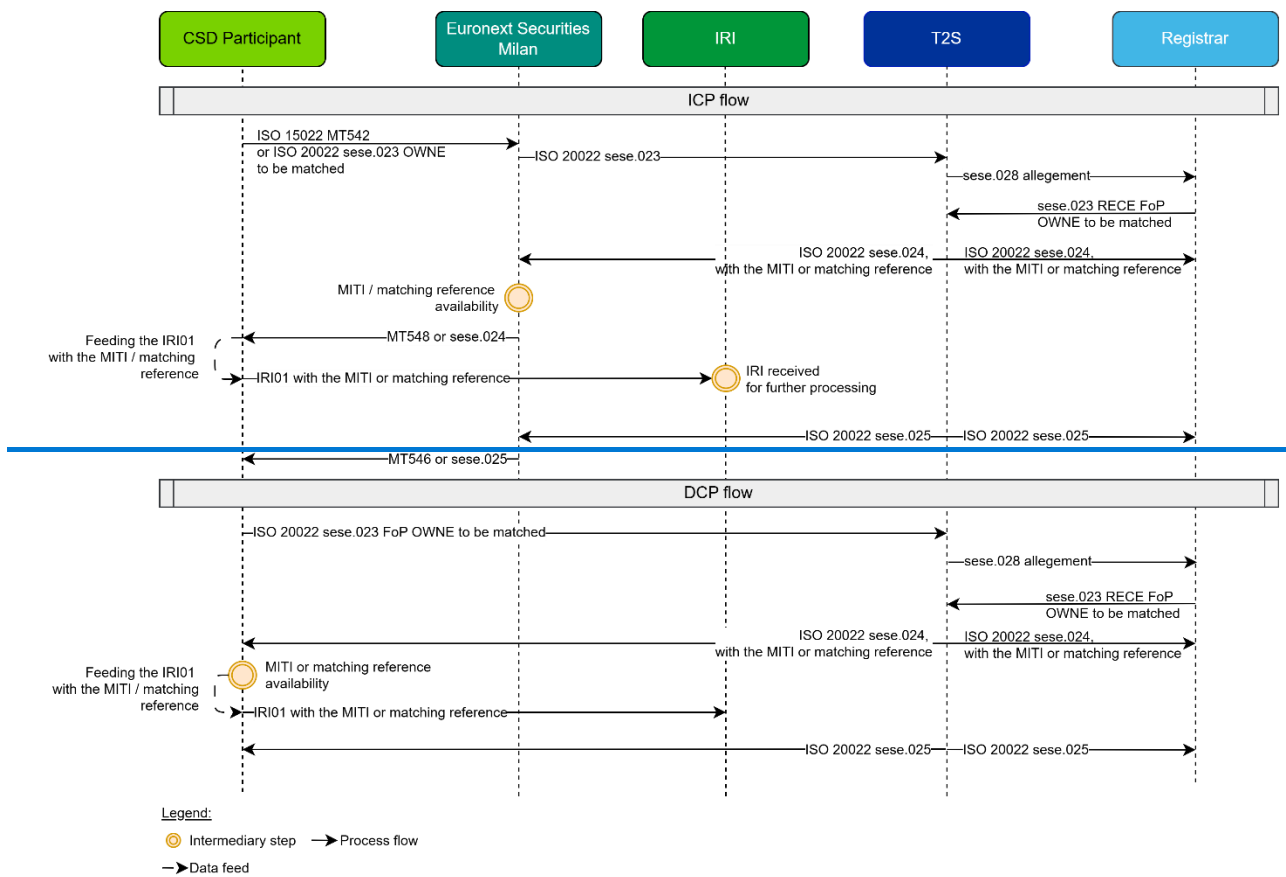
- is acknowledged of the instruction and
- instruct the receiving leg to complete the process.

When sending settlement instructions separately, participants shall capture the Counterparty Market Infrastructure Transaction Identification (MITICMIT) ~~or the T2S matching reference (RelatTxId)~~ reference from the received status advice (sese.024 or MT548) and include it in the IRI01.

When the settlement instruction is embedded within the IRI01 (with SB transaction type code), the MITI-T2S reference is ~~received from T2S and~~ automatically added to the IRI01 information and further processed toward the registrar. This reference is included in the IRI02 and other messages in line with the defined data dictionary.

Following processing, the participant and the registrar receive either a MT546 and a MT544 or a sese.025 confirmation message.

The diagram below illustrates the message flows for indirect (ICP) and direct CSD participants (DCP), highlighting how the CMIT~~I or matching~~ reference is incorporated into the IRI01.



Settlement flow overview

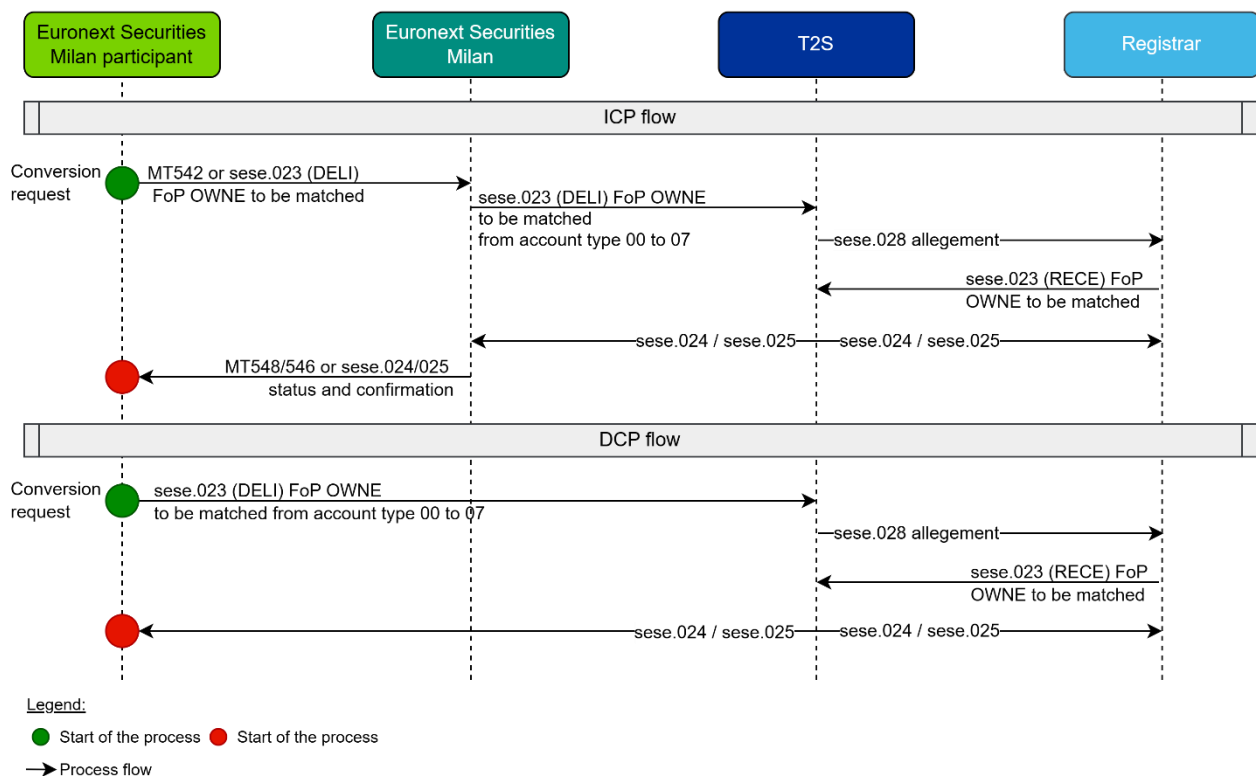
Step	Action	Responsible party	Message format
1	Instruct conversion settlement from the bearer to the pure registered securities account	Participant, ICP or DCP	To be matched FoP instruction in ISO 15022 (MT542), or ISO 20022 (sese.023), or IRI01 only
2	Receive and process ICP instructions to T2S, if applicable	Euronext Securities Milan	ISO 20022 (sese.023) to be matched
3	Send allegation notification to the registrar	T2S	ISO 20022 (sese.028)
4	Instruct the receiving leg of the conversion	Registrar	To be matched FoP instruction in ISO 15022 (MT540), or ISO 20022 (sese.023)
5	Receive and process settlement status and confirmation	Euronext Securities Milan for ICP, or DCP for their own instructions, and the registrar	ISO 15022 (MT548, MT546 or MT544), or ISO 20022 (sese.024 and sese.025)

Settlement flow diagram

Below process flow applies on a conversion from bearer to pure registered form. The conversion will be instructed either by an ICP or a DCP participant. In this flow, the registrar operates as a DCP in T2S.

Conversely, when the registrar is an ICP, it should instruct Euronext Securities Milan via the ICP channel.

The diagram illustrates the flow when the settlement instruction is sent separately.



10.3.2.4. Process flow for conversion from pure registered form to bearer form

The conversion of French registered shares from pure registered to bearer form does not require an IRI message. In this process, the registrar instructs the delivery of the converted securities directly from the issuer CSD's pure registered account (type 07).

As issuer CSD, Euronext Securities Milan does not generate pre-matched instructions but relies on the registrar to submit a to-be-matched delivery instruction, ensuring that the receiving party is properly notified.

Consequently, the receiving participant instructs the receiving leg in order to complete the settlement of the conversion.

The conversion occurs between the following account types:

Role	Account types	
	Debit	Credit
Registrar	07	-
Participant	-	00

Processing options

Options	Parties	
	Registrar	Euronext Securities Milan participant
1	ICP registrar submit their settlement instruction as follows: • One settlement instruction to deliver the securities: ○ free of payment (FoP) delivery (DELI) instruction ○ with transaction indicator OWNE ○ without transaction type code ○ to be matched ○ forward date or for same day-settlement.	1. Receives the allegation notification from T2S or Euronext Securities Milan 2. Submits the receiving leg settlement instruction: ○ free of payment (FoP) receipt (RECE) instruction ○ with transaction indicator OWNE ○ without transaction type code ○ to be matched ○ same date as the registrar instruction.
	DCP registrar submit their settlement instruction via T2S as follows: • One settlement instruction to deliver the securities: ○ free of payment (FoP) ○ with transaction indicator OWNE ○ without transaction type code ○ to be matched ○ forward date or for same day-settlement.	

IRI process flow

In this case, no IRI is required.

Settlement flow

Euronext Securities Milan participants acting as registrar may instruct the conversion settlement using the relevant ISO 15022 or ISO 20022 settlement instruction.

As the deliverer's settlement instruction is subject to matching, the receiving participant:

- is notified through an allegation and
- subsequently instructs the receiving leg to complete the process.

The conversion is settled once both instructions are matched, resulting in the delivery of the converted quantity from the registrar's pure registered account (type 07) to the participant's securities account (type 00), as specified in the settlement instruction details.

Settlement flow overview

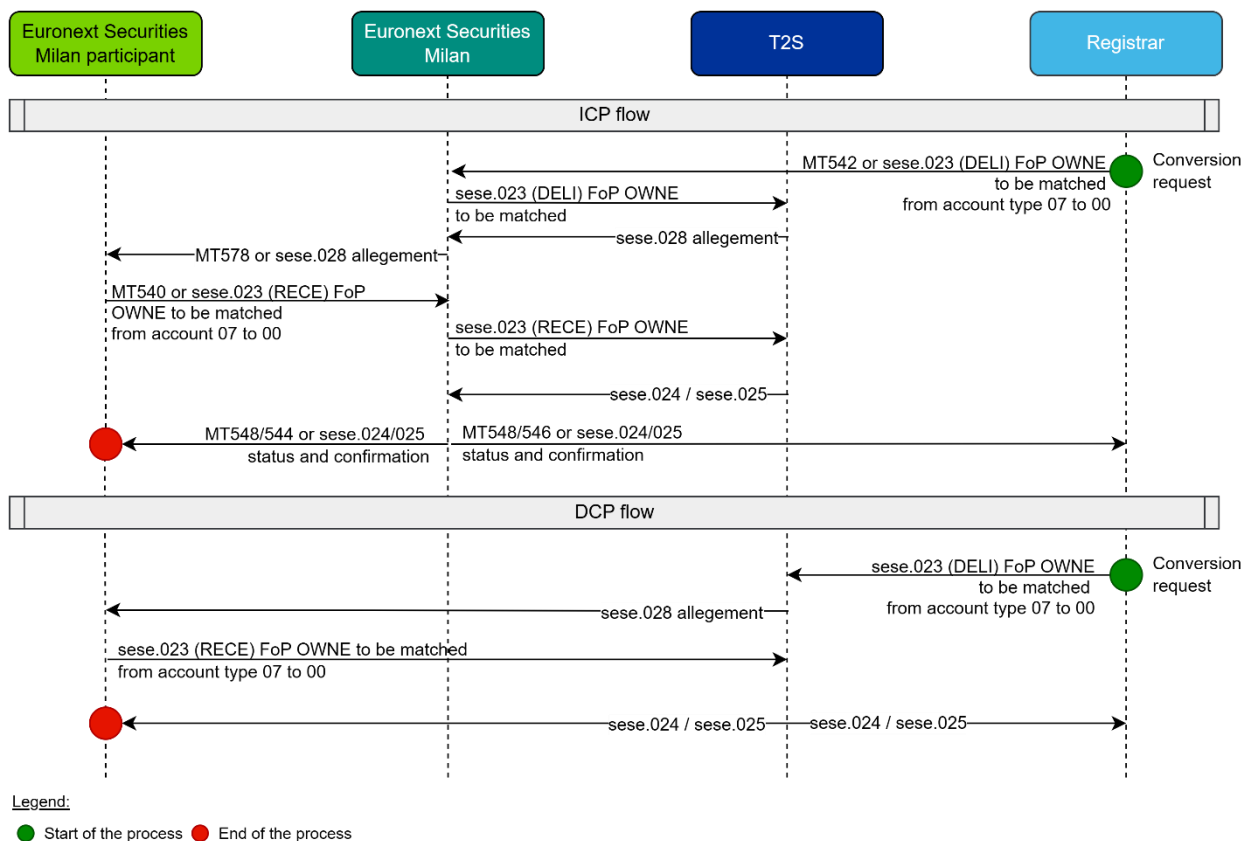
Step	Action	Responsible party	Message format
1	Instruct conversion settlement from the pure registered to the bearer securities account	Registrar	To be matched FoP instruction in ISO 15022 (MT542) or ISO 20022 (sese.023)
2	Receive and process ICP instructions to T2S, if applicable	Euronext Securities Milan	ISO 20022 (sese.023) to be matched
3	Send allegation notification to the registrar	T2S	ISO 20022 (sese.028)
4	Receive settlement allegation from T2S or Euronext Securities Milan	Receiving participant	ISO 15022 (MT578) or ISO 20022 (sese.028)
5	Instruct the receiving leg of the conversion	Receiving participant	To be matched FoP instruction in ISO 15022 (MT540), or ISO 20022 (sese.023)
6	Receive and process settlement status and confirmation	Euronext Securities Milan for ICP, or DCP for their own instructions, and the registrar	ISO 15022 (MT548, MT544 or MT546), or ISO 20022 (sese.024 and sese.025)

Settlement flow diagram

Below process flow applies on a conversion from pure registered to bearer form. The conversion will be instructed either by an ICP or a DCP participant.

Below process flow applies on a conversion from pure registered to bearer form. The conversion may be instructed either by an ICP or a DCP participant. In this flow, the registrar operates as a DCP in T2S.

Conversely, when the registrar is an ICP, it should instruct Euronext Securities Milan via the ICP channel.



10.3.2.5. Process flow for conversion from administered registered form to pure registered form

The conversion of French registered shares from administered registered to pure registered form may be initiated through different processing channels, depending on whether the participant instructs as:

- ICP
- DCP, or via
- the IRI platform.

The conversion occurs between the following account types:

Role	Account types	
	Debit	Credit
Participant	04	-
Registrar	-	07

Processing options

Options	Parties	
	Euronext Securities Milan participant	Registrar
1	- ICP participants submit their settlement instruction via X-TRM as follows: One settlement instruction to deliver the securities: - free of payment (FoP) delivery (DELI) instruction - with transaction indicator OWNE - without transaction type code - to be matched - forward date or for same day-settlement. - Send an IRI with the applicable transaction type code CC.	- Receives the allegation notification from T2S or Euronext Securities Milan - Submits the receiving leg settlement instruction: - free of payment (FoP) receipt (RECE) instruction - with transaction indicator OWNE - without transaction type code - to be matched - same date as the participant instruction.
2	- DCP participants submit their settlement instruction via T2S as follows: One settlement instruction to deliver the securities: - free of payment (FoP) - with transaction indicator OWNE - without transaction type code - to be matched - forward date or for same day-settlement. - Send an IRI with the applicable transaction type code CC.	Processes the IRI02 accordingly.
3	Send an IRI (IRI01) with the applicable transaction type code SC.	

IRI process flow

The IRI process begins when the Euronext Securities Milan participant sends an IRI01 message to the IRI platform, including the applicable T2S instruction reference.

Upon receipt, the platform validates the message. If it fails the technical checks, an IRI05 rejection is immediately returned to the participant with the relevant error code.

If the IRI01 is accepted, the platform processes the request and issues an IRI02 message to the registrar. The registrar then accepts or rejects the request via an IRI03 message, which the platform forwards to the participant as an IRI04.

If the registrar rejects the conversion request, the participant may submit a new IRI01 using a CTO code ending in "J" for regularisation. The process then follows the same sequence.

Settlement flow

Euronext Securities Milan participants may instruct conversion settlement using the relevant ISO 15022 or ISO 20022 settlement instruction, or by directly generating an IRI01 message (TTC is SC).

As the deliverer's settlement instruction requires matching, the registrar:

- is acknowledged of the instruction and
- instruct the receiving leg to complete the process.

When sending settlement instructions separately, participants shall capture ~~either the Counterparty~~ Market Infrastructure Transaction Identification (CMIT~~I~~) reference ~~or the T2S matching reference~~ from the received status advice (sese.024 or MT548) and include it in the IRI01.

When the settlement instruction is embedded within the IRI01 (with SC transaction type code), the ~~MITI-T2S~~ reference is ~~received from T2S and~~ automatically added to the IRI01 information and further processed toward the registrar. This reference is included in the IRI02 and other messages in line with the defined data dictionary.

~~When the settlement instruction is embedded within the IRI01 (with SB transaction type code), the MITI reference is received from T2S and automatically added to the IRI01 information and further processed toward the registrar. This reference is included in the IRI02 and other messages in line with the defined data dictionary.~~

Following processing, the participant and the registrar receive either a MT546 and a MT544 or a sese.025 confirmation message.

Settlement flow overview

Step	Action	Responsible party	Message format
1	Instruct conversion settlement from the administered registered to the pure registered securities account	Participant, ICP or DCP	To be matched FoP instruction ISO 15022 (MT542), or ISO 20022 (sese.023), or IRI01 only
2	Receive and process ICP instructions to T2S	Euronext Securities Milan	ISO 20022 (sese.023) to be matched
3	Send allegation notification to the registrar	T2S	ISO 20022 (sese.028)
4	Instruct the receiving leg of the conversion	Registrar	To be matched FoP instruction in ISO 15022 (MT540), or ISO 20022 (sese.023)

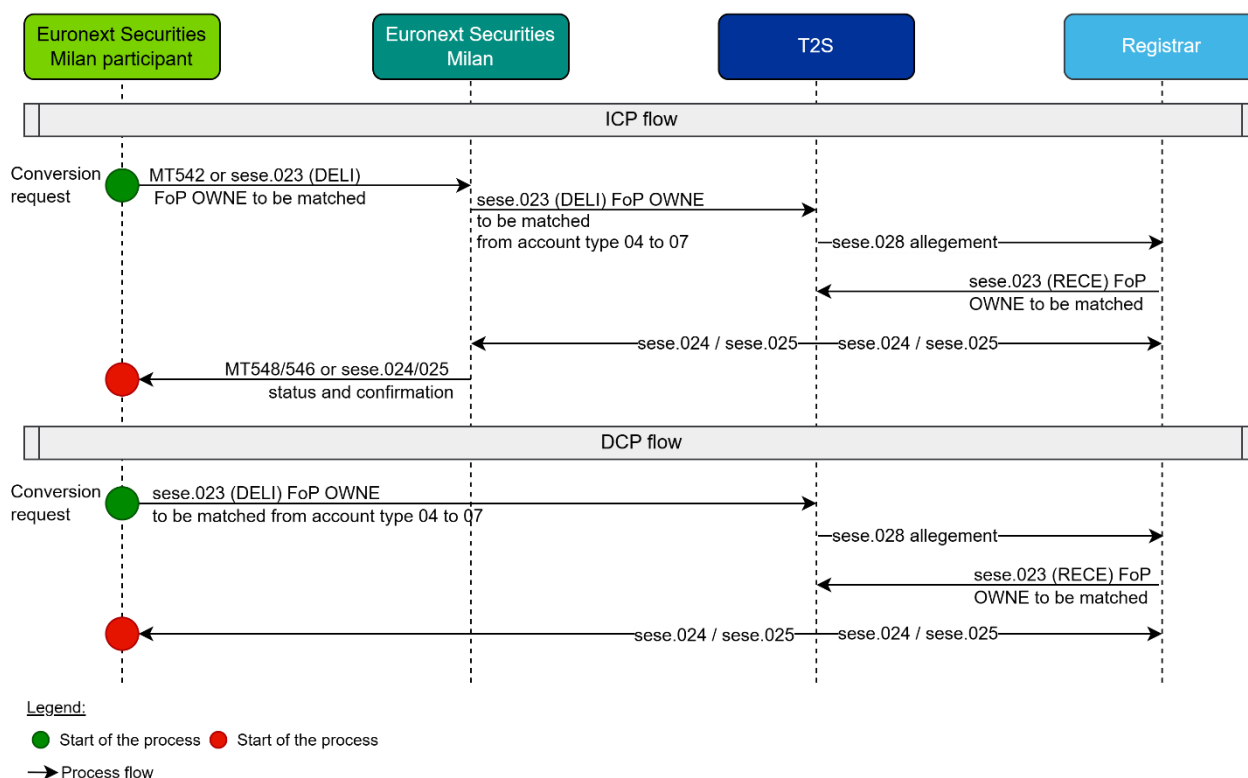
Step	Action	Responsible party	Message format
5	Receive and process settlement status and confirmation	Euronext Securities Milan for ICP, or DCP for their own instructions, and the registrar	ISO 15022 (MT548, MT546 or MT544), or ISO 20022 (sese.024 and sese.025)

Settlement flow diagram

Below process flow applies on a conversion from administered registered to pure registered form. The conversion will be instructed either by an ICP or a DCP participant. In this flow, the registrar operates as a DCP in T2S.

Conversely, when the registrar is an ICP, it should instruct Euronext Securities Milan via the ICP channel.

The diagram illustrates the flow when the settlement instruction is sent separately.



10.3.2.6. Process flow for conversion from pure registered form to administered registered form

The conversion of French registered shares from pure registered to administered registered form does require an IRI message generated by the registrar, with or without settlement.

In this process, the registrar either:

- generate an IRI with transaction type code SC, or
- instruct specifically the delivery of the converted securities directly from the issuer CSD's pure registered account (type 07), and:
 - [generate an IRI with transaction type code CC.](#)

As issuer CSD, Euronext Securities Milan does not generate pre-matched instructions but relies on the registrar to submit a to-be-matched delivery instruction, ensuring that the receiving party is properly notified.

Consequently, the receiving participant instructs the receiving leg in order to complete the settlement of the conversion.

The conversion may be initiated through different processing channels, depending on whether the registrar instructs as:

- [ICP](#)
- [DCP, or via](#)
- [the IRI platform.](#)

The conversion occurs between the following account types:

Role	Account types	
	Debit	Credit
Registrar	07	-
Participant	-	04

Processing options

Options	Parties	
	Registrar	Euronext Securities Milan participant
1	- ICP registrar submit their settlement instruction as follows: • One settlement instruction to deliver the securities: ○ free of payment (FoP) delivery (DELI) instruction ○ with transaction indicator OWNE ○ without transaction type code ○ to be matched ○ forward date or for same day-settlement. - Send an IRI with the applicable transaction type code CC.	- Receives the allegation notification from T2S or Euronext Securities Milan - Submits the receiving leg settlement instruction: ○ free of payment (FoP) receipt (RECE) instruction ○ with transaction indicator OWNE ○ without transaction type code ○ to be matched ○ same date as the registrar instruction. - Receives the IRI for confirmation.

Options	Parties	
	Registrar	Euronext Securities Milan participant
1	DCP participants submit their settlement instruction via T2S as follows:	
2	• One settlement instruction to deliver the securities: ○ free of payment (FoP) ○ with transaction indicator OWNE ○ without transaction type code ○ to be matched ○ forward date or for same day-settlement.	
	2. Send an IRI with the applicable transaction type code CC.	
3	Send an IRI (IRI01) with the applicable transaction type code SC.	

IRI process flow

The IRI process flow begins when the registrar sends an IRI01 message, including the settlement instruction reference.

Upon receipt and technical acceptance of the IRI01, the IRI platform generates an IRI02, which is sent to the receiving Euronext Securities Milan participant.

Settlement flow

Euronext Securities Milan participants acting as registrar may instruct the conversion settlement using the relevant ISO 15022 or ISO 20022 settlement instruction, or by directly generating an IRI01 message.

As the deliverer's settlement instruction is subject to matching, the receiving participant:

- is notified through an allegation and
- subsequently instructs the receiving leg to complete the process.

When sending settlement instructions separately, participants shall either capture the [Counterparty Market Infrastructure Transaction Identification \(CMITI\)](#) reference ~~or the T2S matching reference~~ from the received status advice (sese.024 or MT548) and include it in the IRI01.

When the settlement instruction is embedded within the IRI01 (with SC transaction type code), the [MITI-T2S reference](#) is generated during IRI01 processing and automatically associated with the conversion request.

Following processing, the registrar and the participant receive either a MT546 and a MT544 or a sese.025 confirmation message.

Settlement flow overview

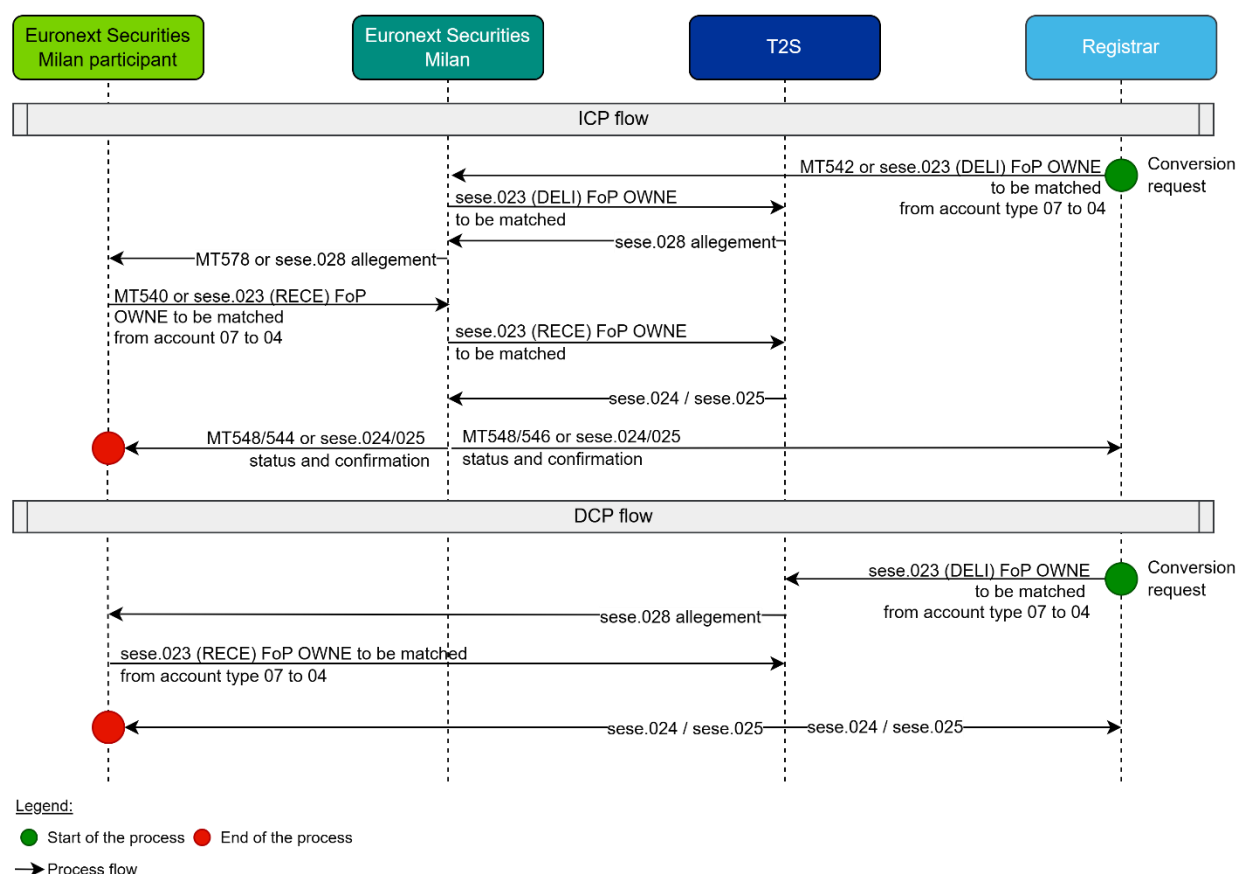
Step	Action	Responsible party	Message format
1	Instruct conversion settlement from the pure registered to the administered registered securities account	Registrar	To be matched FoP instruction in ISO 15022 (MT542) or ISO 20022 (sese.023), as a DCP or ICP, or IRI only
2	Receive and process ICP instructions, if applicable	Euronext Securities Milan	ISO 20022 (sese.023) to be matched
3	Send allegation notification to the receiving participant	T2S	ISO 20022 (sese.028)
4	Receive settlement allegation from T2S or Euronext Securities Milan	Receiving participant	ISO 15022 (MT578) or ISO 20022 (sese.028)
5	Instruct the receiving leg of the conversion	Receiving participant	To be matched ISO 15022 (MT540), or ISO 20022 (sese.023)
6	Receive and process settlement status and confirmation	Euronext Securities Milan for ICP, or DCP for their own instructions, and the registrar	ISO 15022 (MT548, MT546 or MT544), or ISO 20022 (sese.024 and sese.025)

Settlement flow diagram

Below process flow applies on a conversion from pure registered to administered registered form. The conversion may be instructed either by an ICP or a DCP participant. In this flow, the registrar operates as a DCP in T2S.

Conversely, when the registrar is an ICP, it should instruct Euronext Securities Milan via the ICP channel.

The diagram illustrates the flow when the settlement instruction is sent separately.



10.3.3. Processing flows for portfolio transfers of French registered securities

According to current French market practice, portfolio transfers fall into two categories:

- **Transfer with change of ownership** (for example, between spouses)
- **Transfers without change of ownership** but reflect a change of CSD participant or custodian holder.

Both types of operations are usually referred to as "direct transfers" or "file transfers".

10.3.3.1. Process flow for portfolio transfer with change of ownership but no change of CSD participant

A portfolio transfer with change of ownership but no change of Euronext Securities Milan participant requires a change in the issuer register. This implies the CSD participant to generate an IRI01 to inform the registrar, including the relevant Transaction Type Code (e.g., TT).

Securities movement

In such case, there is no securities movement. The ownership transfer applies at the securities account level, so that there is no transfer between securities accounts.

IRI process flow

The IRI workflow for a portfolio transfer involving a change of ownership, without a change of participant, is initiated by the Euronext Securities Milan participant. Based on the change of ownership information, known by the delivering participant, the participant sends two IRI01 messages to the IRI platform:

- one requesting the deregistration and
- another requesting the registration.

Both messages include the same file number, allowing them to be linked within the process.

This sequence reflects the **required market practice**.

Upon receipt of the IRI01 messages, if they are technically accepted, the IRI platform generates the corresponding IRI02 messages to the registrar. If an IRI01 message is technically rejected, the IRI platform immediately returns an IRI05 rejection message to the participant, including the relevant error code.

For the deregistration request, the registrar may accept or reject the message, generating an IRI03 response. The IRI platform then returns an IRI04 message to the participant, indicating the outcome.

If the deregistration is accepted and the registration request is received by the registrar, the registrar sends an IRI01 message to the IRI platform, which then generates an IRI02 message to the Euronext Securities Milan participant.

If the registrar rejects the portfolio transfer request, the participant may resend both IRI01 messages for deregistration and registration with a CTO code ending in "J" for regularisation. The process then follows the same steps as described above.

Settlement flow

No securities movement occurs, so neither the Euronext Securities Milan participant nor the CSD generates a settlement instruction.

10.3.3.2. Process flow for portfolio transfer with change of ownership and a change of CSD participant

A portfolio transfer involving a change of ownership and a change of Euronext Securities Milan participant requires two actions:

1. An update to the issuer register, managed via the IRI platform
2. One security movement between accounts, which may occur:
 - between two Euronext Securities Milan participants
 - from a Euronext Securities Milan participant (deliverer) to a participant at one investor CSD (receiver)

- from a participant from issuer CSD participant (deliverer) to a Euronext Securities Milan participant (receiver).

In all these cases, the French market practice requires the deliverer participant to:

1. generate IRI messages, and
2. submit a FoP OWNE settlement instruction to be matched.

Based on this FoP instruction, T2S alleges the receiving party, prompting them to instruct the corresponding receiving leg for matching and settlement. This allegation can be performed cross-CSD and will process the realignment of the investor CSD omnibus account upon the settlement.

Securities movement

Securities movement occurs between two administered registered securities accounts. This involves the issuer CSD type 04 and any corresponding account type such as the account nature NDC 001 from Euronext France.

Participant	CSD participant	Account type		Type of settlement instructions	T2S reference used in the IRI
		Debit	Credit		
Deliverer	Euronext Securities Milan	Type 04	-	FoP OWNE (DELI) to be matched	CMIT reference, or matching reference
Receiver	Euronext Securities Milan	-	Type 04	FoP OWNE (RECE) to be matched	None
Or...					
Deliverer	Euronext Securities Milan	Type 04	-	FoP OWNE (DELI) to be matched	Matching-CMIT reference, since when it is a cross-CSD transaction
Receiver	Investor CSD with an omnibus account	-	Type 04 or assimilated ⁶	FoP OWNE (RECE) to be matched	none
Or...					
Deliverer	Investor CSD with an omnibus account	Type 04 or assimilated	-	FoP OWNE (DELI) to be matched	Matching-CMIT reference, since when it is a cross-CSD transaction
Receiver	Euronext Securities Milan	-	Type 04	To be matched FoP (RECE)	none

Note: In the third scenario, the investor CSD must generate the IRI message for registration and de-registration. In the third scenario, the investor CSD receives the IRI from the registrar.

⁶ Assimilated account' refers to French administered registered-securities accounts that are treated as equivalent to Type 04 accounts for settlement purposes. These accounts can be used in cross-CSD settlement flows when they hold registered securities eligible for processing in T2S.

IRI process flow

When the delivering participant of Euronext Securities Milan knows the information of the new beneficial owner, they must instruct both the transfer and the change of beneficial ownership. In this case, two IRI01 messages must be submitted:

- one requesting the de-registration and
- another requesting the registration.

Both messages include the same file number, allowing them to be linked within the process.

This sequence reflects the **required market practice**.

Upon receipt of the IRI01 messages, if they are technically accepted, the IRI platform generates the corresponding IRI02 messages to the registrar. If an IRI01 message is technically rejected, the IRI platform immediately returns an IRI05 rejection message to the participant, including the relevant error code.

For the deregistration request, the registrar may accept or reject the message, generating an IRI03 response. The IRI platform then returns an IRI04 message to the participant, indicating the outcome.

If the deregistration is accepted and the registration request is received by the registrar, the registrar sends an IRI01 message to the IRI platform, which then generates an IRI02 message to the Euronext Securities Milan participant.

If the registrar rejects the portfolio transfer request, the participant may resend both IRI01 messages for deregistration and registration with a CTO code ending in "J" for regularisation. The process then follows the same steps as described above.

Settlement flow

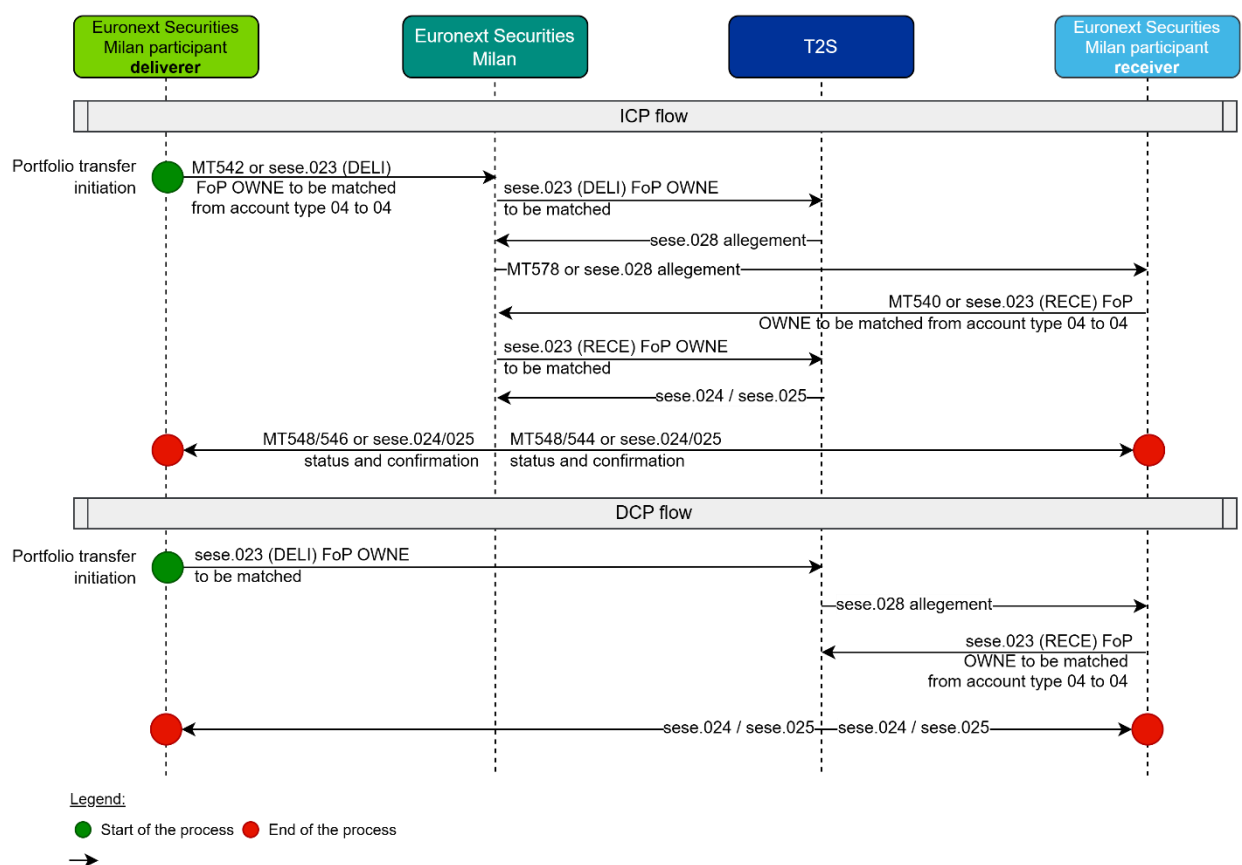
The following table describes the scenario in which the transfer occurs between two participants of Euronext Securities Milan.

Step	Action	Responsible party	Message format
1	Instruct the portfolio transfer settlement	Deliverer (Euronext Securities Milan participant)	To be matched FoP instruction in ISO 15022 (MT542) or ISO 20022 (sese.023)
2	Receive and process ICP instruction, if applicable	Euronext Securities Milan	ISO 20022 (sese.023) to be matched
3	Send allegation notification to the receiving party	T2S	ISO 20022 (sese.028)
4	Receive settlement allegation from T2S or Euronext Securities Milan	Receiving participant	ISO 15022 (MT578) or ISO 20022 (sese.028)

Step	Action	Responsible party	Message format
5	Instruct the receiving leg of the portfolio transfer	Receiving participant	To be matched FoP instruction in ISO 15022 (MT540), or ISO 20022 (sese.023)
6	Receive and process settlement status and confirmation	Euronext Securities Milan for ICP, or DCP for their own instructions	ISO 15022 (MT548, MT544 or MT546), or ISO 20022 (sese.024 and sese.025)

Settlement flow diagram

Below process flow applies on a portfolio transfer with change of ownership and participant. The transfer will be instructed either by an ICP or a DCP participant.



Cross-CSD settlement

If the receiver were not a direct participant of Euronext Securities Milan, the settlement flow would follow the standard cross-CSD model. However, the IRI02 for the deliverer must still be received in line with standard processing. The investor CSD is responsible for transmitting this information in accordance with its own rules and operational requirements.

Conversely, the transfer may also be initiated by a participant of the investor CSD. In such a case, the instruction would still follow the standard cross-CSD settlement model, but the investor CSD participant must ensure that the IRI process is duly triggered. It remains the

responsibility of the investor CSD to transmit the corresponding IRI messages in accordance with its operational rules and applicable procedures.

10.3.3.3. Process flow for portfolio transfer without change of ownership and with change of CSD participant

A portfolio transfer without change of ownership but involving a change of participant follows the same operational pattern as a portfolio transfer with change of ownership. The deliverer initiates the securities movement and sends the required IRI messages.

The transfer may take place:

1. between two Euronext Securities Milan participants
2. from a Euronext Securities Milan participant (deliverer) to a participant at an investor CSD (receiver)
3. from an investor CSD participant (deliverer) to a Euronext Securities Milan participant (receiver).

In all scenarios, the deliverer must submit a FoP OWNE settlement instruction for matching and generate the IRI, with the relevant T2S reference.

Based on this instruction, T2S alleges the receiving party, who must then submit the corresponding receiving leg. The settlement is processed either as an intra-CSD or a cross-CSD flow, with automated realignment of the investor CSD omnibus account where applicable.

Securities movement

A portfolio transfer without change of ownership but involving a change of Euronext Securities Milan participant follows the same settlement and IRI workflow as the transfer with change of ownership described in the previous section.

The same account combinations and FoP OWNE instruction patterns apply. For ease of reference, the securities movement summary table is reproduced below

Participant	CSD participant	Account type		Type of settlement instructions	T2S reference used in the IRI
		Debit	Credit		
Deliverer	Euronext Securities Milan	Type 04	-	FoP OWNE (DELI) to be matched	CMIT reference, or matching reference
Receiver	Euronext Securities Milan	-	Type 04	FoP OWNE (RECE) to be matched	None
Or...					
Deliverer	Euronext Securities Milan	Type 04	-	FoP OWNE (DELI) to be matched	CMIT Matching reference, since when it is a cross-CSD transaction

Participant	CSD participant	Account type		Type of settlement instructions	T2S reference used in the IRI
		Debit	Credit		
Receiver	Investor CSD with an omnibus account	-	Type 04 or assimilated ⁷	FoP OWNE (RECE) to be matched	none
Or...					
Deliverer	Investor CSD with an omnibus account	Type 04 or assimilated	-	FoP OWNE (DELI) to be matched	Matching-CMIT reference, since <u>when</u> it is a cross-CSD transaction
Receiver	Euronext Securities Milan	-	Type 04	To be matched FoP (RECE)	none

IRI process flow

The following description applies when the transfer takes place between two Euronext Securities Milan participants.

The IRI workflow for a portfolio transfer without change of ownership starts with an IRI01 message sent by the deliverer. If the IRI01 is technically rejected, the IRI platform immediately returns an IRI05 with the relevant error code.

If the request is accepted, the IRI platform forwards an IRI02 to the registrar. The registrar then either accepts or rejects the request and sends an IRI03 response. Based on this response, the IRI platform issues an IRI04 to the participant confirming the outcome.

When the registrar accepts the portfolio transfer, it sends an IRI01 registration message to the IRI platform. Upon receipt, the platform generates a new IRI02 and transmits it to the new registered participant.

If the registrar rejects the request, the participant may resubmit an IRI01 using a CTO code ending in 'J' for regularisation. The workflow then proceeds as described above.

Settlement flow

The settlement steps for a portfolio transfer without change of ownership but involving a change of Euronext Securities Milan participant follow the same sequence as those described in the previous section for transfers with change of ownership.

The same FoP OWNE instruction pattern applies, and the deliverer and receiver perform the same actions in T2S.

For completeness, the settlement steps are reproduced below.

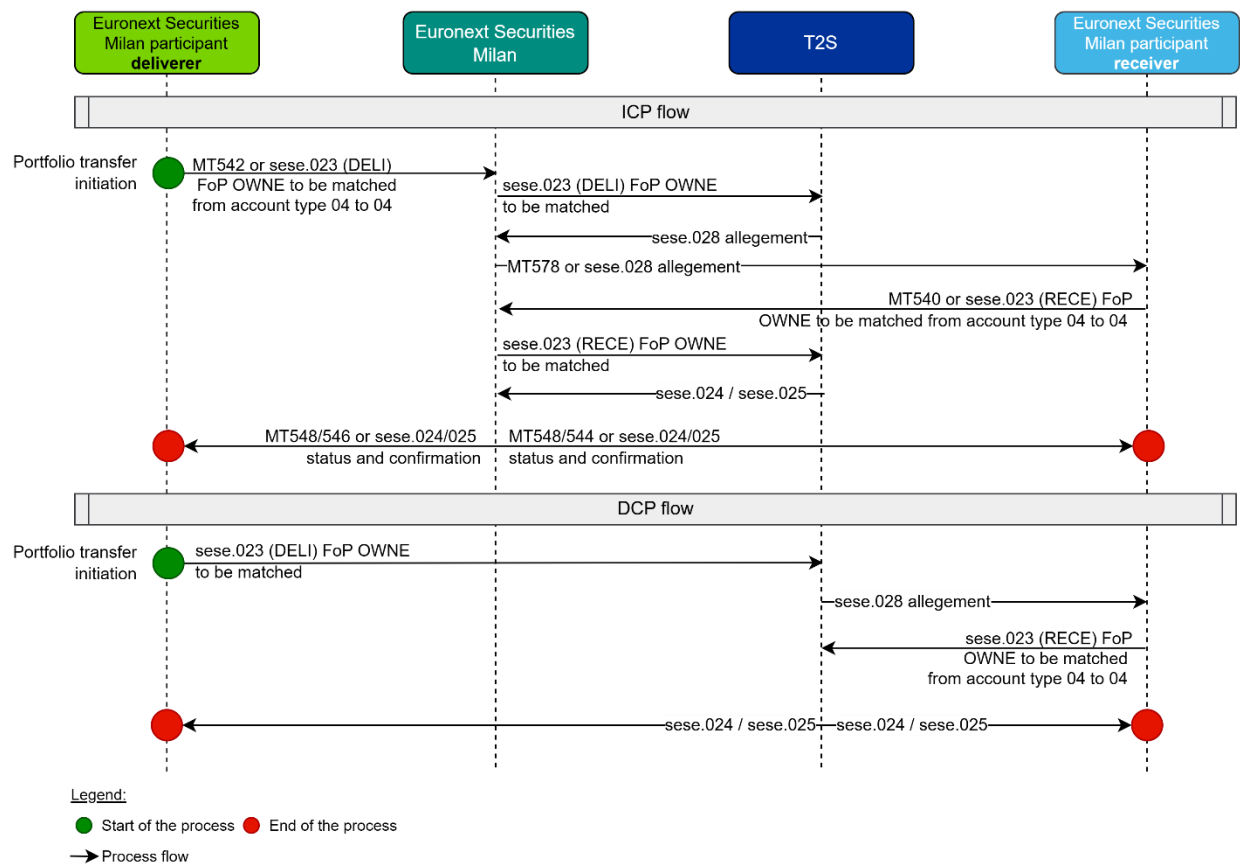
⁷ Assimilated account refers to French administered registered-securities accounts that are treated as equivalent to Type 04 accounts for settlement purposes. These accounts can be used in cross-CSD settlement flows when they hold registered securities eligible for processing in T2S.

Step	Action	Responsible party	Message format
1	Instruct the portfolio transfer settlement	Deliverer (Euronext Securities Milan participant)	To be matched FoP instruction in ISO 15022 (MT542) or ISO 20022 (sese.023)
2	Receive and process ICP instruction	Euronext Securities Milan	ISO 20022 (sese.023) to be matched
3	Send allegation notification to the receiving party	T2S	ISO 20022 (sese.028)
4	Receive settlement allegation from T2S or Euronext Securities Milan	Receiving participant	ISO 15022 (MT578) or ISO 20022 (sese.028)
5	Instruct the receiving leg of the portfolio transfer	Receiving participant	To be matched FoP instruction in ISO 15022 (MT540), or ISO 20022 (sese.023)
6	Receive and process settlement status and confirmation	Euronext Securities Milan for ICP, or DCP for their own instructions	ISO 15022 (MT548, MT544 or MT546), or ISO 20022 (sese.024 and sese.025)

Note: In case of cross-CSD transfer the IRI must convey the T2S matching reference for the IRI reconciliation on flows to be performed successfully.

Settlement flow diagram

The settlement flow applicable to a portfolio transfer without change of ownership between two participants follows the same sequence as the transfer with change of ownership. The corresponding steps are restated below.



Cross-CSD settlement

As in the case of a portfolio transfer with change of ownership, if the receiver is not a direct participant of Euronext Securities Milan, the settlement flow follows the standard cross-CSD model. The IRI02 for the deliverer must still be received in accordance with standard processing, and the investor CSD remains responsible for transmitting this information in line with its own operational rules and requirements.

Similarly, the transfer may also be initiated by a participant of the investor CSD. In this situation, the instruction continues to follow the standard cross-CSD settlement model, and the investor CSD participant must ensure that the IRI process is properly triggered. The investor CSD retains responsibility for transmitting the corresponding IRI messages in accordance with its operational rules and applicable procedures.

11. French registered shares model when Euroclear France acts as the issuer CSD and Euronext Securities Milan serves as the investor CSD

11.1. Overall presentation

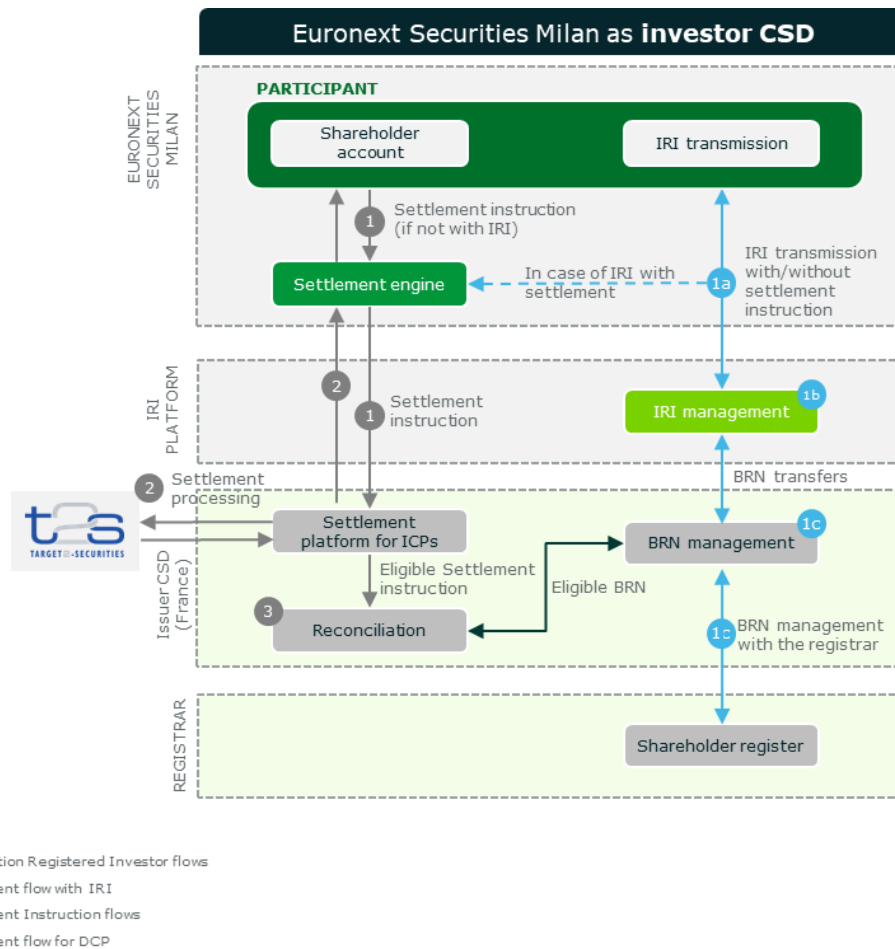
This case describes the activities performed by Euronext Securities and the IRI platform when **Euroclear France is the place of issuance**, and the custodian is holding the securities in their account with Euronext Securities Milan, which is therefore investor CSD.

In general, Euronext Securities Milan participants generate instructions to settle trades, conversions or portfolio transfers involving French registered securities. A participant may act as a direct connected participant (DCP) or an indirectly connected participant (ICP) and must instruct through the appropriate channel according to the subscribed connectivity.

For conversions or portfolio transfers on the deliverer side, the participant must instruct Euronext Securities Milan directly. This enables Euronext Securities Milan to forward the instruction to the issuer CSD, ensuring that it can perform the necessary reconciliation activities in accordance with current market practices.

There are two exceptions to this process: when the issuer reconciliation interface (IRI) platform generates the settlement instruction itself for conversions, and for cross-border portfolio transfers where there is no change of ownership.

Below high-level diagram applies on conversion operation (e.g., from bearer to administered registered).



Steps in the process flow above

Steps	Name	Description
1	Settlement instruction and processing	Whenever the participant is a DCP or an ICP, it must send a settlement instruction Euronext Securities Milan to convert the securities, unless the instruction is generated by the IRI platform, depending on the type of operation. This instruction result in debiting the participant's bearer account and crediting its administered registered securities account. Euronext Securities Milan first receive the instruction, temporarily blocks the quantity, and re-instructs (OWNI FoP already matched) directly the issuer CSD. This process enables the issuer CSD to capture all relevant information required to reconcile French BRNs and settlement flows.

Steps	Name	Description
1a	IRI transmission, with or without settlement	In parallel, the participant sends an IRI message via its preferred channel to request the new registration, in accordance with the relevant transaction type code or "CTO" as recognised on the French market. Participants can also generate/send an IRI with automated settlement instruction generation with transaction type codes or "CTO" SA, SB and SC.
1b	IRI management and BRN routing	The IRI platform controls the message format, accepts or rejects the IRIs. It transfers a BRN to and from the issuer CSD BRN platform. BRN inbound messages are received and processed by the IRI platform, with outcomes IRI messages communicated back to the identified participant.
1c	BRN management	BRN messages are received by the issuer CSD platform. It controls and sends new BRNs. The registrar reviews BRNs, accepts or rejects the request, and updates the shareholder register accordingly. The response is then returned to the platform, which subsequently sends the outcome back to IRI platform.
2	Settlement processing	Euroclear France receives and processes settlement instructions for T2S and provides back settlement status and confirmation reporting.
3	Reconciliation	Euroclear France reconciles settlement instructions against BRNs, and communicates with Euronext Securities Milan regarding any timeouts on BRNs received

11.2. Principle of processing

When Euroclear France is issuer CSD and Euronext Securities Milan is investor CSD, the IRI platform allows participants which have their safekeeping in Euronext Securities Milan, to transfer information regarding shareholders to the registrar via the Euroclear BRN platform.

The IRI platform communicates to the issuer CSD BRN system. It is responsible for:

- generating and sending BRNs after receiving and accepting an IRI message
- receiving and processing BRN feedback, including acceptance or rejection, from the platform or the registrar
- generating and sending IRI messages after receiving a BRN.

Participants should include the [settlement applicable](#) T2S reference, ~~known as the MITI reference or T2S reference~~, in their IRI messages (for example, IRI01), along with any relevant transaction type code or CTO. This ensures accurate and efficient IRI processing and BRN reconciliation by the issuer CSD. When settlement is automatically generated by

the IRI platform, Euronext Securities Milan will automatically process the ~~MITI~~-T2S reference.

Note: Due to current French market practice, all conversion and direct (portfolio) transfers received or delivered from Euronext Securities Milan participants to the French issuer CSD cannot be processed as cross-CSD transactions. In these cases, Euronext Securities Milan intermediates the settlement flow and enables processing using the specific “dump” format (without matching settlement instruction, under ISO 15022 or 20022 formats).

Consequently, a Euronext Securities Milan participant, whether an investor CSD participant (ICP) or a direct CSD participant (DCP) in T2S, must act as an ICP if the receiving party is a Euroclear France participant, and instruct Euronext Securities Milan to settle conversion or portfolio transfers when applicable.

11.2.1. Overall workflow

When Euronext Securities Milan is Investor CSD and Euroclear Issuer CSD, the IRI platform converts IRI to BRNs and vice et versa.

Euronext Securities Milan, in its role as investor CSD, instructs any conversion or portfolio (direct) transfer on behalf of participants after receiving the relevant settlement instructions (ISO 15022 or ISO 20022).

To ensure the converted or transferred securities are available prior to settlement, Euronext Securities Milan automatically blocks the relevant quantities. Unblocking is triggered as soon as the issuer CSD confirms settlement to Euronext Securities Milan.

11.2.2. IRI conversion

11.2.2.1. IRI01 conversion to BRN01

The IRI01 received from the Custodian allows the IRI platform to transfer the corresponding BRN 01 and transmit it to Euroclear France.

All the data entered in IRI01 are used to create BRN01.

11.2.2.2. BRN03 conversion to IRI04

Upon receipt of the BRN 03 from Euroclear France, the IRI platform creates the IRI04 flow which is then transmitted to the Custodian (cf. 3.2.4.7 - IRI04 – Acceptance or rejection of IRI by the registrar)

Two scenarios are then possible:

1. IRI01 is accepted then the process is finished
2. IRI01 is rejected the Custodian must issue a regularisation IRI01 to the platform which feeds a regularisation BRN 01 which is then transmitted to EF for acceptance by the registrar.

11.2.2.3. IRI07 – IRI01 Correction for reconciliation

Custodian can transmit an IRI07 to correct an IRI01 (cf. § 7.3.7.).

In this case, upon receipt and successful control, Euronext Securities Milan transfers an ERVN to Euroclear.

11.2.3. Accepted types of settlement instructions

Across the available settlement channels, Euronext Securities Milan participants can submit instructions formatted in either ISO 15022 or ISO 20022.

Especially for conversions of forms (e.g., from bearer to administered registered) and portfolio transfers (e.g., direct transfer or file transfer) the accepted settlement instructions are as follows:

ISO format	Settlement instructions	Fields description
ISO 15022	MT542 Without Matching	• Free of payment (FoP) • Transaction types: without matching • OWNE indicator • Registration indicator with the relevant transaction type code • Receiving party narrative including the beneficiary securities account number in Euronext Securities Milan, if required • Settlement processing narrative with the cost of the line information, if required • Settlement processing narrative with the cost basis information, if required • Addressee description, if applicable.
ISO 20022	sese.023 Without Matching	• Payment: FREE • Transaction types: without matching • Movement type: DELI • Securities transaction type: OWNE • Registration identification • Receiving party narrative including the beneficiary standing for the beneficiary securities account number in Euronext Securities Milan, if required • Settlement processing details with the cost of the line information, if required • Settlement processing details with the cost basis information, if required • Addressee description, if applicable.

In case of portfolio transfers between Euronext Securities Milan participants, the Italian market practice prevails and the delivering party instructs a FoP to be matched (either ISO 15022 MT542 or ISO 20022 sese.023).

For further information on Euronext Securities Milan connectivity channels, please review the latest [Connectivity Service Description Document](#).

For details on ISO message formats, please visit the Euronext Securities Milan MyStandards pages.

11.2.3.1. Underlying settlement references to be used within the IRI processing

In its role as an investor CSD, Euronext Securities Milan supports the trading, conversion, and transfer of French registered securities. The key difference from the issuer-CSD model is that conversions and portfolio transfers can only be processed through the ICP channels.

There is no change with respect to the processing of trades for either ICP or DCP participants; trading activity continues to follow the existing model without impact.

Ensuring the proper monitoring of the registration and de-registration processing, we request IRI01 submitters to include one settlement reference under the form of:

- the **T2S Counterparty MITI reference (CMIT)** or
- the **PTCS transaction notice reference**.

The IRI platform accommodates the reconciliation for these two references in line with the following rules:

<u>Type of transactions</u>	<u>Underlying transactions</u>		
	<u>Trade</u>	<u>Conversion</u>	<u>Portfolio transfer</u>
<u>Intra-CSD</u>	<u>CMIT reference, or PTCS transaction notice reference⁸</u>	<u>CMIT reference</u>	<u>CMIT reference</u>
<u>Cross-CSD</u>	<u>CMIT reference, or PTCS transaction notice reference</u>	<u>CMIT reference</u>	<u>CMIT reference</u>

Note: When an IRI is processed with transaction code SA, SB, or SC, the T2S reference is automatically assigned by Euronext Securities Milan.

11.2.4. Reconciliation process, when Euroclear France is issuer CSD

Euroclear manages the reconciliation process for the securities for which they are issuer CSD.

⁸ PTCS enables brokers and participants to settle cash trades, benefit from a trade-matching feature, and also process deferred-settlement transactions.

They report the result of the reconciliation to Euronext Securities Milan, as investor CSD.

Euronext Securities Milan transfers to the concerned custodians Regularisation notifications and penalties which can be applied.

11.3. Detailed processing flow when Euronext Securities Milan acts as the investor CSD

11.3.1. Processing flows for trades on French registered securities

Trades on French registered securities may be executed on-exchange (with or without PTCS intermediation) or off-exchange. When Euronext Securities Milan acts as investor CSD, no specific processing is required at investor-CSD level. The follow-up of trade execution and the associated IRI registration or de-registration remain the responsibility of the buyer, the seller, or the relevant market members.

The following sections apply to French securities issued as essentially registered (VEN).

Securities issued as occasionally registered (VON) and held in registered form (pure or administered) must be converted prior to trading. If the conversion is not performed, settlement restrictions apply and the corresponding settlement instructions are rejected.

11.3.1.1. IRI workflows for trades on essentially registered securities

The IRI process flow begins when the Euronext Securities Milan participant sends an IRI01 message to the IRI platform, including:

1. The settlement instruction reference if OTC trades (IRI01 with a transaction type code MO or BO), or
2. The transaction notice reference if the trade has been performed on PTCS (transaction type code FO or CO).

Upon receipt of the IRI01, the IRI platform performs standard syntax, format, and business-rule validations. If the message fails any of these validations, an IRI05 is immediately returned to the participant with the corresponding error code.

If the IRI01 is accepted, the IRI platform generates a BRN 01 and transmits it to the BRN platform. Once the BRN01 is validated⁹, the BRN platform forwards a BRN02 to the registrar.

The registrar then accepts or rejects the request and issues a BRN03 response. The BRN platform validates the message format and sends a BRN04 to the IRI platform. The IRI platform, in turn, forwards the outcome to the Euronext Securities Milan participant via an IRI04 message.

⁹ If the message is not accepted, the Euroclear BRN platform sends a BRN05 to the IRI platform, which then relays it to the Euronext Securities Milan participant via an IRI05.

If the registrar rejects the request, the participant may resubmit an IRI01 using a transaction type code ending in "J" or regularisation. The workflow then proceeds as described above.

Step	Action	Performed by	Message
1	Receive the IRI01 and perform syntax, format, and business-rule validations	IRI platform	IRI01
2	If the message fails validation, return a technical rejection with the relevant error code	IRI platform	IRI05
3	If the message passes validation, forward the request to the BRN platform	IRI platform	BRN01
4	Validates the format and transfers a BRN02 to the registrar	BRN platform	BRN02
5	Accept or reject the request	Registrar	BRN03
6	Forward the registrar's response to the IRI platform	BRN platform	BRN04
7	Forward the registrar's response to the Euronext Securities Milan Participant	IRI platform	IRI04
6	In case of rejection, allow resubmission with a transaction type code ending in "J" for regularisation	Deliverer participant	IRI01 (regularisation)

11.3.1.2. On-exchange trade processing flow

When Euronext Securities Milan is the investor CSD, on-exchange transactions on French registered securities are settled via the designated clearing house in its role as central counterparty.

In this capacity, the clearing house and its clearing members are responsible for delivering and receiving the securities resulting from the trade.

Euronext Securities Milan being investor CSD does not impact the obligations of the buyer or seller toward the central counterparties and the registrar.

In line with French market practice, trades are settled between the following account types:

Standard settlement via the broker trading activity account (type 06)

Transactions	Participants	Account types	
		Debit	Credit
Buy trade	Market member	06 or NDC 010	-
	Buyer		04
Sell trade	Market member	-	06 or NDC 010
	Seller	04	-

Agreed standing settlement instructions (SSI) between market members and the central counterparty, may also directly involve administered registered securities accounts (type 04), as shown below:

Alternative settlement via administered registered securities account

Transactions	Participants	Account types	
		Debit	Credit
Buy trade	Market member	04 or NDC 001	-
	Buyer		04
Sell trade	Market member	-	04 or NDC 001
	Seller	04	-

Note: no transaction type codes are required in the settlement instructions. Standard settlement instruction types apply, namely delivery versus payment (DvP) or free of payment (FoP).

11.3.1.3. Off-exchange trade processing flow

Off-exchange trades are executed and settled bilaterally. The same settlement process applies whether Euronext Securities Milan acts as issuer CSD or investor CSD.

In both cases, the trades are settled between the following account types:

Standard settlement via the broker trading activity account (type 04)

Transactions	Participants	Account types	
		Debit	Credit
Buy/Sell trade	Seller	04	-
	Buyer		04

11.3.1.4. Deferred settlement trade processing flow

Deferred settlement trades are processed within PTCS and the issuer CSD SRD platform. According to the standard operating process, buy and sell trades are liquidated at the end of the month (if not prorogued).

Despite the deferred settlement element, the securities movement are instructed from the same type of accounts.

Standard settlement via the broker trading activity account (type 06)

Transactions	Participants	Account types	
		Debit	Credit
Buy trade	Market member	06 or NDC 010	-
	Buyer		04
Sell trade	Market member	-	06 or NDC 010
	Seller	04	-

11.3.2. Processing flows for conversion of French registered securities forms

As investor CSD, Euronext Securities Milan processes conversions by instructing through the issuer CSD.

These conversions cover all forms between bearer, administered registered, and pure registered securities.

Processing relies on:

- the interconnection between the IRI and BRN platforms, and the instruction of settlement flows to Euroclear
- subscription to the without matching service (OWNE "dump") for conversions to or from pure registered form
- the issuer CSD BRN message structure and data
- the identification of the receiving party's securities account information, in line with current practice.

In addition, the IRI platform requires the use of the T2S CMIT reference conveyed in the settlement-status advice and confirmation messages

- However, when an IRI01 message is submitted with transaction codes SA, SB, or SC, Euronext Securities Milan proceeds with the creation of the settlement instruction. The relevant T2S reference is then added to the IRI01 and included in the subsequent BRN.

11.3.2.1. Process flow for conversion from bearer form to administered registered form

The conversion of French registered shares from bearer to administered registered form may be initiated through different processing channels, depending on whether the participant instructs via the X-TRM platform or directly through the IRI platform.

As investor CSD, Euronext Securities Milan interacts with the issuer CSD to settle the conversion on both the omnibus and the participant's accounts.

The registration request itself is initiated through an IRI01 message sent via the IRI platform, which then interacts with the issuer CSD's BRN platform to obtain the registrar's acceptance or rejection.

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Processing options

Options	Parties	
	Euronext Securities Milan participant	Euronext Securities Milan (investor CSD)
1	1. DCP and ICP participants submit a single FoP delivery settlement instruction with the following: • transaction indicator OWNI • delivery (DELI) information • receipt (RECE) information • no matching flag • forward date or same-day settlement. 2. Send an IRI with the transaction type code CA.	Euronext Securities Milan automatically: • Blocks the instructed quantity • Submits an instruction to the issuer CSD: ◦ already matched ◦ FoP ◦ OWNI ◦ same date as the participant instruction(s) ◦ no transaction type code. • Receives settlement status and confirmation from the issuer CSD • Unblocks the securities upon settlement confirmation from the issuer CSD • Reports settlement status and confirmation to the participant • Settles the conversion by debiting the participant's bearer account and crediting the administered registered securities account, with corresponding opposite entries in the mirror accounts in T2S.
2	Send an IRI (IRI01) with the transaction type code SA.	Euronext Securities Milan automatically processes as in option 01, based on the information captured from the IRI platform.

IRI process flow

The IRI process flow begins when the Euronext Securities Milan participant sends an IRI01 message to the IRI platform, including the settlement instruction reference.

Upon receipt of the IRI01, if technically accepted, the IRI platform generates a corresponding BRN01 message to the BRN platform. If the IRI01 is technically rejected at IRI level, no BRN01 is created and the IRI platform immediately returns an IRI05 rejection message to the Euronext Securities Milan participant with the corresponding error code.

If the BRN01 is accepted¹⁰, the BRN platform processes the conversion request and generates a BRN02 message to the corresponding registrar. The registrar may either

¹⁰ If the BRN 01 is technically rejected by the BRN platform, the IRI platform will send back an IRI 05 to the participant with a dedicated error.

accept or reject the request, generating and sending a BRN03 response message to the BRN platform. The BRN platform then forwards this response to the IRI platform via a BRN04 message. Based on the BRN04, the IRI platform returns an IRI04 message to the participant, indicating either acceptance or rejection.

If the registrar rejects the conversion request, the participant may resend an IRI01 message with a CTO code ending in "J" for regularisation. The process then follows the same steps as previously described.

Settlement flow

Based on the above processing options, Euronext Securities Milan participants may instruct the conversion settlement by sending either an ISO 15022 or 20022 settlement instruction (MT542 or sese.023), or by directly generating an IRI01 with settlement. In all cases, the converted quantity will be temporarily blocked by Euronext Securities Milan while it instructs the issuer CSD with an already matched settlement instruction to move the quantity from the omnibus account NDC 000 to NDC 001.

[When an IRI01 is submitted with TTC SA, Euronext Securities Milan assigns the T2S reference for the conversion based on the issuer CSD's settlement-status advice. The reference is then added to the IRI01 and passed on in the BRN routed to the issuer CSD.](#)

Upon receipt of settlement confirmation from the issuer CSD, Euronext Securities Milan unblocks the quantity and instructs T2S to debit the participant's bearer securities account and credit its administered registered securities account. The settlement is processed via a free of payment (FoP) settlement instruction toward Euronext Securities Milan's corresponding mirror accounts.

The conversion is confirmed immediately upon receipt of settlement confirmation from T2S, communicated in either ISO 15022 or ISO 20022 format, depending on the instruction type.

[The settlement status and confirmation will include the CMIT reference to be used in the IRI01 when the transaction code is CA.](#)

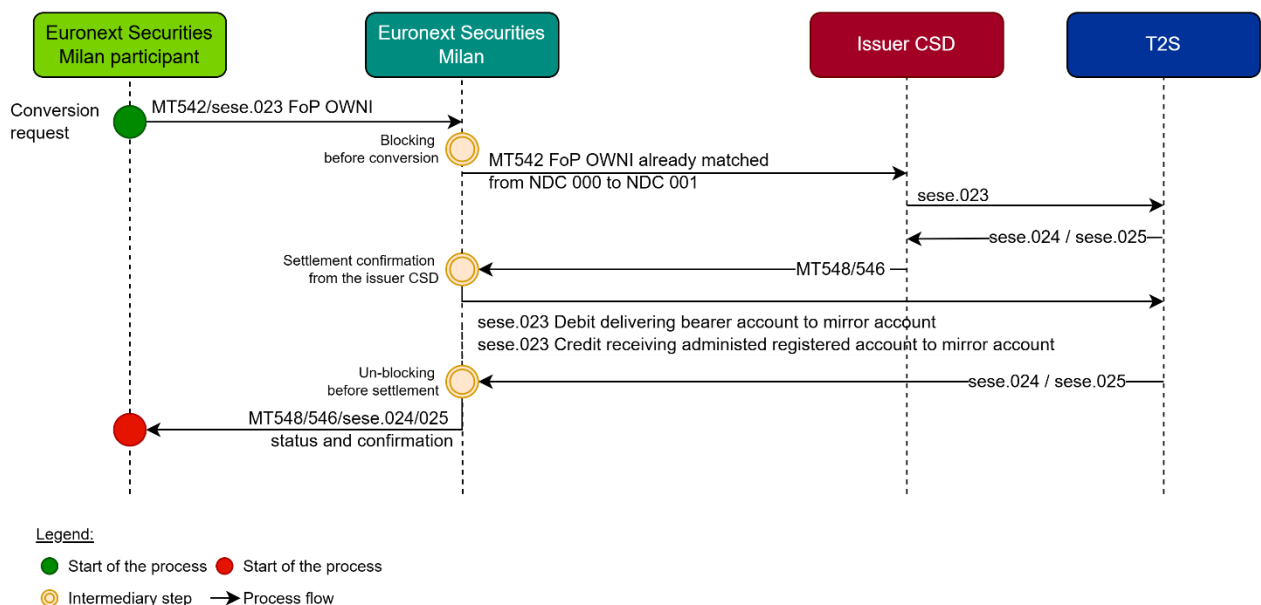
Settlement flow overview

Step	Action	Responsible party	Message format
1	Instruct conversion settlement from the bearer to the administered registered securities account	Participant	FoP instruction in ISO 15022 (MT542), ISO 20022 (sese.023), or IRI01 (TTC= SA) only
2	Block converted quantity	Euronext Securities Milan	Internal process
3	Instruct issuer CSD to move quantity (NDC 000 to NDC 001)	Euronext Securities Milan	Already matched ISO 15022 (MT542)

Step	Action	Responsible party	Message format
4	Receive settlement status and confirmation from the issuer CSD	Euronext Securities Milan	ISO 15022 (MT548/MT546)
5	Unblock quantity and instruct T2S to debit/credit accounts	Euronext Securities Milan	ISO 20022 FoP (sese.023)
6	Report the settlement status and confirmation to participant	Euronext Securities Milan	ISO 15022 (MT548/MT546) or ISO 20022 (sese.024/025)

Settlement flow diagram

Below process flow applies on a conversion from bearer to administered registered form. The conversion will be instructed on Euronext Securities Milan omnibus account before being confirmed to the participant.



11.3.2.2. Process flow for conversion from administered registered form to bearer form

The conversion of French registered shares from administered registered to bearer form may be initiated through different processing channels, depending on whether the participant instructs via the X-TRM or directly through the IRI platform.

As investor CSD, Euronext Securities Milan interacts with the issuer CSD to settle the conversion on both the omnibus and the participant's accounts.

The registration request itself is initiated through an IRI01 message sent via the IRI platform, which then interacts with the issuer CSD's BRN platform to obtain the registrar's acceptance or rejection.

Processing options

Options	Parties	
	Euronext Securities Milan participant	Euronext Securities Milan (investor CSD)
1	1. DCP and ICP participants submit a single FoP delivery settlement instruction with the following: • transaction indicator OWNI • delivery (DELI) information • receipt (RECE) information • no matching flag • forward date or same-day settlement. 2. Send an IRI with the transaction type code CA.	Euronext Securities Milan automatically: • Blocks the instructed quantity • Submits an instruction to the issuer CSD: ◦ already matched ◦ FoP ◦ OWNI ◦ same date as the participant instruction(s) ◦ no transaction type code. • Receives settlement status and confirmation from the issuer CSD • Unblocks the securities upon settlement confirmation from the issuer CSD • Reports settlement status and confirmation to the participant • Settles the conversion by debiting the participant's administered registered account and crediting the bearer securities account, with corresponding opposite entries in the mirror accounts in T2S.
2	Send an IRI (IRI01) with the transaction type code SA.	Euronext Securities Milan automatically processes as in option 01, based on the information captured from the IRI platform.

IRI process flow

The IRI process flow begins when the Euronext Securities Milan participant sends an IRI01 message to the IRI platform, including the settlement instruction reference.

Upon receipt of the IRI01, if technically accepted, the IRI platform generates a corresponding BRN01 message to the BRN platform. If the IRI01 is technically rejected at IRI level, no BRN01 is created and the IRI platform immediately returns an IRI05 rejection message to the Euronext Securities Milan participant with the corresponding error code.

If the BRN01 is accepted¹¹, the BRN platform processes the conversion request and generates a BRN02 message to the corresponding registrar. The registrar may either

¹¹ If the BRN01 is technically rejected by the BRN platform, the IRI platform will send back an IRI 05 to the participant with a dedicated error.

accept or reject the request, generating and sending a BRN03 response message to the BRN platform. The BRN platform then forwards this response to the IRI platform via a BRN04 message. Based on the BRN04, the IRI platform returns an IRI04 message to the participant, indicating either acceptance or rejection.

If the registrar rejects the conversion request, the participant may resend an IRI01 message with a transaction type code ending in "J" for regularisation. The process then follows the same steps as previously described.

Settlement flow

Based on the above processing options, Euronext Securities Milan participants may instruct the conversion settlement by sending either an ISO 15022 or 20022 settlement instruction (MT542 or sese.023), or by directly generating an IRI01 with settlement. In all cases, the converted quantity will be temporarily blocked by Euronext Securities Milan while it instructs the issuer CSD with an already matched settlement instruction to move the quantity from the omnibus account NDC 001 to NDC 000.

When an IRI01 is submitted with TTC SA, Euronext Securities Milan assigns the T2S reference for the conversion based on the issuer CSD's settlement-status advice. The reference is then added to the IRI01 and passed on in the BRN routed to the issuer CSD.

Upon receipt of settlement confirmation from the issuer CSD, Euronext Securities Milan unblocks the quantity and instructs T2S to debit the participant's administered registered securities account and credit its bearer securities account. The settlement is processed via a free of payment (FoP) settlement instruction toward Euronext Securities Milan's corresponding mirror accounts.

The conversion is confirmed immediately upon receipt of settlement confirmation from T2S, communicated in either ISO 15022 or ISO 20022 format, depending on the instruction type.

The settlement status and confirmation will include the CMIT reference to be used in the IRI01 when the transaction code is CA.

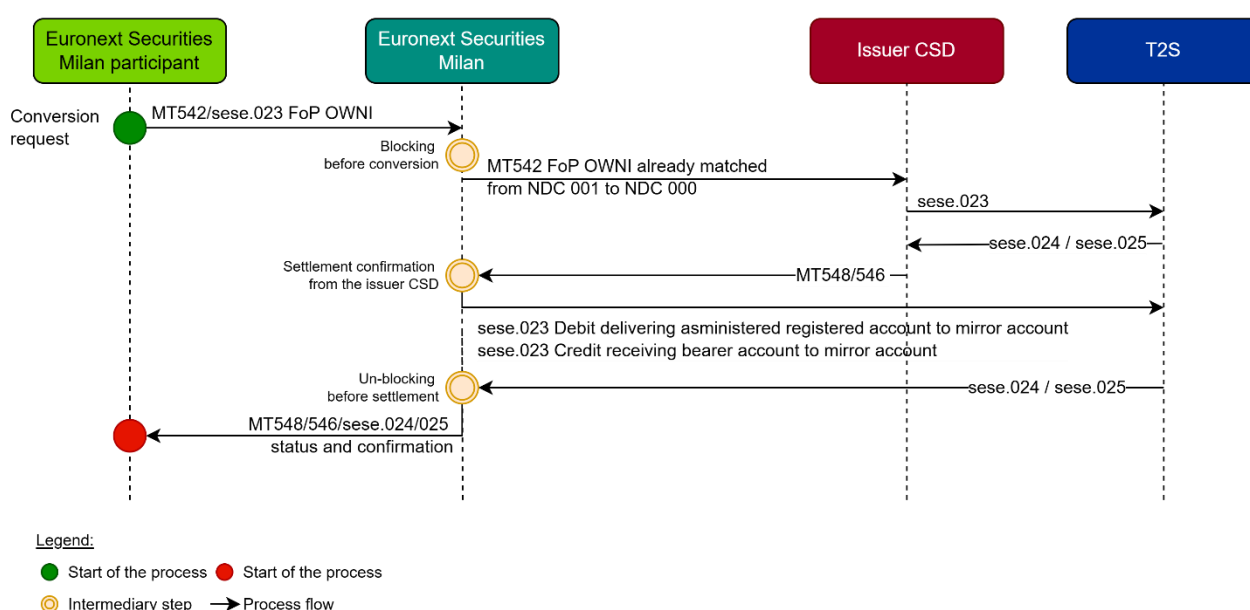
Settlement flow overview

Step	Action	Responsible party	Message format
1	Instruct conversion settlement from the administered registered to the bearer securities account	Participant	FoP instruction in ISO 15022 (MT542), ISO 20022 (sese.023), or IRI01 (TTC = SA) only
2	Block converted quantity	Euronext Securities Milan	Internal process
3	Instruct issuer CSD to move quantity (NDC 001 to NDC 000)	Euronext Securities Milan	ISO 15022 (MT542)

Step	Action	Responsible party	Message format
4	Receive settlement status and confirmation from the issuer CSD	Euronext Securities Milan	ISO 15022 (MT548/MT546)
5	Unblock quantity and instruct T2S to debit/credit accounts	Euronext Securities Milan	ISO 20022 FoP (sese.023)
6	Report the settlement status and confirmation to participant	Euronext Securities Milan	ISO 15022 (MT548/MT546) or ISO 20022 (sese.024/025)

Settlement flow diagram

Below process flow applies on a conversion from administered registered to bearer form. The conversion will be instructed on Euronext Securities Milan omnibus account before being confirmed to the participant.



11.3.2.3. Process flow for conversion from bearer form to pure registered form

The conversion of French registered shares from bearer to pure registered form may be initiated through different processing channels, depending on whether the participant instructs via X-TRM or directly through the IRI platform.

As investor CSD, Euronext Securities Milan interacts with the issuer CSD to settle the conversion on both the omnibus and the participant's accounts.

The registration request itself is initiated through an IRI01 message sent via the IRI platform, which then interacts with the issuer CSD's BRN platform to obtain the registrar's acceptance or rejection.

Processing options

Options	Parties	
	Euronext Securities Milan participant	Euronext Securities Milan (investor CSD)
1	1. DCP and ICP participants submit one single FoP delivery settlement instruction with the following: • transaction indicator OWNE • delivery (DELI) information • receipt (RECE) information • without matching flag. 2. Send an IRI with the transaction type code CB.	Euronext Securities Milan automatically: • Blocks the instructed quantity • Submits an instruction to the issuer CSD: ◦ without matching ◦ FoP ◦ OWNE ◦ same date as the participant instruction(s) ◦ no transaction type code. • Receives settlement status and confirmation from the issuer CSD • Unblocks the securities upon settlement confirmation from the issuer CSD • Reports settlement status and confirmation to the participant • Settles the conversion by debiting the participant's account and crediting the mirror accounts in T2S.
2	Send an IRI (IRI01) with the transaction type code SB.	Euronext Securities Milan automatically processes as in option 01, based on the information captured from the IRI platform.

IRI process flow

The IRI process flow begins when the Euronext Securities Milan participant sends an IRI01 message to the IRI platform, including the settlement instruction reference.

Upon receipt of the IRI01, if technically accepted, the IRI platform generates a corresponding BRN01 message to the BRN platform. If the IRI01 is technically rejected at IRI level, no BRN01 is created and the IRI platform immediately returns an IRI05 rejection message to the Euronext Securities Milan participant with the corresponding error code.

If the BRN01 is accepted¹², the BRN platform processes the conversion request and generates a BRN02 message to the corresponding registrar. The registrar may either accept or reject the request, generating and sending a BRN03 response message to the BRN platform. The BRN platform then forwards this response to the IRI platform via a

¹² If the BRN01 is technically rejected by the BRN platform, the IRI platform will send back an IRI 05 to the participant with a dedicated error.

BRN04 message. Based on the BRN04, the IRI platform returns an IRI04 message to the participant, indicating either acceptance or rejection.

If the registrar rejects the conversion request, the participant may resend an IRI01 message with a CTO code ending in "J" for regularisation. The process then follows the same steps as previously described.

Settlement flow

Based on the above processing options, Euronext Securities Milan participants may instruct the conversion settlement by sending either an ISO 15022 or 20022 settlement instruction (MT542 or sese.023), or by directly generating an IRI01 with settlement. In all cases, the converted quantity will be temporarily blocked by Euronext Securities Milan while it instructs the issuer CSD with a "dump" or "without matching" settlement instruction to move the quantity from the omnibus account NDC 000 toward the issuer's NDC 009.

Euronext Securities Milan processes this type of instruction in line with the issuer CSD requirements.

[When an IRI01 is submitted with TTC SB, Euronext Securities Milan assigns the T2S reference for the conversion based on the issuer CSD's settlement-status advice. The reference is then added to the IRI01 and passed on in the BRN routed to the issuer CSD](#)

Upon receipt of settlement confirmation from the issuer CSD, Euronext Securities Milan unblocks the quantity and instructs T2S to debit the participant's bearer securities account and credit its administered registered securities account. The settlement is processed via a free of payment (FoP) settlement instruction toward Euronext Securities Milan's corresponding mirror accounts.

The conversion is confirmed immediately upon receipt of settlement confirmation from T2S, communicated in either ISO 15022 or ISO 20022 format, depending on the instruction type.

[The settlement status and confirmation will include the CMIT reference to be used in the IRI01 when the transaction code is CB.](#)

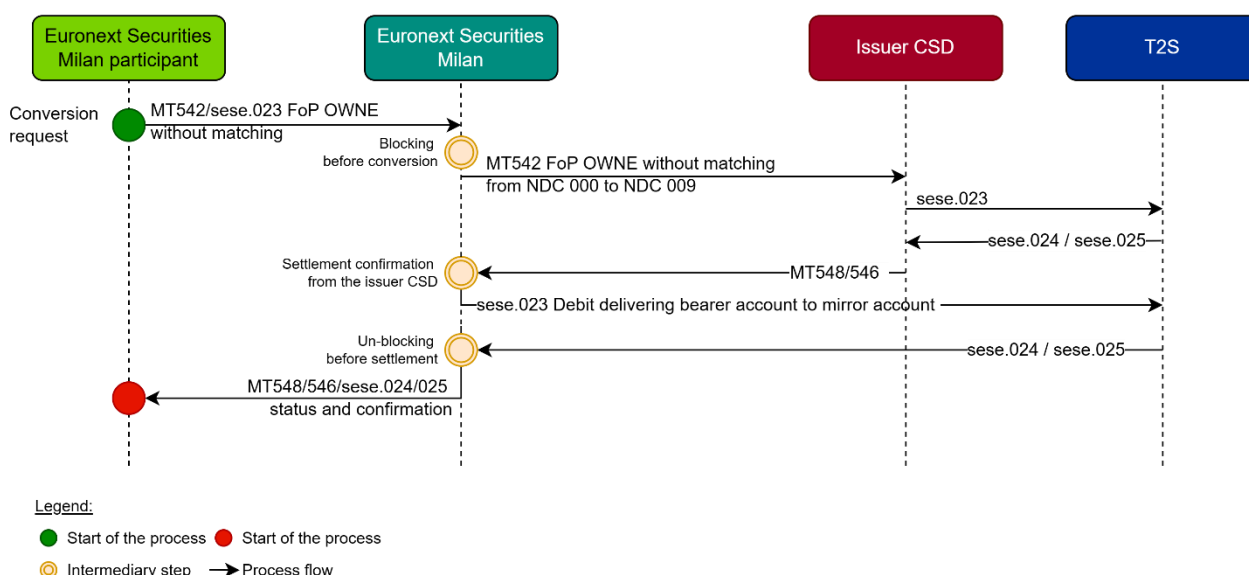
Settlement flow overview

Step	Action	Responsible party	Message format
1	Instruct conversion settlement	Participant	Fop without matching instruction in ISO 15022 (MT542), ISO 20022 (sese.023), or IRI01 (TTC = SB) only
2	Block converted quantity	Euronext Securities Milan	Internal process

Step	Action	Responsible party	Message format
3	Instruct issuer CSD to move quantity (NDC 000 to NDC 009)	Euronext Securities Milan	ISO 15022 (MT542) FoP OWNE without matching
4	Receive settlement confirmation from the issuer CSD	Euronext Securities Milan	ISO 15022 (MT548/MT546)
5	Unblock quantity and instruct T2S to debit/credit the participant's accounts	Euronext Securities Milan	ISO 20022 FoP (sese.023)
6	Report the settlement status and confirmation to participant	Euronext Securities Milan	ISO 15022 (MT548/MT546) or ISO 20022 (sese.024/025)

Settlement flow diagram

Below process flow applies on a conversion from bearer to pure registered form. The conversion will be instructed on Euronext Securities Milan omnibus account before being confirmed to the participant.



11.3.2.4. Process flow for conversion from pure registered form to bearer form

The conversion of French registered shares from pure registered to bearer form does not require BRN or IRI messages. The registrar instructs the delivery of the converted securities directly from the issuer CSD's pure registered account (NDC 009).

As investor CSD, Euronext Securities Milan:

- receives either the settlement acknowledgment or confirmation, depending on the type of instruction generated by the registrar (OWNE FoP, to be matched or without matching)
- identifies the internal securities account of the receiving participant
- settles the delivery to the receiving participant in T2S.

Settlement completion is guaranteed by the dedicated information provided by the receiving party, as mentioned above (e.g., PACO in the MT542 FoP).

Processing options

Options	Parties	
	Euronext Securities Milan participant	Euronext Securities Milan (investor CSD)
1	No IRI or settlement instruction is required from the Euronext Securities Milan participant. Instead, the registrar submits a settlement instruction with the following characteristics: • transaction indicator OWNE • without matching flag • delivery to Euronext Securities Milan NDC 001. Based on the receiving party securities account reference, Euronext Securities Milan will be able to deliver the securities on the participant's account.	Euronext Securities Milan automatically: • Receives the settlement confirmation (e.g., sese.025) including the receiving party securities account number • Identifies the receiving participant's securities account • Settles the conversion by crediting the participant's account and debiting the mirror accounts in T2S.
2	As in the previous option, no IRI is required from the Euronext Securities Milan participant. In this scenario, the registrar initiates the securities delivery using a to be matched settlement instruction. The converted securities are delivered by Euronext Securities Milan.	Euronext Securities Milan automatically: • Receives the instruction acknowledgment • Instructs the receiving leg using a to be matched settlement instruction • Identifies the receiving participant's securities account from the additional information in the registrar's settlement instruction • Settles the conversion to internal mirror accounts in T2S.

If the registrar does not indicate the receiving party's securities account number in the settlement instruction, Euronext Securities Milan will be unable to process the conversion and will return the instruction to the registrar.

IRI process flow

In this case, no IRI needs to be generated because no BRN is required.

Settlement flow

Based on the above processing options, Euronext Securities Milan participants do not instruct the conversion settlement nor generate IRI.

The conversion is triggered by the registrar without BRN and IRI and is settled on Euronext Securities Milan omnibus account (NDC 000).

Settlement confirmation receiving party details (additional information) allow Euronext Securities Milan to deliver the quantity of securities on the relevant securities account.

If the registrar instructs without matching, the issuer CSD processes the settlement and generates the corresponding status and confirmation messages.

If the instruction requires matching, Euronext Securities Milan will instruct the receiving leg once it has been alleged by the issuer CSD.

Upon receipt of settlement confirmation from the issuer CSD, Euronext Securities Milan instructs T2S to credit the participant's bearer securities account to its mirror account. The settlement is processed via a free of payment (FoP) settlement instruction toward Euronext Securities Milan's corresponding mirror accounts.

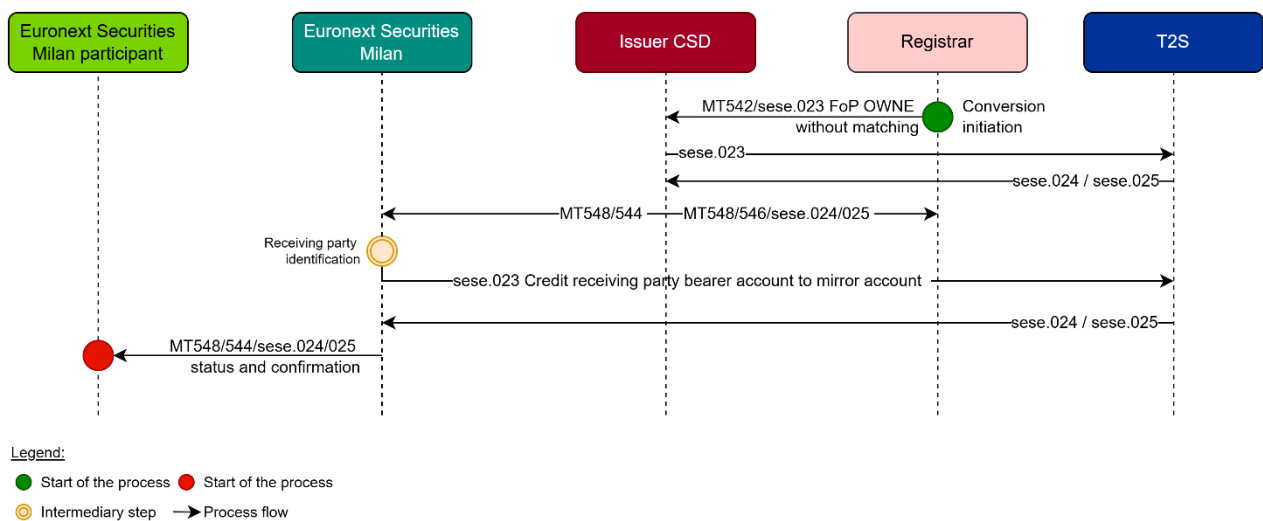
The conversion is confirmed immediately upon receipt of settlement confirmation from T2S, communicated in either ISO 15022 or ISO 20022 format, depending on the instruction type.

Settlement flow overview

Step	Action	Responsible party	Message format
1	Instruct conversion settlement	Registrar	FoP without matching or to be matched instruction in ISO 15022 (MT542) or ISO 20022 (sese.023)
2	Receive the allegation (if to be matched) or the settlement status and confirmation from the issuer CSD	Euronext Securities Milan	ISO 15022 (MT578, or MT548/MT544)
3	Instruct the receiving leg and process the settlement status and confirmation, if required	Euronext Securities Milan	ISO 15022 (MT540 and MT548/MT544)
4	Instruct T2S to debit/credit participant's accounts upon T2S confirmation	Euronext Securities Milan	ISO 20022 (sese.023)
5	Report the settlement status and confirmation to participant	Euronext Securities Milan	ISO 15022 (MT548/MT544) or ISO 20022 (sese.024/025)

Settlement flow diagram

The process flow below applies to the conversion from pure registered to bearer form when the registrar uses one FoP without matching instruction.



11.3.2.5. Process flow for conversion from administered registered form to pure registered form

The conversion of French registered shares from administered registered to pure registered form may be initiated through different processing channels, depending on whether the participant instructs via X-TRM or directly through the IRI platform.

As investor CSD, Euronext Securities Milan interacts with the issuer CSD to settle the conversion on both the omnibus and the participant's accounts.

The registration request itself is initiated through an IRI01 message sent via the IRI platform, which then interacts with the issuer CSD's BRN platform to obtain the registrar's acceptance or rejection.

Processing options

Options	Parties	
	Euronext Securities Milan participant	Euronext Securities Milan (investor CSD)
1	1. DCP and ICP participants submit one single Fop delivery settlement instruction with the following: • transaction indicator OWNE • delivery (DELI) information • receipt (RECE) information • without matching flag. 2. Send an IRI with the transaction type code CC.	Euronext Securities Milan automatically: • Blocks the instructed quantity • Submits an instruction to the issuer CSD: ◦ without matching ◦ FoP ◦ OWNE ◦ same date as the participant instruction(s) ◦ no transaction type code. • Receives settlement status and confirmation from the issuer CSD • Unblocks the securities upon settlement confirmation from the issuer CSD • Reports settlement status and confirmation to the participant • Settles the conversion by debiting the participant's account and crediting the mirror account in T2S.
2	Send an IRI (IRI01) with the transaction type code SC.	Euronext Securities Milan automatically processes as in option 01, based on the information captured from the IRI platform.

IRI process flow

The IRI process flow begins when the Euronext Securities Milan participant sends an IRI01 message to the IRI platform, including the settlement instruction reference.

Upon receipt of the IRI01, if technically accepted, the IRI platform generates a corresponding BRN01 message to the BRN platform. If the IRI01 is technically rejected at IRI level, no BRN01 is created and the IRI platform immediately returns an IRI05 rejection message to the Euronext Securities Milan participant with the corresponding error code.

If the BRN01 is accepted¹³, the BRN platform processes the conversion request and generates a BRN02 message to the corresponding registrar. The registrar may either accept or reject the request, generating and sending a BRN03 response message to the BRN platform. The BRN platform then forwards this response to the IRI platform via a

¹³ If the BRN 01 is technically rejected by the BRN platform, the IRI platform will send back an IRI 05 to the participant with a dedicated error.

BRN04 message. Based on the BRN04, the IRI platform returns an IRI04 message to the participant, indicating either acceptance or rejection.

If the registrar rejects the conversion request, the participant may resend an IRI01 message with a transaction type code ending in "J" for regularisation. The process then follows the same steps as previously described.

Settlement flow

Based on the above processing options, Euronext Securities Milan participants may instruct the conversion settlement by sending either an ISO 15022 or 20022 settlement instruction (MT542 or sese.023), or by directly generating an IRI01 with settlement. In all cases, the converted quantity will be temporarily blocked by Euronext Securities Milan while it instructs the issuer CSD with a "dump" or "without matching" settlement instruction to move the quantity from the omnibus account NDC 001 toward the issuer's NDC 009.

Euronext Securities Milan processes this type of instruction in line with the issuer CSD requirements.

[When an IRI01 is submitted with TTC SC, Euronext Securities Milan assigns the T2S reference for the conversion based on the issuer CSD's settlement-status advice. The reference is then added to the IRI01 and passed on in the BRN routed to the issuer CSD.](#)

Upon receipt of settlement confirmation from the issuer CSD, Euronext Securities Milan unblocks the quantity and instructs T2S to debit the participant's bearer securities account and credit its administered registered securities account. The settlement is processed via a free of payment (FoP) settlement instruction toward Euronext Securities Milan's corresponding mirror account.

The conversion is confirmed immediately upon receipt of settlement confirmation from T2S, communicated in either ISO 15022 or ISO 20022 format, depending on the instruction type.

[The settlement status and confirmation will include the CMIT reference to be used in the IRI01 when the transaction code is CC.](#)

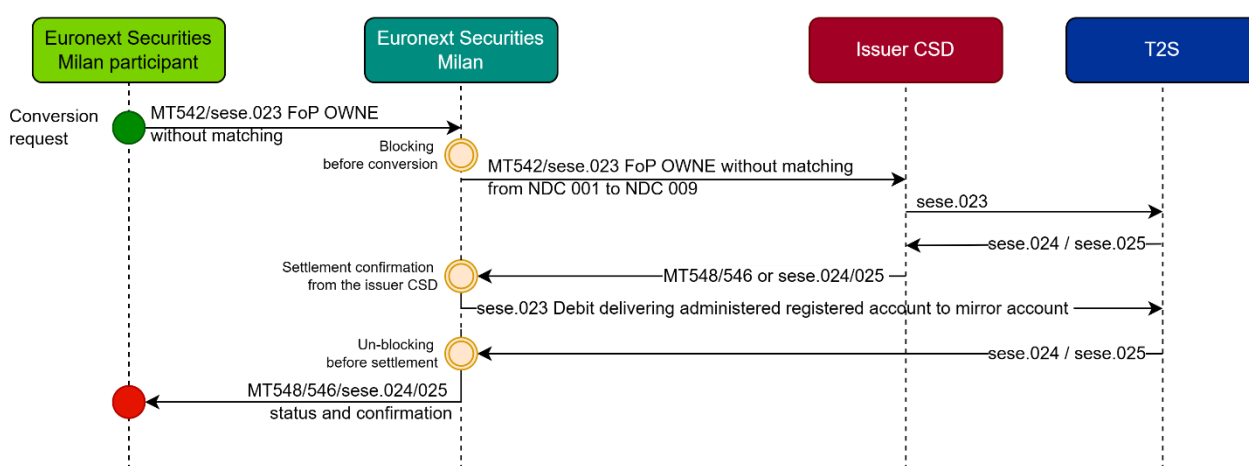
Settlement flow overview

Step	Action	Responsible party	Message format
1	Instruct conversion settlement	Participant	FoP without matching instruction in ISO 15022 (MT542) or ISO 20022 (sese.023), or IRI01 (TTC = SC) only
2	Block converted securities	Euronext Securities Milan	Internal process

Step	Action	Responsible party	Message format
3	Instruct issuer CSD to move quantity (NDC 000 to NDC 009)	Euronext Securities Milan	ISO 15022 (MT542) FoP OWNE without matching
4	Receive settlement confirmation from the issuer CSD	Euronext Securities Milan	ISO 15022 (MT548/MT546)
5	Unblock quantity and instruct the settlement to the participant's account	Euronext Securities Milan	ISO 20022 (sese.023)
6	Report the settlement status and confirmation to participant	Euronext Securities Milan	ISO 15022 (MT548/MT546) or ISO 20022 (sese.024/sese.025)

Settlement flow diagram

The process flow below applies to the conversion from pure registered to bearer form when the registrar uses one FoP without matching instruction.



Legend:

- Start of the process
- Start of the process
- Intermediary step
- Process flow

11.3.2.6. Process flow for conversion from pure registered form to administered registered form

The conversion of French registered shares from pure registered to administered registered is initiated by the registrar.

This process triggers the BRN and the corresponding settlement instruction to deliver the converted quantity to the Euronext Securities Milan omnibus account (NDC 001).

As investor CSD, Euronext Securities Milan processes the BRN via the IRI platform and receives the securities once settlement is completed.

Delivery to the Euronext Securities Milan account is based on the receiving party's detailed information provided by the registrar in the settlement instruction.

Processing options

Options	Parties		
	Issuer CSD registrar	Euronext Securities Milan (investor CSD)	Euronext Securities Milan participant
1	1. Send a BRN with transaction type code CC to the issuer CSD, identifying Euronext Securities Milan and the receiving party or "custodian administrator". 2. Submit a free of payment (FoP) settlement instruction without matching, with transaction indicator OWNE, to the issuer CSD. Upon receipt, the issuer CSD generates an already matched free of payment (FoP) instruction toward T2S, debiting the registrar's NDC 009 and crediting Euronext Securities Milan's NDC 001. It also transmits a BRN to Euronext Securities Milan via the IRI platform.	Euronext Securities Milan automatically: • Receives the BRN02 and transmits an IRI02 to inform the receiving party • Receives settlement status and confirmation from the issuer CSD • Instructs the conversion by crediting the participant's account and debiting the mirror account, based on the receiving party's details • Reports settlement status and confirmation to the participant.	Euronext Securities Milan participant: • Receives the IRI02 • Receives settlement status and confirmation from Euronext Securities Milan • Receives the converted securities in the receiving party's administered registered account.
2	Send a BRN with the transaction type code SC.	Euronext Securities Milan automatically processes as in option 01, based on the information captured from the IRI platform.	Euronext Securities Milan participant receives the IRI02 and the converted securities as in option 01.

IRI/BRN process flow

The BRN process flow begins when the Registrar sends a BRN01 message to the BRN platform, including the settlement instruction reference.

Upon receipt and technical acceptance of the BRN01, the BRN platform forwards a corresponding BRN02 message to the IRI platform.

Based on the BRN02, the IRI platform generates an IRI02, which is then forwarded to the Euronext Securities Milan participant. In this scenario, no return IRI is sent by the participant.

Settlement flow

Based on the above processing options, Euronext Securities Milan participants neither instruct the conversion settlement nor generate an IRI.

The conversion is triggered by the registrar, who may send a BRN that automatically generates the settlement instruction, or may send a “without matching” or “to be matched” instruction, depending on the chosen process.

[When an IRI01 is submitted with TTC SC, Euronext Securities Milan assigns the T2S reference for the conversion based on the issuer CSD’s settlement-status advice. The reference is then added to the IRI01 and passed on in the BRN routed to the issuer CSD.](#)

Upon receipt of settlement confirmation from the issuer CSD, and based on the receiving party’s securities account details, Euronext Securities Milan instructs T2S to credit the participant’s administered registered securities account and debit the corresponding mirror account.

Settlement is processed via a free of payment (FoP) instruction between Euronext Securities Milan’s accounts and the related mirror accounts.

The conversion is confirmed immediately upon receipt of settlement confirmation from T2S, communicated in either ISO 15022 or ISO 20022 format, depending on the instruction type.

[The settlement status and confirmation will include the CMIT reference to be used in the IRI01 when the transaction code is CC.](#)

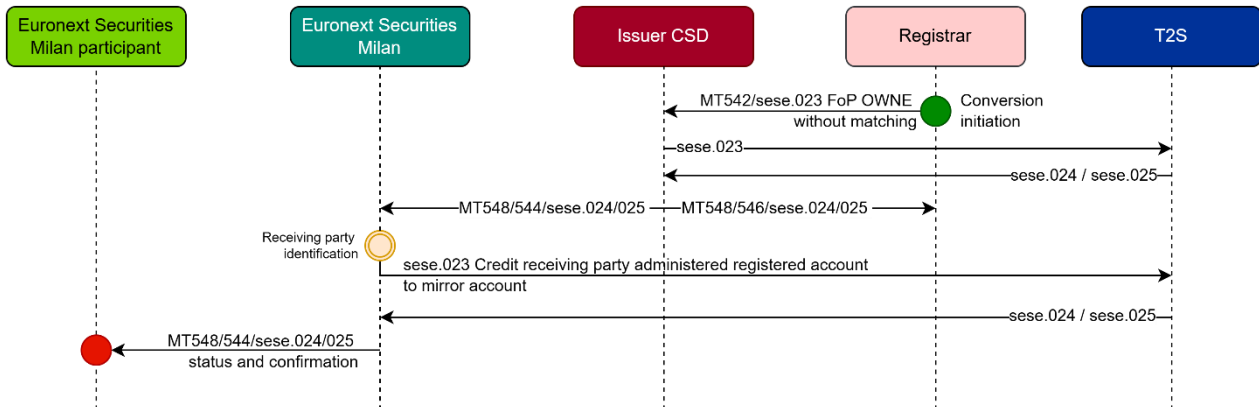
Settlement flow overview

Step	Action	Responsible party	Message format
1	Instruct conversion settlement	Registrar	FoP without matching, or to be matched instruction in ISO 15022 (MT542) or ISO 20022 (sese.023), or IRI01 only
2	Receive settlement instruction allegation (if to be matched) or the settlement confirmation (if without matching)	Euronext Securities Milan	ISO 15022 (MT578 or MT548 and MT544)
3	Instruct the receiving leg and process the settlement status and confirmation, if required	Euronext Securities Milan	ISO 15022 (MT540), and ISO 15022 (MT548/MT544)

Step	Action	Responsible party	Message format
4	Instruct T2S to debit/credit participant's account upon T2S confirmation	Euronext Securities Milan	ISO 20022 (sese.023)
5	Report settlement status and confirmation to participant	Euronext Securities Milan	ISO 15022 (MT548/MT544) or ISO 20022 (sese.024/025)

Settlement flow diagram

The process flow below applies to the conversion from pure registered to bearer form when the registrar uses one FoP without matching instruction.



Legend:

- Start of the process
- Start of the process
- Intermediary step
- Process flow

11.3.3. Processing flows for portfolio transfers of French registered

According to current French market practice, portfolio transfers fall into two categories:

- **Direct transfers**, which involve a change of ownership (for example, between spouses)
- **File transfers**, which do not involve a change of ownership but reflect a change of CSD participant or custodian holder.

Both types of operations are referred to as “portfolio transfers” in the following sections, with a distinction made between transfers involving a change of ownership and those involving a change of CSD participant.

Additionally, these transfers are not settled automatically by an IRI submission. Deliverer participants must generate both the settlement instruction and the IRI or BRN.

11.3.3.1. Process flow for portfolio transfer with change of ownership but no change of CSD participant

In this section, a portfolio transfer refers to a direct transfer as per Euroclear market practice.

A portfolio transfer with change of ownership but no change of Euronext Securities Milan participant requires a change in the issuer register. This implies the CSD participant to generate an IRI01 to inform the registrar.

This IRI shall identify the receiving party and include the relevant and applicable transaction type code (e.g., TT).

Therefore, Euronext Securities does not instruct the issuer CSD to settle the movement on the omnibus accounts since there is no variation in the recorded balance. On the contrary, the delivering party must instruct the transfer and so instruct a FoP deliver settlement instruction in line with the applicable Italian market practice.

Securities movement

In such case, there is no securities movement. The ownership transfer applies at the securities account level, so that there is no transfer between securities accounts.

IRI process flow

The IRI workflow for a portfolio transfer involving a change of ownership without a change of CSD participant is initiated by the Euronext Securities Milan participant, who sends two IRI01 messages to the IRI platform:

- one to request deregistration and
- another to request of registration.

Both messages include the same file number, which enables them to be linked within the process.

Upon receipt of the IRI01 messages, if they are technically accepted, the IRI platform generates the corresponding BRN01 messages to the BRN platform. If an IRI01 message is technically rejected at the IRI platform level, no BRN01 is created and the IRI platform immediately returns an IRI05 rejection message to the Euronext Securities Milan participant, including the relevant error code.

If the BRN01s are technically accepted¹⁴, the BRN platform processes the portfolio transfer request and generates BRN02 messages to the corresponding registrar.

For the deregistration request, the registrar may either accept or reject the message, generating and sending a BRN03 response message to the BRN platform. The BRN platform then forwards this response to the IRI platform via a BRN04 message. Based on the BRN04, the IRI platform returns an IRI04 message to the Euronext Securities Milan participant, indicating either acceptance or rejection.

For the registration BRN, if the deregistration BRN has been accepted and the inscription BRN is received by the registrar, the registrar sends a BRN01 participant registration message to the BRN platform, which then generates a BRN02 and transfers it to the IRI platform. The IRI platform will then convert the BRN02 into an IRI02 and transfer it to the Euronext Securities participant.

If the registrar rejects the portfolio transfer request, the participant may resend the IRI01 messages for both deregistration and inscription with a transaction type code ending in "J" for regularisation. The process then follows the same steps as previously described.

¹⁴ If the BRN 01 is technically rejected by the BRN platform, the IRI platform will send back an IRI 05 to the participant with a dedicated error.

Settlement flow

No securities movement occurs, so neither the Euronext Securities Milan participant nor the CSD generates a settlement instruction.

11.3.3.2. Process flow for portfolio transfer with change of ownership and CSD participant

In this section, a portfolio transfer refers to a direct transfer as per Euroclear market practice.

As such, a portfolio transfer involving a change of ownership and a change of Euronext Securities Milan participant requires two actions:

1. An update to the issuer register, managed via the IRI01 interface with the issuer CSD platform, which generates BRN messages for the registrar
2. One security movement between accounts, which may occur¹⁵:
 - Between two Euronext Securities Milan participants
 - From a Euronext Securities Milan participant (deliverer) to a participant at the issuer CSD (receiver)
 - From an issuer CSD participant (deliverer) to a Euronext Securities Milan participant (receiver).

In all these cases, the deliverer participant being informed and aware of the change of beneficial owner details, shall:

1. generate IRI messages if the asset is held at Euronext Securities Milan, or a BRNs if it is held at the issuer CSD, and
2. submit one FoP OWNE settlement instruction either without matching or to be matched.

When the deliverer is a Euronext Securities Milan participant, Euronext Securities Milan submits the settlement instruction directly to the issuer CSD. Therefore, the [MITI-CMIT](#) reference from the settlement status advice and confirmation is required in the IRI01 messages.

Conversely, when the deliverer is an issuer CSD participant, Euronext Securities Milan is responsible for receiving the BRN, generating the IRI for the receiving participant, and settling the security delivery to the participant's administered registered securities account.

Securities movement

Securities movement occurs between two administered registered securities accounts. This involves the issuer CSD NDC 001 and the corresponding account type "04" from Euronext Securities Milan.

¹⁵ Portfolio transfers between two participants at the French issuer CSD are disregarded.

Participant	CSD	Account type		Type of settlement instructions	Transaction type code in the settlement instruction
		Debit	Credit		
Deliverer	Euroclear France	NDC 001	-	Without matching (OWNE FoP)	TT or TM
Receiver	Euronext Securities Milan	-	Type 04	none	None
Or...					
Deliverer	Euronext Securities Milan	Type 04	-	Without matching (OWNE FoP)	TT or TM
Receiver	Euroclear France	-	NDC 001	none	None
Or...					
Deliverer	Euronext Securities Milan	Type 04	-	To be matched FoP (DELI), either as ICP or DCP	TT or TM (optional)
Receiver	Euronext Securities Milan	-	Type 04	To be matched FoP (RECE)	none

In the two first scenarios, Euronext Securities Milan intermediates the portfolio transfer by:

- Receiving the delivered securities into its omnibus account (NDC 001), delivering the securities to the Euronext Securities Milan participant, and debiting the internal mirror account accordingly
- Instructing the issuer CSD and debiting the transferred securities from the Euronext Securities Milan participant's account to align the internal mirror account.

Finally, when the transfer occurs within Euronext Securities Milan's books, there is no impact on the balance of the omnibus account (NDC 001). Instead, both parties must instruct the delivery and receipt depending on their usual position (DCP or ICP). In practice, the delivering party submits a to be matched delivery instruction, while the counterparty instructs the receiving leg upon T2S or X-TRM allegation, using either ISO 15022 or ISO 20022 format.

IRI process flow

The following process description applies when the deliverer is a Euronext Securities Milan participant, and the receiver is an issuer CSD.

The Euronext Securities Milan participant initiates the workflow. Based on the change of ownership information, the participant sends two IRI01 messages to the IRI platform:

- one requesting the deregistration and
- another requesting the registration.

Both messages include the same file number, allowing them to be linked within the process.

This sequence reflects the **required market practice**.

Upon receipt of the IRI01 messages, if they are technically accepted, the IRI platform generates the corresponding BRN01 messages to the BRN platform. If an IRI01 message is technically rejected at the IRI platform level, no BRN01 is created, and the IRI platform immediately returns an IRI05 rejection message to the Euronext Securities Milan participant with the corresponding error code.

If the BRN01 messages are technically accepted¹⁶, the BRN platform processes the portfolio transfer request and generates two BRN02 messages to the registrar (one for deregistration and one for inscription). The registrar may accept or reject the deregistration, generating and sending a BRN03 response message to the BRN platform. The BRN platform then forwards this response to the IRI platform via a BRN04 message. Based on the BRN04, the IRI platform returns an IRI04 message to the participant, indicating either acceptance or rejection.

For the inscription BRN, if the deregistration BRN has been accepted, the registrar sends a BRN01 participant registration message to the BRN platform, which then generates a BRN02 message sent to the receiving participant.

If the registrar rejects the portfolio transfer request, the participant may resend the IRI01 messages for both deregistration and inscription with a CTO code ending in "J" for regularisation. The process then follows the same steps as previously described.

Variations:

- If the receiving participant is in Euronext Securities Milan, the BRN01 participant registration message created by the registrar and converted into a BRN02 by the BRN platform will be transmitted to the IRI platform. The IRI platform will then send an IRI02 message to the receiving custodian.
- If the delivering participant is in Euroclear France and the receiving participant is in Euronext Securities Milan, the IRI deregistration and inscription messages are managed within the Euroclear France environment. Only the BRN01 of participant registration message, created afterwards by the registrar, will be sent to the BRN platform, converted into a BRN02 by the BRN platform, then transmitted to the IRI platform. The IRI platform will then send an IRI02 message to the receiving participant.

Settlement flow

The following table describes the scenario in which a Euronext Securities Milan participant transfers a French administered registered security to a Euroclear France participant.

Step	Action	Responsible party	Message format
1	Instruct the portfolio transfer settlement	Deliverer (Euronext Securities Milan participant)	FoP without matching instruction in ISO 15022 (MT542) or ISO 20022 (sese.023)

¹⁶ If the BRN 01 is technically rejected by the BRN platform, the IRI platform will send back an IRI 05 to the participant with a dedicated error.

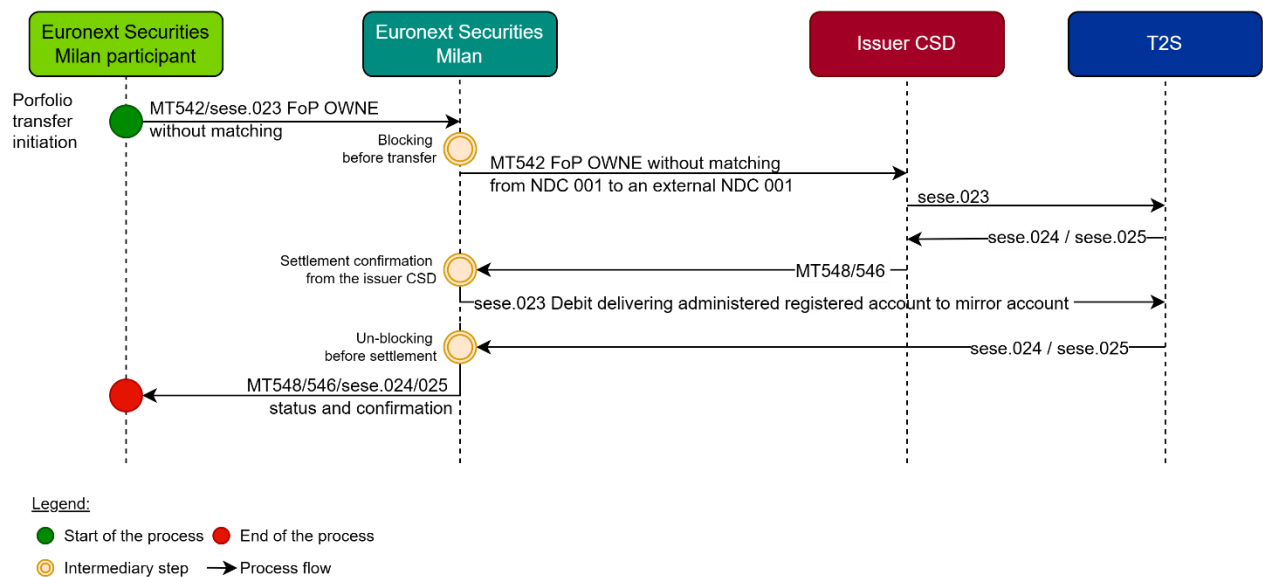
Step	Action	Responsible party	Message format
2	Receive the instruction and block the transferred quantity before instructing the issuer CSD	Euronext Securities Milan	Internal process
3	Instruct the issuer CSD and processes the settlement status and confirmation	Euronext Securities Milan	FoP without matching OWNE instruction in ISO 15022 (MT542 and MT548/MT546)
4	Unblock the transferred quantity upon settlement confirmation	Euronext Securities Milan	Internal process
5	Instruct T2S to debit/credit participant's account upon T2S confirmation	Euronext Securities Milan	ISO 20022 (sese.023)
6	Report settlement status and confirm conversion to participant	Euronext Securities Milan	ISO 15022 (MT548/MT546) or ISO 20022 (sese.024/025)

When the security is transferred to Euronext Securities Milan, settlement unfolds as follows:

Step	Action	Responsible party	Message format
1	Instruct the portfolio transfer settlement	Deliverer (Euroclear France participant)	FoP without matching or to be matched instruction in ISO 15022 (MT542) or ISO 20022 (sese.023)
2	Receive settlement instruction allegation (if to be matched) or the settlement confirmation (if without matching)	Euronext Securities Milan	ISO 15022 (MT578 or MT548 and MT544)
3	Instruct the receiving leg and process the settlement status and confirmation	Euronext Securities Milan	FoP to be matched or without matching OWNE instruction in ISO 15022 (MT540 and MT548/MT544)
4	Instruct T2S to debit/credit participant's account upon T2S confirmation	Euronext Securities Milan	ISO 20022 (sese.023)
5	Confirm transfer to participant	Euronext Securities Milan	ISO 15022 (MT548/MT544) or ISO 20022 (sese.024/025)

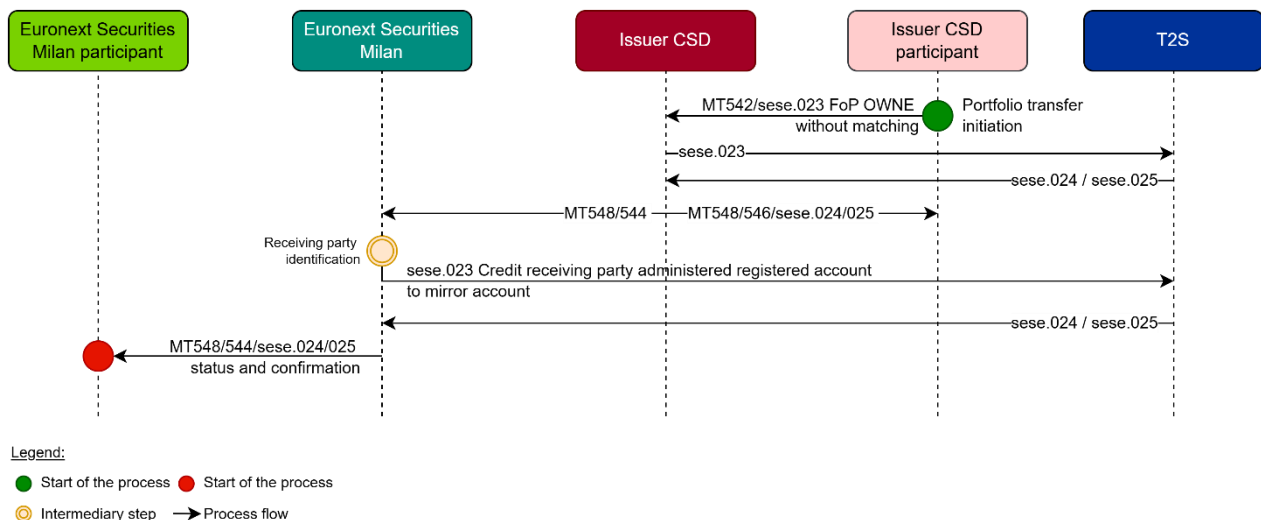
Settlement flow diagram

The following chart describes the scenario in which a Euronext Securities Milan participant transfers a French administered registered security to a Euroclear France participant.



The settlement status and confirmation will include the [MITI-CMIT](#) reference to be used in the IRI01 messages used for the transfer.

When the security is transferred from Euroclear France, the settlement flows is the following.



Note: If the transfer from Euroclear France was instructed with a FoP to be matched instructions, Euronext Securities Milan would receive the allegation message from the issuer CSD and consequently instruct the receiving leg. This add a step in the process but the other steps in the process are similar.

11.3.3.3. Process flow for portfolio transfer without change of ownership and with change of CSD participant

In this section, a portfolio transfer refers to a file transfer as per Euroclear market practice.

As such, a portfolio transfer involving a change of participant without change of ownership requires two actions:

1. An update to the issuer register, managed via the IRI01 interface with the issuer CSD platform, which generates BRN messages for the registrar
2. One security movement between accounts, which may occur¹⁷:
 - between two Euronext Securities Milan participants
 - from a Euronext Securities Milan participant (deliverer) to a participant at the issuer CSD (receiver).
 - from an issuer CSD participant (deliverer) to a Euronext Securities Milan participant (receiver).

In all these cases, the deliverer participant shall:

1. Generate an IRI if the asset is held at Euronext Securities Milan, or a BRN if it is held at the issuer CSD, and
2. Submit one FoP OWNE settlement instruction either:
 - without matching, or
 - to be matched, which can be processed as intra-CSD or cross-CSD.

When the deliverer is a Euronext Securities Milan participant, Euronext Securities Milan submits the settlement instruction directly to the issuer CSD.

Conversely, when the deliverer is an issuer CSD participant, Euronext Securities Milan is responsible for receiving the BRN, generating the IRI for the receiving participant, and settling the security delivery to the participant's administered registered securities account.

Securities movement

Securities movement occurs between two administered registered securities accounts. This involves the issuer CSD NDC 001 and the corresponding account type "04" from Euronext Securities Milan.

These movements can be processed via Euronext Securities Milan, instructing the issuer CSD and vice versa or with cross-CSD settlement.

¹⁷ Portfolio transfers between two participants at the French issuer CSD are disregarded.

Participant	CSD	Account type		Type of settlement instructions	Transaction type code in the settlement instruction
		Debit	Credit		
Deliverer	Euroclear France	NDC 001	-	Without matching (OWNE FoP)	TO
Receiver	Euronext Securities Milan	-	Type 04	none	none
Or...					
Deliverer	Euronext Securities Milan	Type 04	-	Without matching (OWNE FoP)	TO
Receiver	Euroclear France	-	NDC 001	none	none
Or...					
Deliverer	Euronext Securities Milan	Type 04	-	Cross-CSD To be matched FoP (DELI), either as ICP or DCP	TO
Receiver	Euroclear France	-	NDC 001	Cross-CSD To be matched FoP (RECE)	none
Or...					
Deliverer	Euroclear France	NDC 001	-	Cross-CSD To be matched FoP (DELI), either as ICP or DCP	TO
Receiver	Euronext Securities Milan	-	Type 04	Cross-CSD To be matched FoP (RECE)	none
Or...					
Deliverer	Euronext Securities Milan	Type 04	-	Intra-CSD To be matched FoP (DELI), either as ICP or DCP	TO
Receiver	Euronext Securities Milan	-	Type 04	Intra-CSD To be matched FoP (RECE)	none

As for direct transfers, Euronext Securities Milan intermediates with the issuer CSD based on the:

- received instruction from its participant, or
- allegation or settlement confirmation received from the issuer CSD.

Though, when the transfer occurs within Euronext Securities Milan's books, there is no impact on the balance of the omnibus account (NDC 001). Instead, both parties must instruct the delivery and receipt depending on their usual position (DCP or ICP). In practice, the delivering party submits a to be matched delivery instruction, while the counterparty instructs the receiving leg upon T2S or X-TRM allegation, using either ISO 15022 or ISO 20022 format.

IRI process flow

The following process description applies when the deliverer is a Euronext Securities Milan participant and the receiver is an issuer CSD participant.

The IRI workflow related to a portfolio transfer without change of ownership is initiated by an IRI01 message sent by the Euronext Securities Milan participant to the IRI platform.

Upon receipt of the IRI01, if technically accepted, the IRI platform generates a corresponding BRN01 message to the BRN platform. If the IRI01 is technically rejected at IRI level, no BRN01 is created and the IRI platform immediately returns an IRI05 rejection message to the Euronext Securities Milan participant with the corresponding error code.

If the BRN01 is accepted¹⁸, the BRN platform processes the portfolio transfer request and generates a BRN02 message to the corresponding registrar. The registrar may either accept or reject the request, generating and sending a BRN03 response message accordingly. The BRN platform then forwards this response to the IRI platform via a BRN04 message. Based on the BRN04, the IRI platform returns an IRI04 message to the Euronext Securities Milan participant, indicating either acceptance or rejection.

If the BRN01 portfolio transfer request is accepted, the registrar sends a BRN01 registration message to the BRN platform. Upon receipt, the BRN platform generates a BRN02 and transfers it to the new CSD participant.

If the registrar rejects the conversion request, the participant may resend an IRI01 message with a CTO code ending in "J" for regularisation. The process then follows the same steps as previously described.

Variations:

- If the receiving participant is in Euronext Securities Milan, the BRN01 participant registration message created by the registrar and converted into a BRN02 by the BRN platform will be transmitted to the IRI platform. The IRI platform will then send an IRI02 message to the receiving custodian.
- If the delivering participant is in Euroclear France and the receiving participant is in Euronext Securities Milan, the IRI request for portfolio transfer messages is managed within the Euroclear France environment. Only the BRN01 of participant registration message, created afterwards by the registrar, will be sent to the BRN platform, converted into a BRN02 by the BRN platform, then transmitted to the IRI platform. The IRI platform will then send an IRI02 message to the receiving participant.

Settlement flow

The following table describes the scenario in which a Euronext Securities Milan participant transfers a French administered registered security to a Euroclear France participant.

¹⁸ If the BRN01 is technically rejected by the BRN platform, the IRI platform will send back an IRI05 to the participant with a dedicated error.

Step	Action	Responsible party	Message format
1	Instruct the portfolio transfer settlement	Deliverer (Euronext Securities Milan participant)	Fop without matching OWNE instruction in ISO 15022 (MT542) or ISO 20022 (sese.023)
2	Receive the instruction and block the transferred quantity before instructing the issuer CSD	Euronext Securities Milan	Internal process
3	Instruct the issuer CSD and processes the settlement status and confirmation	Euronext Securities Milan	FoP without matching OWNE instruction in ISO 15022 (MT542 and MT548/MT546)
4	Unblock the transferred quantity upon settlement confirmation	Euronext Securities Milan	Internal process
5	Instruct T2S to debit/credit participant's account upon T2S confirmation	Euronext Securities Milan	ISO 20022 (sese.023)
6	Report settlement status and confirm transfer to participant	Euronext Securities Milan	ISO 15022 (MT548/MT546) or ISO 20022 (sese.024/025)

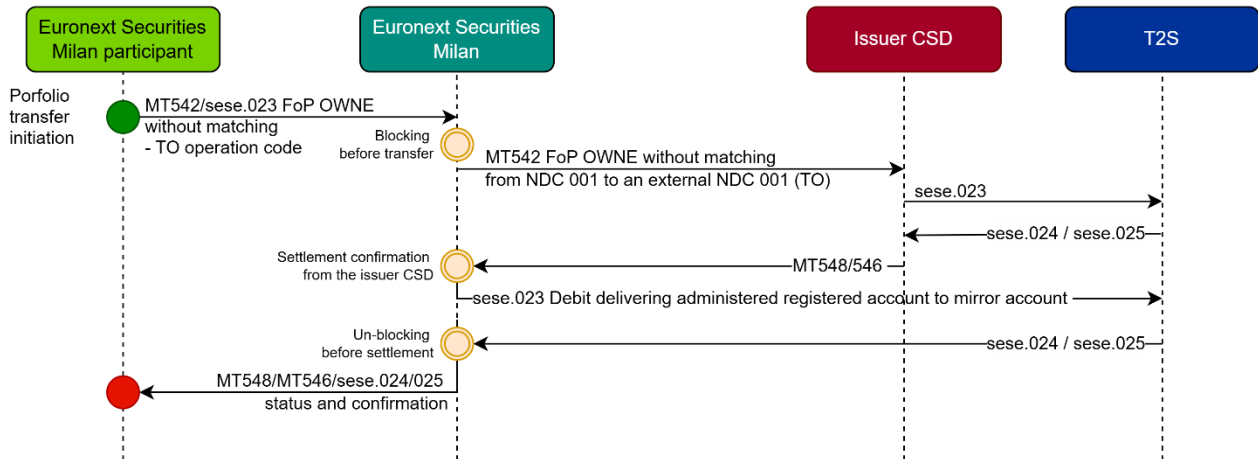
When a security is transferred via cross-CSD settlement to a Euronext Securities Milan participant, the process involves the following steps:

Step	Action	Responsible party	Message format
1	Instruct the portfolio transfer settlement	Deliverer (Euronext Securities Milan participant)	FoP to be matched OWNE ISO 15022 (MT542) or ISO 20022 (sese.023)
2	Receive the allegation from T2S or the issuer CSD	Receiver (French issuer CSD)	ISO 15022 (MT578) or ISO 20022 (sese.028)
3	Instruct the receiving leg and process the settlement status and confirmation	Receiver (French issuer CSD)	FoP to be matched OWNE instruction in ISO 15022 (MT540) or ISO 20022 (sese.023)
4	Process the settlement status and confirmation	Both parties	ISO 15022 (MT548/MT544) or ISO 20022 (sese.024/025)

Note: This process also applies when the delivery is instructed by a French issuer CSD participant, except the responsible parties are reversed.

Settlement flow diagram

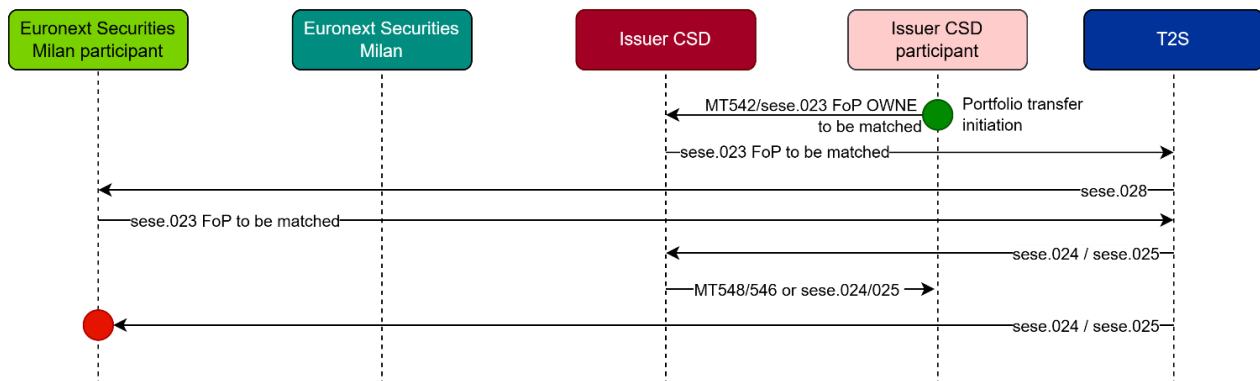
The following chart describes the scenario in which a Euronext Securities Milan participant transfers a French administered registered security to a Euroclear France participant.



Legend:

- Start of the process
- Start of the process
- Intermediary step
- Process flow

When the security is transferred cross-CSD from Euroclear France, the settlement flows is the following.



Legend:

- Start of the process
- Start of the process
- Intermediary step
- Process flow

Note: If the issuer CSD participant is a direct CSD participant (DCP), the free of payment (FoP) instruction is sent to T2S. Conversely, if the Euronext Securities Milan participant is an investor CSD participant (ICP), it instructs Euronext Securities Milan directly.

12. Glossary

Below is a definition of terms used in the document. If not otherwise specified:

- “We”, “our” and “us” refer to Euronext Securities Milan.

Terms	Definition
Account nature	The account nature is part of the Euroclear France accounting structure. Account natures are used to segregate different balances of securities (ISIN).
AMF regulation	The AMF (Autorité des Marchés Financiers) regulation refers to the set of rules and supervisory powers enforced by France’s independent financial markets regulator, aimed at ensuring market transparency, Investor protection, and the proper functioning of regulated and over-the-counter markets. It includes oversight, sanctioning authority and participation in European and international regulatory frameworks.
Administered Registered Securities (ARS)	Registered securities managed by a Custodian. The Custodian is in charge of the accounting of the shares and has the responsibility of updating the register with any changes that may occur regarding its client, a shareholder of the company.
Blocking	Restriction applied to a securities position or account that prevents the affected securities from being used or settled until the block is lifted.
BRN	Bordereau de Reference Nominative – refers to Euroclear France’s detailed service description.
CCN	Compte Courant Nominatif – account number of the shareholder in the register.
CTO	Stands for the French “Code Type Operation” or operation type code. See. Transaction type code.
Directly Connected Participant (DCP)	A T2S participant that has been authorised by its contracting CSD or central bank to access T2S directly when it needs to use T2S services, i.e. without the contracting CSD or central bank acting as a technical interface (which would in this case be termed an “Indirectly Connected Participant”).
Direct transfer	Refers to the movement of securities (i.e., registered securities) between two accounts, giving rise to a transfer of ownership. Direct transfers are typically initiated as individual settlement instructions and are used for specific, ad hoc requests, such as transferring securities following an inheritance.

Terms	Definition
Earmarking	The process of specifying that a quantity of a security in a securities account is only eligible for specific types of transactions or processes. For example, a bank can earmark a securities position in a securities account for use as eligible collateral. Earmarking can be requested or lifted by sending an intra-position movement (semt.013) message or a settlement instruction (e.g., sese.023).
ERS	Essentially Registered Securities – securities issued solely in registered form, meaning no bearer securities are in circulation for these instruments, due to legal constraints or an Issuer's decision.
File transfer	Arises when a holder changes its custodian account holder and transfers its administered registered holdings from one custodian account holder to another. This process typically does not require an individual instruction for each holding. File transfers occur, for example, when an indirect participant (ICP) changes its account operator or when two direct participants (DCPs) merge. These transfers are administrative in nature and do not involve a change of beneficial ownership.
French Registered Securities	Securities that are registered in the register held by the Issuer or Issuer agent. This could be for several different reasons: Legal, by decision of the issuer or by decision of the shareholder itself and in accordance with French law.
Graphical User Interface (GUI)	The interface that allows a user to interact with a software application through the use of graphical elements (e.g. windows, menus, buttons and icons) on a computer screen, using the keyboard and mouse.
Investor CSD	A Central Securities Depository (CSD) that accepts a security into its own books for the purpose of settlement and safekeeping, even though it is not the original Issuer CSD. The investor CSD enables its participants to hold and settle securities issued in another CSD, typically through a link or interoperability arrangement with the Issuer CSD.
Indirectly Connected Participant (ICP)	A T2S participant that accesses T2S services through a directly connected party (DCP), such as its contracting CSD or central bank, which acts as the technical interface. The ICP does not interact with T2S directly but relies on the DCP for communication and transaction processing. See also "Directly Connected Participant (DCP)" for users with direct access to T2S.

Terms	Definition
IRI	The Information on Registered Investors (IRI) is a set of information used to manage the accurate identification of shareholders by the Issuer, and to facilitate the exchange of shareholder information between Custodians and Issuers/Registrars in a set format. IRI messages (IRI) play a central role in enabling seamless communication and ensuring that shareholder data is transmitted and recorded accurately.
ISIN	International Securities Identification Number – ISO standard 6166, a unique code to identify a financial instrument. Allocated by the National Numbering Agency.
Issuer	A company or legal entity that creates and issues shares to raise capital. The Issuer is responsible for registering the shares, maintaining shareholder records and complying with regulatory requirements related to the issuance and management of those securities.
Issuer agent	A financial institution or service provider appointed by the Issuer to manage administrative tasks related to the issuance and maintenance of securities. This includes responsibilities such as registering new shares, maintaining the shareholder register, distributing dividends, and facilitating corporate actions on behalf of the Issuer.
Issuer CSD	A Central Securities Depository (CSD) that holds the issuance account of a security. It is the CSD where all the securities are recorded and from which they are created and distributed. The Issuer CSD is responsible for the initial registration, safekeeping and central administration of the securities on behalf of the Issuer.
ORS	Occasionally Registered Securities – securities that are issued in a bearer form, and the settlement of the transaction is done under bearer form only. However, the Investor may ask its Custodian to transform it into a registered, pure or administrated form.
Portfolio transfer	Process of moving securities (i.e., registered securities) between different accounts or CSD participants within the issuer CSD settlement system, involving T2S. It may involve a change of ownership or not and be processed either with an intra-CSD or cross-CSD transaction (i.e., if the transaction type code is "TO"). Portfolio transfers include direct transfers and file transfers, as per French CSD definition.
PRS	Pure Registered Securities – registered securities managed by the Issuer itself if they have an account at the CSD, or by a designated registered agent. The Issuer or their representative is in charge of the accounting of the shares and has the responsibility of updating the register with any change that may occur regarding the shareholder.
Registered securities	For registered securities, the shareholder is registered in the register of the company for the number of securities they hold.

Terms	Definition
Registered Securities Management	Registered Securities Management includes the handling of reconciliation and penalties in the role of Issuer CSD, as well as the segregation of registered securities (administered and pure) from non-registered securities.
Reservation	A process which prevents the transfer of a securities position in a specific security in one securities account to any other securities account except for the purpose for which the position was reserved. The settlement of the underlying settlement instruction results in the actual transfer of the reserved holdings to another securities account and in the subsequent removal of the reservation. It is possible to reserve a position greater than the securities position on the securities account. When a reservation is greater than the securities position, all incoming securities are reserved automatically until the quantity of the reservation is filled. Specific identifier used within Euronext Securities Milan's French registered shares services to classify and process different types of transactions or instructions. The transaction type code indicates the nature of the transaction, such as a conversion, direct transfer, file transfer, or other securities transactions. It ensures that each instruction is routed and handled according to the correct operational workflow and regulatory requirements. Transaction type codes are essential for accurate settlement, reporting, and reconciliation within Euronext Securities Milan's systems.
Registrar	The register of registered shares is an official document maintained by a company that records the identity (name and address) of shareholders holding registered shares, as well as all transactions involving those shares (purchases, sales and transfers). The Registrar is in charge of maintaining this register. It can be the Issuer itself, or an agent mandated by the Issuer.
User-to-Application (U2A)	A connectivity mode for the exchange of information between software applications of T2S and a T2S actor through a Graphical User Interface (GUI).
VEN	see. ERS.
VON	see. ORS.

13. Annexes

13.1. List of transaction type codes (TTC)

Transaction	Transaction type code IRI	Triggering event / Resulting securities movements	Settlement type	Transaction type code to be used for the correction of a rejected IRI	Transaction type code to be used for the cancelation of an already transmitted IRI
Cash purchase on PTCS	FO	Transactions notices with transaction type AC, RPA.	PTCS DVP/RVP	RJ	FR
Cash sale on PTCS	FO	Transactions notices with transaction type VC, RPV.	PTCS DVP/RVP	RJ	FR
Deferred settlement system purchase on PTCS	CO	Transactions notices with transaction type ARM, ARP.	PTCS DVP/RVP	RJ	CR
Deferred settlement system sale on PTCS	CO	Transactions notices with transaction type VRM, VRP.	PTCS DVP/RVP	RJ	CR
OTC purchase	GO	Receive Versus Payment (RVP), Receive Without Payment (RWP) crediting administered registered shares and DVP or DWP debiting administered registered shares or Receive Free of Payment (RFoP) et operation type as TRAD.	DVP/RVP	RJ	GR
OTC sale	GO	Deliver Versus Payment (DVP), Deliver Without Payment (DWP) debiting administered registered shares and RVP or RWP crediting administered registered shares or Deliver Free of Payment (RFoP) with operation type as TRAD.	DVP/RVP	RJ	GR

Transaction	Transaction type code IRI	Triggering event / Resulting securities movements	Settlement type	Transaction type code to be used for the correction of a rejected IRI	Transaction type code to be used for the cancelation of an already transmitted IRI
Settlement instructions netting on cash purchase outside PTCS	BO	- RFP or RWP debiting broker account for registered shares, and - DVP or DWP crediting an administered registered account, without transaction notice reference.	DVP/RVP	RJ	BR
Settlement instructions netting on cash sale outside PTCS	BO	- Deliver Free of Payment (DFoP) or DWP debiting an administered registered account, and - RVP or RWP crediting broker account for registered shares, without transaction notice reference.	DVP/RVP	RJ	BR
DSS settlement instructions netting on purchase outside PTCS	MO	DFoP or RFoP debiting broker account for registered account, and crediting an administered registered account, without transaction notice reference.	DVP/RVP	RJ	MR
DSS settlement instructions netting on sale outside PTCS	MO	- DFoP or DWP debiting an administered registered account, and - RVP or RWP crediting an administered registered account, without transaction notice reference.	DVP/RVP	RJ	MR
Conversion from administrated registered to bearer shares	SA	- DFoP debiting an administered registered account, and - RFoP crediting a bearer account. - Both operations occur within the same participant.	Without matching or to be matched instruction	AJ	CR

Transaction	Transaction type code IRI	Triggering event / Resulting securities movements	Settlement type	Transaction type code to be used for the correction of a rejected IRI	Transaction type code to be used for the cancelation of an already transmitted IRI
Conversion from bearer to administrated registered shares	SA	• DFoP debiting administered registered account, and • RFoP crediting bearer account. • Both operations occur within the same account participant.	based on IRI01 ¹⁹	AJ	CR
Portfolio transfers with change of beneficial owner (donations, inheritances) or “direct transfer”	TT, MT, PT, CT and AT	• DFoP debiting administered registered account, and • RFoP crediting administered registered account. • Both DFoP/RFoP occur between different participants.	Without matching or to be matched instruction ²⁰	TJ	TR
Portfolio transfer or “direct transfer”	TM	• DFoP crediting administered registered account, and • DFoP debiting administered registered account. • Both DFoP/RFoP occur between different participants.	Without matching or to be matched instruction	TJ	TR

¹⁹ For further details, please refer to the conversion sections in the issuer-CSD and investor-CSD models.

²⁰ For further details on the various types of settlement instructions and processing sequences, please refer to the portfolio transfer sections in the issuer-CSD and investor-CSD models.

Transaction	Transaction type code IRI	Triggering event / Resulting securities movements	Settlement type	Transaction type code to be used for the correction of a rejected IRI	Transaction type code to be used for the cancellation of an already transmitted IRI
Portfolio transfer to delivery	TO	• DFoP debiting administered registered shares, and • RFoP crediting administered registered account. • Both DFoP/RFoP occur between different participants.	Without matching or to be matched instruction	TJ	TR
Portfolio transfer to beneficiary	TO	• RFoP crediting administered registered shares, and • DFoP debiting administered registered shares. • Both DFoP/RFoP occur between different participants.	Without matching or to be matched instruction	TJ	TR
Conversion from bearer to pure registered shares	CB	• DFoP debiting bearer account, and • RFoP crediting pure registered account.	Without matching or to be matched instruction	BJ	SR
Conversion from administered registered to pure registered shares	CC	• DFoP debiting administered registered account, and • RFoP crediting pure registered shares.	Without matching or to be matched instruction	CJ	CR
Conversion from pure registered to administered registered shares	CC	• DFoP debiting pure registered account, and • RFoP crediting administered registered account.	Without matching or to be matched instruction	CJ	CR

Transaction	Transaction type code IRI	Triggering event / Resulting securities movements	Settlement type	Transaction type code to be used for the correction of a rejected IRI	Transaction type code to be used for the cancelation of an already transmitted IRI
Conversion from bearer to administered registered shares	CA	- DFoP debiting bearer account, and - RFoP crediting administered registered account.	Without matching or to be matched instruction	AJ	CR
Conversion from administered registered to bearer shares	CA	- DFoP debiting administered registered account, and - RFoP crediting bearer account.	Without matching or to be matched instruction	AJ	CR
Conversion from bearer to pure registered shares	SB	- DFoP debiting bearer account, and - RFoP crediting pure registered account.	Without matching or to be matched instruction based on IRI01	BJ	SR
Conversion from administered registered to pure registered shares	SC	- DFoP debiting administered registered account, and - RFoP crediting pure registered shares account.	Without matching or to be matched instruction based on IRI01	CJ	CR
Conversion from pure registered to administered registered shares	SC	- DFoP debiting pure registered account, and - RFoP crediting administered registered account.	Without matching or to be matched instruction based on IRI01	CJ	CR

Case where IRIs are rejected by the registrar without settlement instruction:

Transaction	Transaction type code IRI	Triggering event / Resulting securities movements	Settlement type	Transaction type code to be used for the correction of a rejected IRI
Corporate action: mandatory distribution of exclusively registered shares	A1	Mandatory distribution of registered shares. Such shares must be registered in the register with an IRI01.	Unblocking after acceptance of the IRI01 by the registrar	OJ
	O1	RFoP debit/credit of the custodian account after IRI acceptance. An IRI01 is sent in the name of the custodian to register securities which represent fractions and to be sold for shareholders compensation.		OJ
Corporate action: mandatory reorganisation of exclusively registered shares	O2	RFoP debit/credit of the custodian account after IRI acceptance.	Unblocking after acceptance of the IRI01 by the registrar	2J
Corporate actions: voluntary reorganisation of exclusively registered shares	O3	RFoP debit/credit of the custodian account after IRI acceptance.		3J
Direct transfer without change of custodian account holder	TD	Two Internal IRIs, write off and inscription, for the same custodian.		ZJ

Transaction	Transaction type code IRI	Triggering event / Resulting securities movements	Settlement type	Transaction type code to be used for the correction of a rejected IRI
Ordinary internal transfer - Deregistration IRIs with transaction type VO	VO	Two Internal IRIs, write off and inscription, for the same custodian.	No settlement instruction	ZJ
Change - Inheritance without change custodian account holder	MU	Internal IRIs for the same custodian.	No settlement instruction	ZJ
Securities pledge	NA	Internal IRIs for the same custodian.	No settlement instruction	ZJ
Change - amicable partition and changes in matrimonial regime without change of custodian account holder	PA	Internal IRIs for the same custodian.	No settlement instruction	ZJ
Change - Inheritance partition without change of custodian account holder	MP	Internal IRIs for the same custodian.	No settlement instruction	ZJ
Address change	MA	Internal IRIs for the same custodian.	No settlement instruction	ZJ

Transaction	Transaction type code IRI	Triggering event / Resulting securities movements	Settlement type	Transaction type code to be used for the correction of a rejected IRI
Shareholder name change	MI	Internal IRIs for the same custodian.	No settlement instruction	ZJ
Pledge release	ML	Internal IRIs for the same custodian.	No settlement instruction	ZJ
Change – inter vivo donation without custodian account holder change	CE	Internal IRIs for the same custodian.	No settlement instruction	ZJ
Shareholder title change	CI	Internal IRIs for the same custodian.	No settlement instruction	ZJ

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